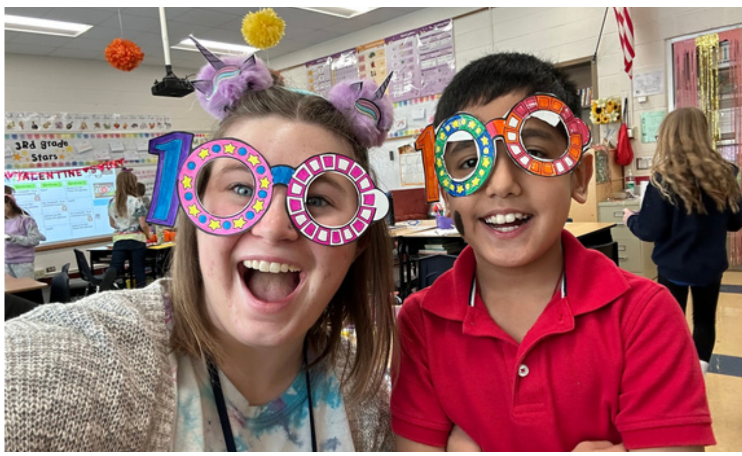
ANNUAL COMPREHENSIVE FINANCIAL REPORT

FOR THE FISCAL YEAR ENDED JUNE 30, 2023



PLEASANT VALLEY

COMMUNITY SCHOOL DISTRICT

BETTENDORF, IA

Annual Comprehensive Financial Report of the

Pleasant Valley Community School District
Bettendorf, Iowa

For the Fiscal Year Ended June 30, 2023

Official Issuing Report

Mike Clingingsmith, Chief Financial Officer

Office Issuing Report

Administration Center

Introductory Section

INTRODUCTORY SECTION (Unaudited)	

FINANCIAL SECTION	

STATISTICAL SECTION (Unaudited)

COMPLIANCE SECTION

Pleasant Valley Community School District

Belmont Administration Center

BRIAN STRUSZ, Ed.S.
Superintendent

BERNIE BRUSTKERN
Director of Secondary Education

MICHAEL L. CLINGINGSMITH, C.P.A.
Chief Financial Officer

TONY HIATT
Director of Elementary Education

JILL KENYON
Director of Student Services

December 13, 2023

To School Board President Nikhil Wagle,
Members of the Board of Education
and the Residents of the Pleasant Valley Community School District

We are pleased to submit to you the Annual Comprehensive Financial Report (ACFR) of the Pleasant Valley Community School District (the "District") for the fiscal year ending June 30, 2023. This report has been prepared to conform to guidelines recommended by the Association of School Business Officials (ASBO) International and the Government Finance Officers Association (GFOA) of the United States and Canada.

Management's Discussion and Analysis (MD&A) immediately follows the independent auditor's report and provides a narrative introduction, overview, and analysis of the basic financial statements. This letter of transmittal is designed to complement the MD&A and should be read in conjunction with it.

Management Responsibility

Responsibility for both the accuracy of the data and the completeness and fairness of the presentation, including all disclosures, rests with the officials of the District. To the best of our knowledge and belief, the enclosed information is fairly stated in all material respects and is presented in a manner which sets forth the financial position and results of the operations of the governmental activities, business-type activities, each major fund and aggregate of the remaining funds of the District in accordance with generally accepted accounting principles, (GAAP). It includes all funds of the District. The District is not included in any other reporting entity, nor are any other entities included within this report. All disclosures necessary to enable a reader to gain maximum understanding of the District's financial activities have been included.

Independent Audit/Legal Requirements

The Code of the State of Iowa requires an annual audit of the District to be performed by an accounting firm selected in a competitively bid process. The annual audit meets the requirements of the Code of Iowa, generally accepted auditing standards and the annual single audit requirements of Subpart F of Title 2 U.S. Code of Federal Regulations (CFR) Part 200, *Uniform Administrative Requirements, Cost Principles, and Audit Requirements for Federal Awards* (Uniform Guidance). The auditor's report on the basic financial statements and combining and individual fund statements and other schedules is included in the financial section of this report. Information related to this single audit, including a schedule of expenditures of federal awards, summary schedule of prior audit findings, the independent auditor's report on internal control over financial reporting and on compliance and other matters, independent auditor's report on compliance with requirements applicable to each major program and internal control over compliance, a schedule of findings and questioned costs and corrective action plans (if any) are included in the Compliance Section of this report.

All of the District's funds are presented in this report and have been audited by the District's independent certified public accountants, Bohnsack & Frommelt LLP, Certified Public Accountants. Bohnsack & Frommelt LLP, Certified Public Accountants, have issued an unmodified ("clean") opinion on the Pleasant Valley Community School District's financial statements for the year ended June 30, 2023. The independent auditor's report is located at the front of the financial section of the ACFR.

Internal Control

Management of the District is responsible for establishing and maintaining an internal control structure designed to ensure that the assets of the District are protected from loss, theft or misuse and to ensure that adequate accounting data are compiled to allow for the preparation of financial statements in conformity with generally accepted accounting principles. The internal control structure is designed to provide reasonable, but not absolute, assurance that these objectives are met. The concept of reasonable assurance recognizes that: (1) the cost of a control should not exceed the benefits likely to be derived; and (2) the evaluation of costs and benefits requires estimates and judgments by management.

All internal control evaluations occur within the above framework. We believe that the internal accounting controls of the school district adequately safeguard assets and provide reasonable assurance of proper recording of financial transactions.

As a recipient of federal, state and local financial assistance, the District is also responsible for ensuring that adequate internal controls are in place to ensure compliance with applicable laws and regulations related to those programs. As part of the District's single audit, described earlier, tests are made to determine the adequacy of internal control, including that portion related to federal awards programs, as well as to determine that the District has complied with applicable laws and regulations.

Basis of Presentation

The charts and accounts used by the District have been prepared in conformity with accounting principles generally accepted in the United States of America as prescribed by the Governmental Accounting Standards Board and Audits of State and Local Government units issued by the American Institute of Certified Public Accountants. In addition, the District's accounting records materially conform to the Uniform Financial Accounting for Iowa Schools and Area Education Agencies issued by the Iowa Department of Education and Chapter 11 of the Code of Iowa. The chart of accounts manual is updated annually, and the District is materially in compliance with these requirements.

Profile of the District

The Pleasant Valley Community School District is proud to be considered the #1 school district in the state of Iowa (Niche – 2024 "Best School Districts in Iowa"). Our 733 faculty and staff serve more than 5,500 students in the 2022-2023 school year. Incorporated in 1962, our families live in Bettendorf, LeClaire, Panorama Park, Riverdale, unincorporated Pleasant Valley, Iowa and rural Scott County Iowa. In the 2022-2023 school year, the district operated two PK-6 elementary schools, four K-6 elementary schools, one 7-8 junior high, and one 9-12 high school. All buildings are air-conditioned and equipped with state of the art technology.

We are also proud that our Spartan family continues to grow. In the past decade, Pleasant Valley's enrollment has increased by 31.4%, due in large part to our staff and families' commitment to excellence, but also thanks to community and business development. The influx of new families has strengthened our schools, adding new culture and diversity to our rich history.

The resident population of the Pleasant Valley Community School District was approximately 25,687 in the year 2021 according to the U.S. Census Bureau.

The District provides a full range of educational services for those attending the Pleasant Valley Community School District including basic, regular and enriched academic education, specialized instruction for handicapped children, vocational education and many individualized programs such as specialized instruction for students at-risk. There are no charter school relationships within the District.

The District is supported financially by state aid, property taxes, state and federal grants for special projects and local revenue. The District is governed by a seven-member board of education, serving staggered terms of four years. School elections are held in November of odd numbered years. The District is divided into seven geographical director districts. Each member of the school board serves a particular geographical director district. The Board of Directors is a policy-making and planning body whose decisions are carried out by school administrators. The District is subject to the general oversight of the Iowa Department of Education. This oversight generally includes an approval process that reviews compliance to standards enacted by legislative mandate.

The combined financial statements include all funds, organizations, agencies, boards, commissions and other authorities. The District has also considered all potential component units for which it is financially accountable, and other organizations for which the nature and significance of their relationship with the District are such that exclusion would cause the District's financial statements to be misleading or incomplete. The criteria considered in determining financial accountability include appointing a voting majority of an organization's governing body, and 1) the ability of the District to impose its will on that organization or 2) the potential for the organization to provide specific benefits to, or impose specific financial burdens on the District.

Budgeting

The District's Board of Education annually adopts a budget and approves the related appropriations for the General, Special Revenue, Debt Service, Capital Projects and Enterprise Funds in accordance with provisions outlined in the statutes of the State of Iowa. The budgets are prepared on an accrual basis, which details estimates of GAAP revenues and GAAP expenditures, and use of beginning fund balances, whereas the financial statements of the funds are prepared on either the modified accrual basis or accrual basis of accounting. A statement comparing the budget to actual receipts and disbursements is included in the required supplemental information in aggregate form for fund types for which budgets are required. For management control, the budget is reviewed on a line item basis. Formal and legal budgetary control for the certified budget is based upon four major classes of expenditures known as functions, not by fund or fund type.

It should be noted that school districts have two levels of budgetary control. One form of budgetary control exists through the certified budget, which includes all fund of the District (the type of budget explained in the preceding paragraph). This budget is certified with the County Auditor and the Iowa Department of Management each year. Iowa school districts may not certify a general fund budget in excess of its spending authority.

The other level of budgetary control is the unspent (maximum) authorized budget and pertains only to the General Fund of the District. The maximum authorized budget is the total spending authority in the General Fund of the District. The unspent budget is a budgetary concept and is not equivalent to General Fund cash. It is imperative for users of District financial information to make this important distinction. The unspent balance is the amount of spending authority that is carried over into the next fiscal year. The unspent balance is a budgetary carryover and does not represent actual dollars (General Fund cash) or actual financial position (nonspendable, restricted, assigned or unassigned General Fund fund balance) of the District.

Economic Condition and Outlook

The Quad Cities region is a bi-state, six-county region comprised of Clinton, Muscatine, and Scott Counties in Iowa, and Henry, Mercer, and Rock Island Counties in Illinois with a population of 469,711 and is the heart of the Midwest, a proud, forward-thinking family of communities connected by one of the world's most renowned rivers, the Mississippi River.

The Quad Cities is within a 300-mile radius of 41 million people and just hours of major markets like Chicago, Minneapolis-St. Paul, Des Moines, Omaha, Kansas City and Indianapolis.

The Quad Cities is the home and headquarters of Deere & Company, the Fortune 100 icon and global agricultural equipment innovator, and more than 150 Fortune 500 & 1000 companies with a presence in the Quad Cities. It is where the major military installation, Rock Island Arsenal, operates and achieves its critical mission, supported by the QC advanced metals and materials manufacturing sector and thousands of highly skilled workers. The Arconic aluminum manufacturing plant is located within the boundaries of the Pleasant Valley Community School District and employs approximately 2,000 employees.

The Quad Cities economic strength has grown over the past five years by 5.2%. Expanding businesses and companies new to the region – including Amazon and Fair Oaks Foods – have acted on their confidence in the Quad Cities economy: investing a total $1.5 billion in capital and creating more than 4,500 new jobs.

The unemployment rate in Scott County, Iowa averaged 3.5% between January, 2023 to October, 2023. This was lower than the national average of 3.6%.

The District continues to experience significant annual growth with an approximately 133 student increase in certified enrollment in the 2022-23 fiscal year. The District has experienced an average annual growth in certified enrollment of 132.7 students per year for the last decade from the 2013-14 school year through the 2022-23 school year. In the past decade, Pleasant Valley's enrollment has grown by 31.4%, due in large part to our quality schools, excellent community support, and strong businesses in the area. The influx of new families has strengthened our schools, adding new culture and diversity to strong Midwestern values, allowing Pleasant Valley to not only increase in our number of students, but also the growth that each student experiences by being a part of our school community. The District is expected to see continued growth in enrollment. This continued growth presents infrastructure challenges that are being addressed through the District's long range planning process.

Taxable valuations of property in the District continue to increase each year also. The average growth in the District's taxable valuations (including tax increment financing (TIF's)) over the last ten years has been 5.3%. In the 2022-23 fiscal year (taxable valuations as of January 1, 2021), the increase was 5.6%. The Cities of Bettendorf, LeClaire and Riverdale, Iowa continue to encourage job creation and capital investment through the use of tax abatements offered to entities that contribute to economic development of the Cities.

The oldest school building in the District, Cody Elementary School, was originally built in 1954 and has been very well maintained, as have all of the District's schools. Other school buildings in the District have original build dates between 1959 and 2021.

The financial solvency ratio of the District measures movement and distribution of current assets. The financial solvency ratio represents a school district's year-end position after payment of all current and outstanding or accrued liabilities. Iowa Association of School Boards recommends a target solvency ratio within a range of 7% to 17%. The District's solvency ratio at June 30, 2023 is 17.1%, which is a decrease from 17.2% at June 30, 2022.

The Iowa school funding formula is a complex formula that is pupil driven and increasing total spending authority occurs by increasing the number of pupils or increasing the cost per pupil. Certified enrollment for the District continues to increase. The district cost per pupil for 2022-2023 was $7,511.

In recent years, the state of Iowa has faced an economic downturn that severely hampered its ability to fund schools at the same level as in prior years. The District has faced inadequate funding for state aid and other state-funded programs, and this has resulted in lower supplemental state aid. The supplemental state aid has been complimented with increased enrollment allowing the District to not need to make budget cuts in recent years.

A nationwide labor shortage has made it increasingly difficult to retain and recruit qualified staff. Global supply chain disruption and significant increases in inflation have driven the prices of goods and services past projected budget allocations. As a result, local, regional and national economies, including that of the District, may be adversely impacted.

Debt Administration

As of June 30, 2023 the District had $33,590,901 of debt applicable to its legal debt margin. This amount is well below the District's bonding capacity of $187,369,991.

Long-term Financial Planning and Relevant Financial Policies

Financial Policies

The District invests in only those securities allowed by the Code of Iowa, Chapter 12C. The District's cash and pooled investments consist of depository accounts at financial institutions including short-term and long-term nonnegotiable certificate of deposits. The cash balances of the District's funds are pooled. Interest revenue of $1,114,889 was earned on all deposits and investments for the fiscal year ending June 30, 2023.

The District currently covers property and liability losses with traditional insurance coverage. The group health plan is partially self-funded and dental plan is fully self-funded.

A comprehensive accounting system is promulgated by the Iowa Department of Education including account numbers for revenues and expenditures by function and object. The District additionally tracks revenues by source of funds and expenditures by location, curricular program and funding source.

For long-term planning, the District utilizes a "Comprehensive Financial Planning Model" to project out various scenarios and how they could affect the financial health of the District in the next five years. The District also has a "Five Year Capital Projects Plan" which is updated at least annually for projecting future capital project needs in the District.

Major Initiatives and Achievements

An important element in maintaining an excellent educational program is the management of fiscal and capital resources. The District's use of a long-range planning process, a growing enrollment and an increasing property tax base have helped to achieve and maintain the following results:

- Salary and benefit schedules that attract and retain a high quality faculty and staff
- Excellent facilities and equipment maintained and updated on an ongoing basis
- Broad community support for bond referendums, Instructional Support Levy, Revenue Purpose Statement renewal for the Secure an Advanced Vision for Education (SAVE) one cent sales tax for school infrastructure and voted Physical Plant and Equipment Levy (PPEL)

The District has 403 certified teachers under contract in the District. 68% of the teachers have a master's degree and / or graduate hours beyond their master's. The development of life-long learners is a key strategic goal. The District models this expectation in the selection, professional development, and retention of its faculty and staff. Supporting the belief that quality teaching is the single most important variable a District can influence. The District provides:

- A rigorous two-year mentoring program for all beginning teachers
- Ongoing professional development
- An emphasis on the study and acquisition of "best practice" in the field of education
- Encouragement toward the pursuit of advanced degree work
- Leadership opportunities

Following is the Pleasant Valley Community School District's Mission Statement:

The mission of the Pleasant Valley Community School District as a premier innovative district in the Midwest is to prepare students to succeed in a diverse, global society by providing superior quality opportunities in a safe environment for each student to become a life-long learner and by continuously improving and customizing the educational experience.

The Pleasant Valley Community School District's Vision Statement is:

It is the vision of the Pleasant Valley Community School District that we shall provide the finest academic and extra-curricular programs in the state - not in some things, but in everything; not for some students but for every student.

The District is proud of its academic, activities and athletics programs, which includes the following highlights from the 2022-23 school year:

SPARTAN SPOTLIGHTS




- The Pleasant Valley Community School District has been named the #1 school district in the state of Iowa (Niche).
- Pleasant Valley Junior High is ranked the #1 Junior High/Middle School in the state of Iowa by Niche. Pleasant Valley High School is ranked the #2 High School in the state of Iowa (Niche).
- Bridgeview Elementary, Cody Elementary, Hopewell Elementary, Pleasant View Elementary, Riverdale Heights Elementary ranked in the top 15 Best Public Elementary Schools in Iowa by Niche. Because Forest Grove was a new school in the 2021-2022 school year, they were not scored for this report.
- US News & World Report National Silver Medal Award for Best High Schools in Iowa - ranked #3 High School in Iowa
- All six of our elementary schools are ranked as High Performing or Exceptional according to the Iowa School Performance Profile. The Profile scores schools based on a number of factors, including performance on assessments, growth on student scores, and post-secondary readiness. For more information on the Iowa School Performance Profile, click here.
- PVJH Physical Education Teacher Caitlyn Schoville, Iowa's 2022 SHAPE Middle School PE Teacher of the Year.
- Riverdale Heights Principal Jennifer Richardson upon being named a finalist for the School Administrators of Iowa (SAI) 2023 Elementary Principal of the Year award.




ACADEMICS

- 9 National Merit Scholars
- 52 seniors earned the Seal of Bi-Literacy
- 35 students earn Personal Finance Exam Award
- 5 signed registered apprentices

FINE ARTS

Band

- 735 band members in grades 6-12
- 12 students accepted to the Iowa All-State Band (school record)
- 17 students accepted to South East Iowa District High School Honor Band (most students accepted from any school)
- 63 High School Band students accepted to 5 different district and collegiate honor bands throughout the state.

Choir

- More than 600 choir members in grades 5-12
- 20 students in the Iowa All-State Chorus
- 5 Iowa All-State Jazz Choir participants
- 34 students selected for Iowa Opus Honor Choir, grades 5-9; the third highest number in the state
- 2 students selected for the National American Choral Directors Association Honor Choirs, grades 9-12
- Leading Tones selected to the Iowa Vocal Jazz Championships for the fifteenth year in a row, where they finished as state runners up

Drama

- 350 participants in grades K-12
- **IOWA THESPIAN FESTIVAL**
    - First Place duet musical theater and performance in the Thespy Showcase - Braeden Jackson and Caleb Swinney - International Qualifier
    - Second place in Duet Musical Theater - Kiera Bowman and Oliver Gooch - International Qualifier
    - International Qualifying Solos - Elly Huhn, Oliver Gooch, Leah Mendelin, Caleb Swinney, and Kailee McCaw
    - First Place is Costume Quick Change for Tech Challenge - Elizabeth Hernandez, Pratima Khatri and Zack Guest
    - First Place in props shift for Tech Challenge - Elizabeth Hernandez and Caleb Swinney
    - Pratima Khatri chosen as the Advocacy State Thespian Officer
    - 2 students earning two of three Iowa Thespian Scholarships - Braeden Jackson and Miranda Croll
    - The Company of Big Fish performed the final Main Stage of Iowa Thespian Festival 2022

- **SPEECH**
  Large Group Districts: 9 Division 1s, 4 Division 2s
  Large Group State: 9 Division 1s
  Large Group All-State:
    - 10-12 Group Improv: Kakistocracy Performing Allstate (Congratulation Lexi Pelzer, Ryan Sondgeroth, Zack Guest, and Arissa Khan)
    - 10-12 Musical Theater: I Love the Way Performing Allstate (Congratulations Zack Guest and Leah Mendelin)
- Individual Events Districts: 9 Division 1s, 1 Division 2
  Individual Events State: 8 Division 1s
  Individual Events Allstate:
    - Kiera Bowman: Solo Musical Theater Performing "I'm Breaking Down"
    - Charles Budan: Acting Performing "Julius Caesar"

- **IHSMTA (Iowa High School Musical Theatre Awards)**
  Production Awards
    - Outstanding Overall Performance
    - Outstanding Ensemble
    - Outstanding Student Orchestra
- Students Awards
    - Outstanding Performance in a Principal Role: Braeden Jackson as Edward Bloom
    - Outstanding Performance in a Principal Role: Elizabeth Hernandez as Sandra Bloom
    - Outstanding Performance in a Principal Role: Caleb Swinney as Will Bloom
    - Special Recognition in a Principal Role: Elly Huhn as The Witch
- Braeden Jackson and Caleb Swinney participated in the Triple Threat Award program with other advanced performing students from around the state. Braeden Jackson received a solo in the Triple Threat medley.

Orchestra

- 451 orchestra members in grades 4-12 (up from 404 in 2021-2022)
- 5 students were selected for the Iowa All-State Orchestra
- 4 High School and 7 Junior High students were selected for Iowa String Teachers Association Honors Orchestra
- 6 High School and 10 Junior High students were selected for the South East Iowa String Teachers Association Honors Orchestra



ACTIVITY ACCOLADES

Coach Erik Belby Finalist for National High School Athletic Coaches Association Boys Cross Country Coach of the Year.

Cole Claussen is the first Pleasant Valley Alumnus to earn the prestigious American FFA (Future Farmers of America) Degree Award.

Pleasant Valley High School earned second place at the Drs. David & Agnes Palmer Junior Achievement Titan Competition.

Student Hunger Drive raised 85,864 pounds of food which equates to 217,702 meals, a new district record.

Iowa High School Ethics State Champions: The 2023 Iowa Ethics Bowl state tournament sponsored by the Department of Ethics at Iowa State University championship round featured the two PV teams. The Ethics Bowl team placed 10th at Nationals.

Inaugural Pleasant Valley High School Girls Wrestling Team featured 11 wrestlers with 2 State Qualifiers (Caitlin Reiter - 115 & Abigail Meyrer - 120) and 1 State Champion - Abigail Meyrer (120).

Cody Elementary for The Love Campaign featured acts of kindness and $2,800 was raised for mental health services for students in need.

Pleasant View's Kennon Kies, Jovin Binto, Tate Runkle, Dylan Rieger, Bryce Rieger and Kolsyn Green - win in the Stock Market Game's Investwrite Essay Competition. Kennon's essay was awarded first place in the state of Iowa.

Finance Club's Nathan Musal, Achinteya Jayaram, and Kyle Almgren received top honors in the National Economics Challenge within the State of Iowa.

Future Business Leaders of America Club had a very successful run at FBLA's State Leadership Conference with 14 qualifying for the National Leadership Conference by placing 4th or higher in their category.

Robotics Club No Limit Robotics Team won the Rookie Inspiration Award. The Junior High and High School teams joined 8 total teams from Iowa at the National Competition.

State of Iowa Spring Journalism Awards: Pleasant Valley received the most awards of any school in Iowa

ATHLETICS

Of the 21 Iowa sanctioned sports, Pleasant Valley advanced to state in 18, either as a team, an individual, or both.

2022-23 MAC Champions:

Boys Golf	Boys Track and Field
Boys Cross Country	Girls Track and Field
Girls Cross Country	Boys Tennis
Volleyball	Girls Tennis
Girls Swimming & Diving	Girls Golf
Boys Basketball	Boys Soccer
Girls Basketball	Girls Soccer
Boys Swimming	Baseball

STATE CHAMPIONS

Girls Basketball
(1st in PVHS History)

Girls Golf
(1st in PVHS History)

STATE RUNNER-UP

Volleyball

Softball

STATE PARTICIPANTS

Girls Swimming & Diving
13th place

Boys Golf
5th place

Girls Cross Country
6th place

Boys Cross Country
9th place

Football
State Qualifier

Wrestling
10 Individual Qualifiers
19th place team

Boys Basketball
State Semifinalist

Boys Swimming
6th Place

Girls Track and Field
4th Place

Boys Track and Field
20th Place

Girls Tennis
1 Individual qualifier
1 Doubles Team qualifier

Boys Tennis
IHSAA 3rd Place Team
1 Individual qualifier
1 Doubles Team

Girls Soccer
Quarterfinalist

Certificate of Achievement for Excellence in Financial Reporting (GFOA) and Certificate of Excellence in Financial Reporting (ASBO)

The Government Finance Officers Association of the United States and Canada (GFOA) awarded a Certificate of Achievement for Excellence in Financial Reporting to Pleasant Valley Community School District for its comprehensive annual financial report for the fiscal year ended June 30, 2022. This was the seventh consecutive year that the District has achieved this prestigious award from GFOA. The Association of School Business Officials (ASBO) International awarded a Certificate of Excellence in Financial Reporting to Pleasant Valley Community School District for its comprehensive annual financial report for the fiscal year ended June 30, 2022. This was also the seventh consecutive year that the District has achieved this prestigious award from ASBO. In order to be awarded these certificates, a government must publish an easily readable and efficiently organized comprehensive annual financial report. This report must satisfy both generally accepted accounting principles and applicable legal requirements.

These certificates are valid for a period of one year only. We believe that our current Comprehensive Annual Financial Report meets program requirements for both awards and we are submitting it to ASBO and GFOA to determine its eligibility for each certificate.

We wish to take this opportunity to thank the administrative office staff who assisted in obtaining and organizing data, our financial auditors, the County Auditor and Treasurer offices and the city and town officials who provided much needed information. Without all of the above groups' efforts, the report could not have been completed.

Finally, sincere appreciation is extended to the Board of Directors, where the commitment to excellence begins. It is with great pride that this year's Comprehensive Annual Financial Report is submitted to the Board of Directors and the residents of the Pleasant Valley Community School District.

Very truly yours,

Mike Clingingsmith   Brian Strusz

Mike Clingingsmith   Brian Strusz

Chief Financial Officer   Superintendent

Pleasant Valley Community School District

Board of Education and School District Officials
Year Ended June 30, 2023

Board of Education

Name	Title	Term Expires
Nikhil Wagle	Board President	2023
Molly Brockmann	Board Vice President	2023
Brent Ayers	Board Member	2025
Jodi Hoskins	Board Member	2023
Kathryn Kunkel	Board Member	2025
Tracey Rivera	Board Member	2023
Doug Kanwischer	Board Member	2025

School District Officials

Brian Strusz	Superintendent	2025
Tony Hiatt	Director of Elementary Education	2023
Mike Zimmer	Director of Secondary Education	2024
Mike Clingingsmith	Chief Financial Officer	2024
Deborah Dayman	Board Secretary	2023
Kelly Hatler	District Treasurer	2023
Lane & Waterman	Attorney	Indefinite

PLEASANT VALLEY COMMUNITY SCHOOL DISTRICT

Organizational Chart (As of June 30, 2023)

Board of Directors

Dr. Nikhil Wagle (Board President), Molly Brockmann (Board V.P.), Brent Ayers, Jodi Hoskins, Doug Kanwischer, Kathryn Kunkel, Tracey Rivera

Treasurer

Kelly Hatler

Board Secretary

Deborah Dayman

Superintendent

Brian Strusz

Director of Secondary Education

D. Michael Zimmer

Chief Financial Officer

Mike Clingingsmith

Technology Facilitator

Kevin Pennekamp

Director of Operations

Leland Zenk

Director of Elementary Education

Tony Hiatt

Director of Student Services

Jill Kenyon

Building Head Principals

Darren Erickson – PVHS, Mike Peakin – PVJH, Megan Halverson – Bridgeview, Laurie Brasche – Cody, Christopher Welch – Forest Grove, Tony Runkle – Hopewell, Steven Cotton – Pleasant View, Jennifer Richardson – Riverdale Heights

TLC Coordinator

Stephanie Seier

Food Service Director

Corie Gamble

School Building Associate Principals & Deans

Adam Pagett – PVHS Associate Principal, D'Anne Kroemer – PVHS (Associate Principal/Activities Director), Jason Jones – PVHS Associate Principal, Jamie Homb – PVHS Dean of Students, Colin Wikan – PVJH Dean of Students, Tia Stevens-Hicks – PVJH Dean of Students, Rachel Gotto – Hopewell Dean of Students, Megan Halverson – Hopewell, Elizabeth Bornhoeft –Riverdale Heights Dean of Students, Stacie Giesecke – Pleasant View Dean of Students

Government Finance Officers Association

Certificate of Achievement for Excellence in Financial Reporting

Presented to

Pleasant Valley Community School District
Iowa

For its Annual Comprehensive
Financial Report
For the Fiscal Year Ended

June 30, 2022

Christopher P. Morrill

Executive Director/CEO

ASSOCIATION OF
SCHOOL BUSINESS OFFICIALS
INTERNATIONAL

The Certificate of Excellence in Financial Reporting
is presented to

Pleasant Valley Community School District

for its Annual Comprehensive Financial Report
for the Fiscal Year Ended June 30, 2022.

The district report meets the criteria established for
ASBO International's Certificate of Excellence in Financial Reporting.

CERTIFICATE OF EXCELLENCE IN FINANCIAL REPORTING

John W. Hutchison
President

Siobhán McMahon, CAE
Chief Operations Officer/
Interim Executive Director

Bohnsack & Frommelt LLP
Certified Public Accountants

Independent Auditor's Report

To the Board of Education
Pleasant Valley Community School District
Bettendorf, Iowa

Report on the Audit of the Financial Statements

Opinions

We have audited the financial statements of the governmental activities, business-type activities, each major fund, and the aggregate remaining fund information of the Pleasant Valley Community School District (the District) as of and for the year ended June 30, 2023, and the related notes to the financial statements, which collectively comprise the District's basic financial statements as listed in the table of contents.

In our opinion, the accompanying financial statements referred to above present fairly, in all material respects, the respective financial position of the governmental activities, business-type activities, each major fund and the aggregate remaining fund information of the Pleasant Valley Community School District, as of June 30, 2023, and the respective changes in financial position and, where applicable, cash flows thereof for the year then ended in accordance with accounting principles generally accepted in the United States of America.

Basis for Opinions

We conducted our audit in accordance with auditing standards generally accepted in the United States of America (GAAS) and the standards applicable to the financial audits contained in *Government Auditing Standards,* issued by the Comptroller General of the United States. Our responsibilities under those standards are further described in the Auditor's Responsibilities for the Audit of the Financial Statements section of our report. We are required to be independent of Pleasant Valley Community School District and to meet our other ethical responsibilities, in accordance with the relevant ethical requirements relating to our audit. We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our audit opinions.

Emphasis of Matter

As discussed in Note 14 to the financial statements, Pleasant Valley Community School District adopted new accounting guidance related to Governmental Accounting Standards Board Statement No. 96, *Subscription-Based Information Technology Arrangements.* As a result, June 30, 2022 governmental activities net position is restated by $5,161. Our opinions are not modified with respect to this matter.

Responsibilities of Management for the Financial Statements

Management is responsible for the preparation and fair presentation of the financial statements in accordance with accounting principles generally accepted in the United States of America, and for the design, implementation, and maintenance of internal control relevant to the preparation and fair presentation of financial statements that are free from material misstatement, whether due to fraud or error.

In preparing the financial statements, management is required to evaluate whether there are conditions or events, considered in the aggregate, that raise substantial doubt about the Pleasant Valley Community School District's ability to continue as a going concern for twelve months beyond the financial statement date, including any currently known information that may raise substantial doubt shortly thereafter.

Auditor's Responsibilities for the Audit of the Financial Statements

Our objectives are to obtain reasonable assurance about whether the financial statements as a whole are free from material misstatement, whether due to fraud or error, and to issue an auditor's report that includes our opinions. Reasonable assurance is a high level of assurance but is not absolute assurance and therefore is not a guarantee that an audit conducted in accordance with GAAS and *Government Auditing Standards* will always detect a material misstatement when it exists. The risk of not detecting a material misstatement resulting from fraud is higher than for one resulting from error, as fraud may involve collusion, forgery, intentional omissions, misrepresentations, or the override of internal control. Misstatements are considered material if there is a substantial likelihood that, individually or in the aggregate, they would influence the judgment made by a reasonable user based on the financial statements.

In performing an audit in accordance with GAAS and *Government Auditing Standards*, we:

- Exercise professional judgement and maintain professional skepticism throughout the audit.

- Identify and assess the risks of material misstatement of the financial statements, whether due to fraud or error, and design and perform audit procedures responsive to those risks. Such procedures include examining, on a test basis, evidence regarding the amounts and disclosures in the financial statements.

- Obtain an understanding of internal control relevant to the audit in order to design audit procedures that are appropriate in the circumstances, but not for the purpose of expressing an opinion on the effectiveness of Pleasant Valley Community School District's internal control. Accordingly, no such opinion is expressed.

- Evaluate the appropriateness of accounting policies used and the reasonableness of significant accounting estimates made by management, as well as evaluate the overall presentation of the financial statements.

- Conclude whether, in our judgment, there are conditions or events, considered in the aggregate, that raise substantial doubt about Pleasant Valley Community School District's ability to continue as a going concern for a reasonable period of time.

We are required to communicate with those charged with governance regarding, among other matters, the planned scope and timing of the audit, significant audit findings, and certain internal control-related matters that we identified during the audit.

Required Supplementary Information

Accounting principles generally accepted in the United States of America require that the management's discussion and analysis, budgetary comparison information, schedule of changes in the District's total OPEB liability and related ratios, and schedule of the District's proportionate share of the net pension liability and schedule of District contributions on pages 4-16 and 58-67 be presented to supplement the basic financial statements. Such information, is the responsibility of management and, although not a part of the basic financial statements, is required by the Governmental Accounting Standards Board who considers it to be an essential part of financial reporting for placing the basic financial statements in an appropriate operational, economic, or historical context. We have applied certain limited procedures to the required supplementary information in accordance with auditing standards generally accepted in the United States of America, which consisted of inquiries of management about the methods of preparing the information and comparing the information for consistency with management's responses to our inquiries, the basic financial statements, and other knowledge we obtained during our audit of the basic financial statements. We do not express an opinion or provide any assurance on the information because the limited procedures do not provide us with sufficient evidence to express an opinion or provide any assurance.

Supplementary Information

Our audit was conducted for the purpose of forming opinions on the financial statements that collectively comprise the Pleasant Valley Community School District's basic financial statements. The supplementary information, as listed on the table of contents and the Schedule of Expenditures of Federal Awards as required by Title 2, *U.S Code of Federal Regulations,* Part 200*, Uniform Administrative Requirements, Cost Principles and Audit Requirements for Federal Awards* (Uniform Guidance), are presented for purposes of additional analysis and are not a required part of the basic financial statements.

Such information is the responsibility of management and was derived from and relates directly to the underlying accounting and other records used to prepare the basic financial statements. The information has been subjected to the auditing procedures applied in the audit of the basic financial statements and certain additional procedures, including comparing and reconciling such information directly to the underlying accounting and other records used to prepare the basic financial statements or to the basic financial statements themselves, and other additional procedures in accordance with auditing standards generally accepted in the United States of America. In our opinion, the supplementary information and Schedule of Expenditures of Federal Awards is fairly stated, in all material respects, in relation to the basic financial statements as a whole.

Other Information

Management is responsible for the other information included in the annual report. The other information comprises the introductory and statistical sections but does not include the basic financial statements and our auditor's report thereon. Our opinions on the basic financial statements do not cover the other information, and we do not express an opinion or any form of assurance thereon.

In connection with our audit of the basic financial statements, our responsibility is to read the other information and consider whether a material inconsistency exists between the other information and the basic financial statements, or the other information otherwise appears to be materially misstated. If, based on the work performed, we conclude that an uncorrected material misstatement of the other information exists, we are required to describe it in our report.

Other Reporting Required by *Government Auditing Standards*

In accordance with *Government Auditing Standards*, we have also issued our report dated December 13, 2023, on our consideration of the Pleasant Valley Community School District's internal control over financial reporting and on our tests of its compliance with certain provisions of laws, regulations, contracts, and grant agreements and other matters. The purpose of that report is to describe the scope of our testing of internal control over financial reporting and compliance and the results of that testing, and not to provide an opinion on the effectiveness of the Pleasant Valley Community School District's internal control over financial reporting or on compliance. That report is an integral part of an audit performed in accordance with *Government Auditing Standards* in considering Pleasant Valley Community School District's internal control over financial reporting and compliance.

Bohnsack & Frommelt LLP

Moline, Illinois
December 13, 2023

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Pleasant Valley Community School District provides this Management's Discussion and Analysis of its financial statements. This narrative overview and analysis of the financial activities is for the fiscal year ended June 30, 2023. We encourage readers to consider this information in conjunction with additional information that we have furnished in our transmittal letter and the District's financial statements, which follow:

2022-23 FINANCIAL HIGHLIGHTS

- The District's net position for governmental activities was $79,973,084 at June 30, 2023 compared to restated $68,478,234 at June 30, 2022, an increase of $11,494,850 or 16.8%.

- The District implemented Governmental Accounting Standards Board Statement (GASBS) No. 96, *Subscription-Based Information Technology Arrangements (SBITAs)* during the 2022-23 fiscal year. The implementation of this standard changed the beginning net position for governmental activities. Beginning governmental activities net position was restated from $68,473,073 to $68,478,234 as a result of the implementation of GASBS No. 96.

- The District's net position for business-type activities was $3,756,400 at June 30, 2023 compared to $3,154,977 at June 30, 2022, an increase of $601,423 or 19.1%. This increase was mainly due to a significant increase in charges for services.

- The District's solvency ratio (Assigned + Unassigned General Fund Balance / Actual General Fund Revenues – AEA Flowthrough) decreased from 17.2% at June 30, 2022 to 17.1% at June 30, 2023. Per the Iowa Association of School Board (IASB), solvency ratio is a financial measure that provides a picture of the cash resources on hand at fiscal year-end of a school district and represents the percent of the district's available funding. IASB recommends that this ratio be between 7 – 17%, not to exceed 25%.

- The District's long-term bonded debt decreased $5,464,180 during the 2022-23 fiscal year due to the scheduled debt repayments and amortization of premiums and discounts.

- The District's overall property tax levy rate was decreased from $13.76 (rounded to the nearest penny) per $1,000 taxable valuation in the 2021-22 fiscal year to $13.46 (rounded to the nearest penny) per $1,000 taxable valuation in the 2022-23 fiscal year.

USING THIS ANNUAL REPORT

The annual report consists of a series of financial statements and other information, as follows:

- Management's Discussion and Analysis introduces the basic financial statements and provides an analytical overview of the District's financial activities.

- The government-wide financial statements consist of a Statement of Net Position and a Statement of Activities. These provide information about the activities of Pleasant Valley Community School District as a whole and present an overall view of the District's finances.

- The fund financial statements tell how governmental services were financed in the short term as well as what remains for future spending. Fund financial statements report Pleasant Valley Community School District's operations in more detail than the government-wide statements by providing information about the most significant funds. The remaining statements provide financial information about activities for which Pleasant Valley Community School District acts solely as an agent or custodian for the benefit of those outside of the District.

- Notes to financial statements provide additional information essential to a full understanding of the data provided in the basic financial statements.

- Required supplementary information further explains and supports the financial statements with a comparison of the District's budget for the year, the District's proportionate share of the net pension liability and related contributions, as well as presenting the Schedule of Changes in the District's Total OPEB Liability, Related Ratios and Notes.

- Supplementary information provides detailed information about the nonmajor governmental funds. In addition, the Schedule of Expenditures of Federal Awards provides details of various federal programs benefitting the District.

REPORTING THE DISTRICT'S FINANCIAL ACTIVITIES

Government-Wide Financial Statements

The government-wide financial statements report information about the District as a whole using accounting methods similar to those used by private-sector companies. The Statement of Net Position includes all of the District's assets, deferred outflows of resources, liabilities, and deferred inflows of resources, with the difference reported as net position. All of the current year's revenues and expenses are accounted for in the Statement of Activities, regardless of when cash is received or paid.

The two government-wide statements report the District's net position and how it has changed. Net position is one way to measure the District's financial health or financial position. Over time, increases or decreases in the District's net position is an indicator of whether financial position is improving or deteriorating. To assess the District's overall health, additional non-financial factors, such as changes in the District's property tax base and the condition of school buildings and other facilities need to be considered.

In the government-wide financial statements, the District's activities are divided into two categories:

Governmental activities: Most of the District's basic services are included here, such as regular and special education, transportation and administration. Property tax and state aid finance most of these activities.

Business type activities: The District charges fees to help it cover the costs of certain services it provides. The District's school nutrition program and student construction fund are included here.

Fund Financial Statements

The fund financial statements provide more detailed information about the District's funds, focusing on its most significant or "major" funds – not the District as a whole. Funds are accounting devices the District uses to keep track of specific sources of funding and spending on particular programs.

Some funds are required by state law and by bond covenants. The District establishes other funds to control and manage money for particular purposes, such as accounting for student activity funds, or to show that it is properly using certain revenues, such as federal grants.

The District has three kinds of funds:

1) **Governmental Funds**: Most of the District's basic services are included in governmental funds, which generally focus on (1) how cash and other financial assets that can readily be converted to cash flow in and out and (2) the balances left at year-end that are available for spending. Consequently, the governmental fund statements provide a detailed short-term view that helps determine whether there are more or fewer financial resources that can be spent in the near future to finance the District's programs.

   The District's major governmental funds for 2022-23 were the General Fund and the Capital Projects Fund. The nonmajor governmental funds include two Special Revenue Funds (the Management Fund and Student Activities Fund) and the Debt Service Fund. The required financial statements for governmental funds include a Balance Sheet and a Statement of Revenues, Expenditures and Changes in Fund Balances.

2) **Proprietary funds**: Services for which the District charges a fee are generally reported in proprietary funds. Proprietary funds are reported in the same way as the government-wide financial statements. The District's Enterprise Funds, one type of proprietary fund, are the same as its business-type activities but provide more detail and additional information, such as cash flows. The District currently has two Enterprise Funds, the School Nutrition Fund and the Student Construction Fund. The District uses internal service funds, the other kind of proprietary fund, to report activities that provide supplies and services for other District programs and activities. The District currently has one internal service fund, which is used to account for the District's partially self-funded health and fully self-funded dental insurance plans.

   The required financial statements for proprietary funds include a Statement of Net Position, a Statement of Revenues, Expenses and Changes in Net Position and a Statement of Cash Flows.

3) **Fiduciary funds**: The District is the trustee, or fiduciary, for assets that belong to others. This fund type includes custodial funds.

   Custodial Funds: These are funds through which the District faculty accounts for certain revenue collected for District employee purchases of pop, funeral flowers, etc. and related expenditures and for revenues and expenditures of other various club accounts.

   The District is responsible for ensuring the assets reported in the fiduciary funds are used only for their intended purposes and by those to whom the assets belong. The District excludes these activities from the government-wide financial statements because it cannot use these assets to finance its operations.

   The required financial statements for fiduciary funds include a Statement of Fiduciary Net Position and a Statement of Changes in Fiduciary Net Position.

Reconciliations between the government-wide financial statements and the governmental fund financial statements follow the governmental fund financial statements.

GOVERNMENT-WIDE FINANCIAL ANALYSIS

Figure A-1 below provides a summary of the District’s net position as of June 30, 2023 compared to June 30, 2022.

Figure A-1 Condensed Statement of Net Position

	Governmental Activities		Business-Type Activities		Total School District		Total Percentage Change
	2023	Restated 2022	2023	2022	2023	Restated 2022	2022-23
Current and other assets	$ 72,302,738	$ 69,381,483	$ 3,882,393	$ 3,191,378	$ 76,185,131	$ 72,572,861	5.0%
Capital assets	97,835,703	95,739,034	587,501	669,179	98,423,204	96,408,213	2.1%
Total assets	170,138,441	165,120,517	4,469,894	3,860,557	174,608,335	168,981,074	3.3%
Deferred outflows of resources	6,744,141	6,461,419	170,955	170,147	6,915,096	6,631,566	4.3%
Long-term liabilities	56,681,617	45,847,094	581,962	237,263	57,263,579	46,084,357	24.3%
Other liabilities	11,436,315	10,575,024	239,932	185,701	11,676,247	10,760,725	8.5%
Total liabilities	68,117,932	56,422,118	821,894	422,964	68,939,826	56,845,082	21.3%
Deferred inflows of resources	28,791,566	46,681,584	62,555	452,763	28,854,121	47,134,347	-38.8%
Net position:							
Net investment in capital assets	69,100,013	64,299,736	587,501	669,179	69,687,514	64,968,915	7.3%
Restricted	15,148,892	11,617,264	4,299	7,716	15,153,191	11,624,980	30.4%
Unrestricted	(4,275,821)	(7,438,766)	3,164,600	2,478,082	(1,111,221)	(4,960,684)	77.6%
Total net position	$ 79,973,084	$ 68,478,234	$ 3,756,400	$ 3,154,977	$ 83,729,484	$ 71,633,211	16.9%

The District’s combined net position as of June 30, 2023 grew by $12,096,273 (16.9%) over the June 30, 2022 combined net position as restated. Net position in the governmental activities grew by $11,494,850 (16.8%). The net position of the District’s business-type activities increased by $601,423 (19.1%).

The largest portion of the District’s net position is invested in capital assets (e.g., land, infrastructure, intangibles, buildings, equipment and right-to-use leased equipment), less the related debt. The debt related to the investment in capital assets is liquidated with resources other than capital assets.

The most significant factors for the increase in the combined net position of the District were the increase in the unrestricted portion of net position and the increase in the net investment in capital assets.

The District’s combined net investment in capital assets increased by $4,718,599 (7.3%) primarily due to District’s continued investment in buildings and reduction of debt.

Restricted net position represents resources subject to external restrictions, constitutional provisions or enabling legislation on how they can be used. The District’s restricted net position increased by $3,528,211 (30.4%) primarily due to revenue exceeding expenditures and transfers during the year in the Capital Projects Funds.

Net position increased in governmental activities unrestricted net position (the part of net position that can be used to finance day-to-day operations without constraints established by debt covenants, enabling legislation or other legal requirements) by $3,162,945 (42.5%) primarily due to the net pension liability and related deferrals of inflows and deferral of outflows of resources experiencing improved investment earnings on an actuarial basis.

Net position increased in Business-Type activities by $601,423 (19.1%) primarily due to a significant increase in revenue received from charges for services and federal program revenue.

Figure A-2 shows the changes in net position for the year ended June 30, 2023 compared to the year ended June 30, 2022.

Figure A-2 Changes in Net Position From Operating Results

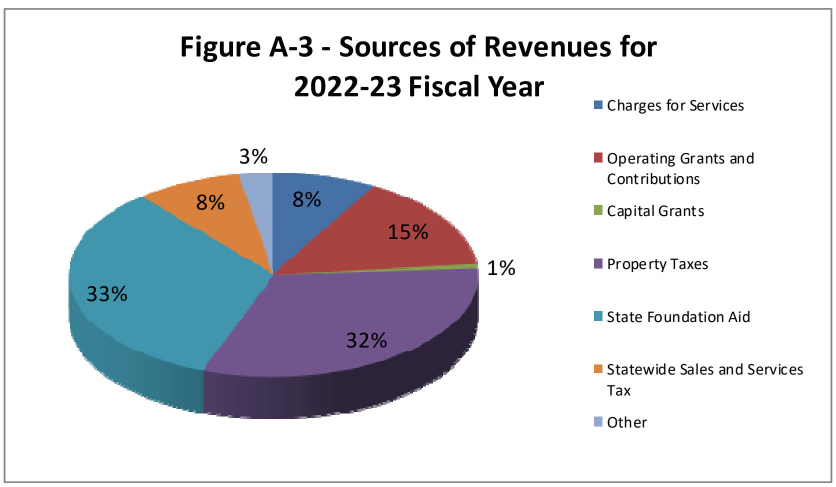
	Governmental Activities		Business-Type Activities		Total School District		Total Percentage Change
	2023	Not Restated 2022	2023	2022	2023	Not Restated 2022	2022-23
Revenues:							
Program revenues:							
Charges for services	$ 4,695,526	$ 3,824,770	$ 2,230,141	$ 743,024	$ 6,925,667	$ 4,567,794	51.6%
Operating grants and contributions	11,391,815	9,411,513	1,357,903	3,556,322	12,749,718	12,967,835	-1.7%
Capital grants and contributions	482,245	-	11,000	-	493,245	-	100.0%
General revenues:							
Property taxes	26,400,236	26,622,225	-	-	26,400,236	26,622,225	-0.8%
State foundation aid	27,930,505	27,262,472	-	-	27,930,505	27,262,472	2.5%
Unrestricted intergovernmental revenue	7,101,953	5,854,401	-	-	7,101,953	5,854,401	21.3%
Other	2,100,491	448,452	115,818	10,947	2,216,309	459,399	382.4%
Total revenues	80,102,771	73,423,833	3,714,862	4,310,293	83,817,633	77,734,126	7.8%
Expenses:							
Instruction	46,223,590	42,928,035	-	-	46,223,590	42,928,035	7.7%
Support services	18,796,115	17,823,526	-	-	18,796,115	17,823,526	5.5%
Noninstructional	32,771	24,945	3,055,700	2,877,616	3,088,471	2,902,561	6.4%
Other	3,613,184	3,575,615	-	-	3,613,184	3,575,615	1.1%
Total expenses	68,665,660	64,352,121	3,055,700	2,877,616	71,721,360	67,229,737	6.7%
Change in net position before transfers	11,437,111	9,071,712	659,162	1,432,677	12,096,273	10,504,389	15.2%
Transfers	57,739	219,176	(57,739)	(219,176)	-	-	0.0%
Increase in net position	11,494,850	9,290,888	601,423	1,213,501	12,096,273	10,504,389	15.2%
Net position, beginning of year, as restated	68,478,234	59,182,185	3,154,977	1,941,476	71,633,211	61,123,661	
Net position, end of year	$ 79,973,084	$ 68,473,073	$ 3,756,400	$ 3,154,977	$ 83,729,484	$ 71,628,050	

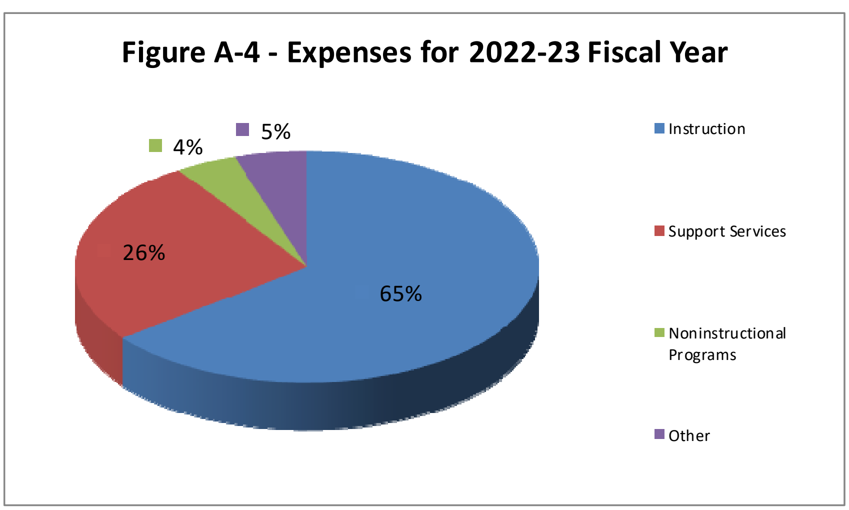
In 2022-23, property taxes, unrestricted intergovernmental revenue and state foundation aid accounted for 76.7% of the revenue from governmental activities while charges for services and grants and contributions accounted for 96.9% of the revenue from business-type activities.

In 2022-23, the District's expenses primarily relate to instructional and support services, which account for 90.7% of the total expenses. Total District expenses increased by $4,491,623 (6.7%), primarily because of increases in instruction and support services expenditures related to salary and benefit increases.

Total revenue for the District increased by $6,083,507 (7.8%) in the fiscal year ended June 30, 2023. The most significant revenue category changes were due to an increase in charges for services and other revenues. Charges for services increased in the Nutrition Fund $1,487,117 due to the District charging for lunches again that were funded by federal programs in the prior year due to COVID-19. Other revenues increased primarily due to increases in interest rates available.

Figures A-3 and A-4, which follow, show charts reflecting sources of revenue and distribution of expenses for the 2022-23 fiscal year.





Governmental Activities

Revenue for the District's governmental activities in 2022-23 increased by $6,678,938 (9.1%) from the previous year, while total expenses in governmental activities increased by $4,313,539 (6.7%). Governmental activities net position as of June 30, 2023 increased by $11,494,850 (16.8%) over the June 30, 2022 balance.

Figure A-5 presents the total and net cost of the District's major governmental activities: instruction, support services, noninstructional programs and other expenses, for the year ended June 30, 2023 compared to the year ended June 30, 2022.

Figure A-5 Net Cost of Governmental Activities

	Total Cost of Services		Percentage Change	Net Cost of Services		Percentage Change
	2023	2022		2023	2022	
Instruction	$ 46,223,590	$ 42,928,035	7.7%	$ 34,688,363	$ 32,258,677	7.5%
Support services	18,796,115	17,823,526	5.5%	16,406,206	17,742,912	-7.5%
Noninstructional	32,771	24,945	31.4%	32,771	24,945	31.4%
Other	3,613,184	3,575,615	1.1%	968,734	1,089,304	-11.1%
Total	$ 68,665,660	$ 64,352,121	6.7%	$ 52,096,074	$ 51,115,838	1.9%

For the year ended June 30, 2023:

- The cost financed by the users of the District's programs was $4,695,526.
- Federal and state governments and some local sources subsidized certain programs with grants and contributions totaling $11,874,060.
- The net cost of governmental activities was financed with $26,400,236 in property taxes, $27,930,505 of unrestricted state grants, $7,101,953 in statewide sales and services tax revenue, and $2,100,491 in investment and other earnings.

For the year ended June 30, 2022:

- The cost financed by the users of the District's programs was $3,824,770.
- Federal and state governments and some local sources subsidized certain programs with grants and contributions totaling $9,411,513.
- The net cost of governmental activities was financed with $26,622,225 in property taxes, $27,262,472 of unrestricted state grants, $5,854,401 in statewide sales and services tax revenue, and $448,452 in investment and other earnings.

Business-Type Activities

The District's business-type activities include the School Nutrition Fund and Student Construction Fund. Revenues of the District's business-type activities in 2022-23 were $3,714,862; a decrease of $595,431 (13.8%) from 2021-22. Other revenues of these activities were comprised of federal and state reimbursements and interest. Expenses were $3,055,700, an increase of $178,084 (6.2%) from 2021-22.

INDIVIDUAL FUND ANALYSIS

As previously noted, the Pleasant Valley Community School District uses fund accounting to ensure and demonstrate compliance with finance-related legal requirements.

The financial performance of the District as a whole is reflected in its governmental funds, as well. As the District completed the year, its governmental funds reported combined fund balances of $31,090,187, which reflects an increase of $1,069,433 (3.6%) from last year's ending fund balances of $30,020,754. The primary reasons for the increase in combined fund balances at the end of the 2022-23 fiscal year are an increase in the balance of accumulated statewide penny sales tax (SAVE) revenue in the Capital Projects Fund and an increase in the fund balance of the District's Management Fund.

Governmental Fund Highlights

- The fund balance in the District's General Fund increased by $202,001 (1.7%) from $11,942,859 as of June 30, 2022 to $12,144,860 as of June 30, 2023. Revenues of the General Fund increased $2,818,171 (4.5%). The increase was primarily due to an increase in state revenues of $2,977,429 (8.6%) and other local revenues of $618,811 (90.1%) and tuition revenues of $546,803 (24.0%) offset by a decrease in federal revenue of $411,445 (18.1%). Expenditures increased $3,017,910 (4.9%), primarily in instruction.

- The fund balance in the Capital Projects Fund decreased by $457,785 (3.1%) from $14,722,369 as of June 30, 2022 to $14,264,584 as of June 30, 2023. Total expenditures were $5,940,420 in 2022-23 compared to $1,155,157 in 2021-22. The increase in expenditures were due to planned capital projects for buildings and building renovations.

Proprietary Fund Highlights

The net position of the District's proprietary funds increased during the year.

- The net position of the Nutrition Fund increased by $605,337 (19.7%) during 2022-23 from the 2021-22 net position. Charges for services increased from $743,024 in 2021-22 to $2,230,141 in 2022-23 primarily due to loss of food services sales for the 2021-22 school year due to the pandemic funding for the nutrition program.

BUDGETARY HIGHLIGHTS

A schedule showing the original and final budget amounts compared to the District's actual financial activity is included in the required supplementary information section of this report.

In accordance with the Code of Iowa, the Board of Education annually adopts a budget following required public notice and hearing for all funds, except internal service funds and custodial funds. This is referred to as the certified budget. The certified budget may be amended during the year utilizing similar statutorily prescribed procedures. The District uses the GAAP (Generally Accepted Accounting Principles) method of accounting for budgeting purposes. Over the course of the year, the District amended its certified budget one time.

Pleasant Valley Community School District's normal practice is to amend the certified budget one time during each fiscal year. Iowa law requires that actual spending in each functional area of the budget does not exceed the amount budgeted to be spent in that functional area at any time during the fiscal year. The District's practice is to amend the budget each year prior to expenses going over budget in any of the functional areas. The District's practice is also to amend the budget to reflect the entire fund balances in each of the various budgeted funds being spent down to a zero balance at the end of the fiscal year. As a result, the District's certified budget as amended should always exceed actual expenditures for the year. This is the most significant reason for the amended budget showing $37,087,427 more in expenditures than the original certified budget for the 2022-23 fiscal year.

The other main reason for the differences between the original budget and the amended budget are:

- The budget is amended to reflect additional allowed expenditures due to receipt of other miscellaneous income during the year that was not possible to predict when the certified budget was adopted.

CAPITAL ASSETS AND DEBT ADMINISTRATION

Capital Assets

By the end of the 2022-23 fiscal year, the District had invested $98,423,204 (net of accumulated depreciation of $61,260,558) in a broad range of assets, including school buildings, athletic facilities, computer and audio-visual equipment and administrative offices. (See Figure A-6). This amount represents a net increase of $2,014,991 or 2.1% from last year. (More detailed information about capital assets can be found in Note 4 to the financial statements). Total depreciation expense for the year was $4,378,521.

Figure A-6 Capital Assets (Net of Depreciation)

	Governmental Activities		Business-Type Activities		Total School District		Total Percentage Change
		Restated				Restated	
	2023	2022	2023	2022	2023	2022	2022-23
Land	$ 1,360,555	$ 1,360,555	$ -	$ -	$ 1,360,555	$ 1,360,555	0.0%
Buildings	85,004,348	87,538,593	-	-	85,004,348	87,538,593	-2.9%
Improvements other than buildings	4,671,687	4,660,612	-	-	4,671,687	4,660,612	0.2%
Furniture and equipment	1,642,782	1,594,410	587,501	669,179	2,230,283	2,263,589	-1.5%
Construction in progress	4,661,901	391,655	-	-	4,661,901	391,655	1090.3%
Intangible right to use lease equipment	115,211	163,278	-	-	115,211	163,278	-29.4%
Intangible right to use IT subscription	379,219	29,931	-	-	379,219	29,931	1167.0%
Total	$ 97,835,703	$ 95,739,034	$ 587,501	$ 669,179	$ 98,423,204	$ 96,408,213	2.1%

Long-Term Debt

As of June 30, 2023, the District had $57,263,579 in long-term debt outstanding. This represents an increase of $11,179,222 (24.3%) over last year (See Figure A-7). In the 2022-23 fiscal year, the District made principal payments of $5,520,631 and interest payments of $1,015,552 on its long-term debt. More detailed information about the District's long-term debt is presented in Note 5 to the financial statements.

The constitution of the State of Iowa limits the amount of general obligation debt districts can issue to 5% of the assessed value of all taxable property within the District. The District's outstanding general obligation debt is significantly below its constitutional debt limit of $187,369,991.

Payments of early retirement benefits come out of the District's Management Fund. Payments of compensated absences and lease obligations are primarily made from the District's General Fund.

Figure A-7 Outstanding Long-Term Obligations

	Governmental Activities		Business-Type Activities		Total School District		Total Percentage Change
	2023	Restated 2022	2023	2022	2023	Restated 2022	2022-23
Revenue bonds	$ 22,990,000	$ 26,515,000	$ -	$ -	$ 22,990,000	26,515,000	-13.3%
GO bonds	10,600,901	12,540,081	-	-	10,600,901	12,540,081	-15.5%
Lease obligation	139,407	213,703	-	-	139,407	213,703	-34.8%
IT subscription obligation	25,948	24,770	-	-	25,948	24,770	4.8%
Early retirement	641,871	521,358	-	-	641,871	521,358	23.1%
Compensated absences	888,912	976,715	-	-	888,912	976,715	-9.0%
Net OPEB liability	4,983,394	4,532,126	207,642	188,839	5,191,036	4,720,965	10.0%
Net pension liability	16,411,184	523,341	374,320	48,424	16,785,504	571,765	2835.7%
Total	$ 56,681,617	$ 45,847,094	$ 581,962	$ 237,263	$ 57,263,579	$ 46,084,357	24.3%

ECONOMIC FACTORS BEARING ON THE DISTRICT'S FUTURE

At the time these financial statements were prepared and audited, the District was aware of several existing circumstances that could significantly affect its financial health in the future:

- The District continues to experience significant growth. The District's certified enrollment (resident headcount) for the 2022-23 fiscal year (taken on October 3, 2022 was 5,556.8, an increase of 133.2 students or 2.5% over the 2021-2022 fiscal year certified enrollment of 5,423.6 (taken on October 1, 2021). A District's certified enrollment is used in determining funding through the Iowa state foundation formula in the fiscal year immediately after the fiscal year in which the certified enrollment count is actually taken. The District's certified enrollment has increased by 1,326.8 students (31.4%) in the last ten years and 2,426.0 students (77.5%) in the last twenty years. An enrollment forecast completed by Iowa School Finance Information Services in November, 2022 projected an average annual increase in the District's certified enrollment of 148.9 students per year over the next twenty years. The average growth in the District's taxable valuations (including tax increment financing (TIF's)) over the last ten years has been 5.3%. In the 2022-23 fiscal year (taxable valuations as of January 1, 2021), the increase was 5.6%.

- The continuing growth has made it necessary for the District to complete several building construction, addition and renovation projects over the past several years. At the end of the 2022-23 fiscal year, construction was happening for a building addition and renovation at Pleasant Valley Junior High School (16 new classrooms, new administrative space, remodeling of family and consumer science room, art room and counselors' office area and an expansion of cafeteria space) and also at Forest Grove Elementary School (12 new classrooms and additional restroom space). The District will be receiving bids in the 2023-24 fiscal year for a projected approximately $34,000,000 addition onto Pleasant Valley High School. That high school construction project will include 22 new classrooms plus an additional five science labs and a cafeteria renovation and expansion. Additional borrowing of funds for more building additions and renovations, possible land purchases for future school sites, etc. may become necessary over the next few years as the District works to keep up with the student growth. While this growth has a positive impact, it also brings with it significant challenges in maintaining the District's infrastructure to accommodate this growth in an orderly and efficient manner.

- The Students First Act, introduced by Governor Reynolds and signed into law on Jan. 24, 2023, makes state funding available to support the success of every K-12 student in Iowa. The bill establishes a framework and funding for education savings accounts (ESAs), which may be used by eligible families to cover tuition, fees, and other qualified education expenses at accredited nonpublic schools in Iowa. In the first year of Educational Savings Accounts (ESAs) in the state of Iowa (2023-24 fiscal year), the District had 48 resident students who qualified to receive the funding. The District will receive approximately $1,120 of categorical funding per student for those 48 students in the 2023-24 fiscal year even though they are not attending our schools. Students First ESAs will be available based on the following eligibility:

  Year 1: School Year 2023-2024

  - All entering kindergarten students
  - All students enrolled in a public school
  - A student enrolled in an accredited nonpublic school with a household income at or below 300% of the 2023 Federal Poverty Guidelines, $90,000 for a family of four

Year 2: School Year 2024-2025

- All entering kindergarten students
- All students enrolled in a public school
- A student enrolled in an accredited nonpublic school with a household income at or below 400% of the 2024 Federal Poverty Guidelines that will be updated January 2024

Year 3: School Year 2025-2026

- All K-12 students in Iowa regardless of income

It is unknown how many resident students of the District will receive funding for the ESAs in future years and exactly what financial effect that may have on the District in the future.

- The Iowa Legislature set the supplemental state aid (S.S.A.) percentage at 2.50% for the 2022-23 fiscal year and 3.00% for the 2023-24 fiscal year. Supplemental state aid has only averaged 2.45% over the past five years. As the District's General Fund budget is comprised of approximately 75-80% salary and benefits, wage and salary adjustments arrived at through the District's formal negotiations process will have a significant impact on future budget spending decisions.

- A nationwide labor shortage has made it increasingly difficult to retain and recruit qualified staff. Salaries and benefits expenditures are expected to increase as a result of the current labor market.

- In the spring of 2023, the Iowa Legislature passed a significant change to student open enrollment laws. The change addressed the long-standing condition of the law that districts could manage the numbers of students leaving a home district to attend a neighboring district, which was accomplished through application timelines and home district approval conditions. The 2023 law adjustment eliminated application timelines and the need for rationale to qualify. As a result, there has been an immediate increase of open enrollment requests and the full impact of this change will take several years to fully realize.

CONTACTING THE DISTRICT'S FINANCIAL MANAGEMENT

This financial report is designed to provide the District's citizens, taxpayers, customers, and investors and creditors with a general overview of the District's finances and to demonstrate the District's accountability for the money it receives. If you have questions about this report or need additional financial information, contact Mike Clingingsmith, Chief Financial Officer, Pleasant Valley Community School District, 525 Belmont Rd., Bettendorf, Iowa 52722.

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Basic Financial Statements

Pleasant Valley Community School District

Statement of Net Position
June 30, 2023

	Governmental Activities	Business-Type Activities	Total
Assets			
Cash and pooled investments	$ 43,216,847	$ 3,751,189	$ 46,968,036
Receivables:			
Property tax:			
Current year	80,327	-	80,327
Succeeding year	25,560,000	-	25,560,000
Accounts	805,343	1,471	806,814
Due from other governments	2,351,996	-	2,351,996
Inventories	-	26,202	26,202
Assets held for sale	-	103,531	103,531
Prepaid expenses	288,225	-	288,225
Capital assets:			
Nondepreciable	6,022,456	-	6,022,456
Depreciable, net	91,813,247	587,501	92,400,748
Total assets	170,138,441	4,469,894	174,608,335
Deferred Outflows of Resources:			
Pension related deferred outflows	5,214,366	107,215	5,321,581
OPEB related deferred outflows	1,529,775	63,740	1,593,515
Total deferred outflows of resources	6,744,141	170,955	6,915,096

Liabilities	Governmental Activities	Business-Type Activities	Total
Accounts payable	2,878,776	22,508	2,901,284
Salaries and benefits payable	6,414,682	-	6,414,682
Due to other governments	1,934,306	-	1,934,306
Claims incurred but not reported	173,416	-	173,416
Accrued interest	25,950	-	25,950
Unearned revenue	9,185	217,424	226,609
Long-term liabilities:			
Portion due within one year:			
Revenue bonds	3,610,000	-	3,610,000
General obligation bonds	1,999,180	-	1,999,180
Early retirement	438,376	-	438,376
Lease obligation	52,095	-	52,095
IT subscription obligation	16,780	-	16,780
Compensated absences	658,662	-	658,662
Portion due after one year:			
Revenue bonds	19,380,000	-	19,380,000
General obligation bonds	8,601,721	-	8,601,721
Compensated absences	230,250	-	230,250
Early retirement	203,495	-	203,495
Lease obligation	87,312	-	87,312
IT subscription obligation	9,168	-	9,168
Net OPEB liability	4,983,394	207,642	5,191,036
Net pension liability	16,411,184	374,320	16,785,504
Total liabilities	68,117,932	821,894	68,939,826
Deferred Inflows of Resources:			
Deferred revenue from succeeding year property tax	25,560,000	-	25,560,000
Pension related deferred inflows	2,015,281	11,877	2,027,158
OPEB related deferred inflows	1,216,285	50,678	1,266,963
Total deferred inflows of resources	28,791,566	62,555	28,854,121
Net Position			
Net investment in capital assets	69,100,013	587,501	69,687,514
Restricted for:			
Categorical funding	1,224,131	-	1,224,131
Management levy	3,509,025	-	3,509,025
Physical plant and equipment levy	182	-	182
School infrastructure	9,243,836	-	9,243,836
Other special revenue purposes	783,680	-	783,680
Debt service	388,038	-	388,038
Other	-	4,299	4,299
Unrestricted	(4,275,821)	3,164,600	(1,111,221)
Total net position	$ 79,973,084	$ 3,756,400	$ 83,729,484

See Notes to Basic Financial Statements.

Pleasant Valley Community School District

Statement of Activities
Year Ended June 30, 2023

Functions/Programs	Expenses
Governmental activities:	
Instruction:	
Regular instruction	$ 29,820,957
Special instruction	9,056,695
Other	7,345,938
	46,223,590
Support services:	
Student services	2,318,339
Instructional staff services	4,532,562
Administration services	5,784,137
Operation and maintenance of plant services	3,846,967
Transportation services	2,314,110
	18,796,115
Noninstructional programs	32,771
Other:	
Long term debt interest	968,734
AEA flowthrough	2,644,450
	3,613,184
Total governmental activities	68,665,660
Business-type activities:	
Noninstructional programs:	
Student construction	-
Food service operations	3,055,700
Total business-type activities	3,055,700
Total	$ 71,721,360
General revenues:	
Property tax levied for:	
General purposes	
Capital outlay	
Other specific purposes	
Utility excise tax	
Other tax	
Statewide sales and services tax	
Unrestricted state grants	
Revenue in lieu of taxes	
Unrestricted investment earnings	
Other	
Total general revenues	
Transfers	
Total general revenues and transfers	
Change in net position	
Net position, beginning of year, as restated	
Net position, end of year	

See Notes to Basic Financial Statements.

Program Revenues			Net (Expense) Revenue and Changes in Net Position		
Charges for Services	Operating Grants and Contributions	Capital Grants and Contributions	Governmental Activities	Business-Type Activities	Total
$ 2,191,551	$ 8,605,085	$ -	$ (19,024,321)	$ -	$ (19,024,321)
516,836	30,423	-	(8,509,436)	-	(8,509,436)
132,644	58,688	-	(7,154,606)	-	(7,154,606)
2,841,031	8,694,196	-	(34,688,363)	-	(34,688,363)
888,512	-	-	(1,429,827)	-	(1,429,827)
425,166	-	-	(4,107,396)	-	(4,107,396)
502,012	-	482,245	(4,799,880)	-	(4,799,880)
38,805	12,032	-	(3,796,130)	-	(3,796,130)
-	41,137	-	(2,272,973)	-	(2,272,973)
1,854,495	53,169	482,245	(16,406,206)	-	(16,406,206)
-	-	-	(32,771)	-	(32,771)
-	-	-	(968,734)	-	(968,734)
-	2,644,450	-	-	-	-
-	2,644,450	-	(968,734)	-	(968,734)
4,695,526	11,391,815	482,245	(52,096,074)	-	(52,096,074)
-	5,000	11,000	-	16,000	16,000
2,230,141	1,352,903	-	-	527,344	527,344
2,230,141	1,357,903	11,000	-	543,344	543,344
$ 6,925,667	$ 12,749,718	$ 493,245	(52,096,074)	543,344	(51,552,730)
			20,863,056	-	20,863,056
			3,472,790	-	3,472,790
			2,064,390	-	2,064,390
			792,530	-	792,530
			1,876	-	1,876
			7,101,953	-	7,101,953
			27,930,505	-	27,930,505
			5,672	-	5,672
			1,299,071	115,818	1,414,889
			1,342	-	1,342
			63,533,185	115,818	63,649,003
			57,739	(57,739)	-
			63,590,924	58,079	63,649,003
			11,494,850	601,423	12,096,273
			68,478,234	3,154,977	71,633,211
			$ 79,973,084	$ 3,756,400	$ 83,729,484

Pleasant Valley Community School District

Balance Sheet
Governmental Funds
June 30, 2023

	General	Capital Projects	Nonmajor	Total
Assets				
Cash and pooled investments	$ 18,846,407	$ 15,952,526	$ 4,757,350	$ 39,556,283
Receivables:				
Property tax:				
Current year	63,342	10,700	6,285	80,327
Succeeding year	20,900,000	3,370,000	1,290,000	25,560,000
Accounts	19,029	-	1,141	20,170
Due from other governments	1,829,251	522,745	-	2,351,996
Prepaid items	272,311	-	15,914	288,225
Total assets	$ 41,930,340	$ 19,855,971	$ 6,070,690	$ 67,857,001
Liabilities, Deferred Inflows of Resources, and Fund Balances				
Liabilities:				
Accounts payable	$ 533,147	$ 2,221,387	$ 94,107	$ 2,848,641
Salaries and benefits payable	6,414,682	-	-	6,414,682
Due to other governments	1,934,306	-	-	1,934,306
Unearned revenue	3,345	-	5,840	9,185
Total liabilities	8,885,480	2,221,387	99,947	11,206,814
Deferred Inflows of Resources:				
Unavailable revenue:				
Succeeding year property tax	20,900,000	3,370,000	1,290,000	25,560,000
Total deferred inflows of resources	20,900,000	3,370,000	1,290,000	25,560,000
Fund balances:				
Nonspendable	272,311	-	15,914	288,225
Restricted for:				
Categorical funding	1,224,131	-	-	1,224,131
Management levy	-	-	3,509,025	3,509,025
Physical plant and equipment levy	-	182	-	182
School infrastructure	-	14,264,402	-	14,264,402
Student activity purposes	-	-	767,766	767,766
Debt service	-	-	388,038	388,038
Assigned primarily for transportation	3,277,498	-	-	3,277,498
Unassigned	7,370,920	-	-	7,370,920
Total fund balances	12,144,860	14,264,584	4,680,743	31,090,187
Total liabilities, deferred inflows of resources, and fund balances	$ 41,930,340	$ 19,855,971	$ 6,070,690	$ 67,857,001

See Notes to Basic Financial Statements.

Pleasant Valley Community School District

Reconciliation of Total Governmental Fund Balances to Net Position of Governmental Activities
June 30, 2023

Total fund balances of governmental funds	$ 31,090,187
Amounts reported for governmental activities in the Statement of Net Position are different because:	
Capital assets used in governmental activities are not financial resources and, therefore, are not reported as assets in the governmental funds.	97,835,703
The Internal Service Fund is used to charge costs of the District's self-funded insurance plan to the governmental funds. The net position of the Internal Service Fund is therefore included under governmental activities.	4,242,186
Pension and OPEB related deferred outflows of resources and deferred inflows of resources are not due and payable in the current year and, therefore, are not reported in the governmental funds, as follows:	
Deferred outflows of resources related to pension	5,214,366
Deferred inflows of resources related to pension	(2,015,281)
Deferred inflows of resources related to OPEB	(1,216,285)
Deferred outflows of resources related to OPEB	1,529,775
Long-term liabilities, including bonds payable and compensated absences, are not due and payable in the current period and, therefore, are not reported as liabilities in the governmental funds.	
Revenue bonds	(22,990,000)
General obligation bonds	(10,380,000)
Premium on issuance of general obligation bonds	(220,901)
Accrued interest	(25,950)
Lease obligation	(139,407)
IT subscription obligation	(25,948)
Early retirement	(641,871)
Compensated absences	(888,912)
Net OPEB liability	(4,983,394)
Net pension liability	(16,411,184)
Net position of governmental activities	$ 79,973,084

See Notes to Basic Financial Statements.

Pleasant Valley Community School District

Statement of Revenues, Expenditures and Changes in Fund Balances
Governmental Funds
Year Ended June 30, 2023

	General	Capital Projects	Nonmajor	Total
Revenues:				
Local sources:				
Property tax	$ 20,863,056	$ 3,472,790	$ 2,064,390	$ 26,400,236
Utility excise tax	612,520	109,465	70,545	792,530
Other tax	1,450	259	167	1,876
Tuition	2,828,920	-	-	2,828,920
Other	1,305,641	1,002,660	1,292,204	3,600,505
State sources	37,457,688	7,395,458	505	44,853,651
Federal sources	1,856,984	12,032	-	1,869,016
Total revenues	64,926,259	11,992,664	3,427,811	80,346,734
Expenditures:				
Current:				
Instruction	43,042,427	31,350	1,443,231	44,517,008
Support services:				
Student services	2,403,737	-	50,619	2,454,356
Instructional staff services	4,757,966	-	48,821	4,806,787
Administration services	5,755,793	13,800	46,032	5,815,625
Operation and maintenance of plant services	3,843,995	51,385	499,701	4,395,081
Transportation services	2,310,942	-	6,807	2,317,749
	19,072,433	65,185	651,980	19,789,598
Noninstructional programs	479	-	32,292	32,771
Other expenditures:				
Facilities acquisition	-	5,841,785	-	5,841,785
AEA flowthrough	2,644,450	-	-	2,644,450
	2,644,450	5,841,785	-	8,486,235
Debt service:				
Principal	-	-	5,520,631	5,520,631
Interest and fiscal charges	-	2,100	1,015,552	1,017,652
	-	2,100	6,536,183	6,538,283
Total expenditures	64,759,789	5,940,420	8,663,686	79,363,895
Excess (deficiency) of revenues over (under) expenditures	166,470	6,052,244	(5,235,875)	982,839
Other financing sources (uses):				
Interfund transfers in	57,739	-	6,561,092	6,618,831
Interfund transfers (out)	(51,063)	(6,510,029)	-	(6,561,092)
Issuance of IT subscription obligation	27,513	-	-	27,513
Proceeds from sale of capital assets	1,342	-	-	1,342
Total other financing sources (uses)	35,531	(6,510,029)	6,561,092	86,594
Net change in fund balance	202,001	(457,785)	1,325,217	1,069,433
Fund balances, beginning of year	11,942,859	14,722,369	3,355,526	30,020,754
Fund balances, end of year	$ 12,144,860	$ 14,264,584	$ 4,680,743	$ 31,090,187

See Notes to Basic Financial Statements.

Pleasant Valley Community School District

Reconciliation of the Statement of Revenues, Expenditures and Changes in Fund Balances of Governmental Funds to the Statement of Activities
Year Ended June 30, 2023

Net change in fund balances - total governmental funds		$ 1,069,433
Amounts reported for governmental activities in the Statement of Activities are different because:		
Capital outlays to purchase or build capital assets are reported in governmental funds as expenditures. However, those costs are not reported in the Statement of Net Position and are allocated over their estimated useful lives as depreciation expense in the Statement of Activities. The amounts of capital outlays and depreciation expense in the year are as follows:		
Capital outlay	$ 6,376,872	
Depreciation expense	(4,280,203)	2,096,669
Proceeds from the sale of capital assets	(1,342)	
Gain on disposal of capital assets	1,342	-
Revenues in the statement of activities that do not provide current financial resources are not reported as revenues in the funds, change in unavailable revenues.		(292,722)
The increase in net position of the Internal Service Fund represents an overcharge to the governmental funds and is incorporated into the change in net position of governmental activities.		288,515
Proceeds from issuing long-term liabilities provide current financial resources to governmental funds, but issuing debt increases long-term liabilities is an expenditure in the governmental funds, but the repayment reduces long-term liabilites in the Statement of Net Position		
Repayment of revenue bond and general obligation bond principal	5,420,000	
Amortization of premium	44,180	
Payment of lease obligations	74,296	
Issuance of IT subscription liability	(27,513)	
Payment of IT subscription liability	26,335	
Interest expense	4,738	
Pension expense	3,372,047	
Early retirement	(120,513)	
Compensated absences	87,803	
Net OPEB liability	(548,418)	8,332,955
Change in net position of governmental activities		$ 11,494,850

See Notes to Basic Financial Statements.

Pleasant Valley Community School District

Statement of Net Position
Proprietary Funds
June 30, 2023

	Business-Type Activiites, Enterprise Funds			Governmental Activities, Internal Service Fund
	Nutrition	Nonmajor Student Construction	Total	
Assets				
Current:				
Cash and cash equivalents	$ 3,751,189	$ -	$ 3,751,189	$ 3,660,564
Accounts receivable	1,471	-	1,471	785,173
Inventories	26,202	-	26,202	-
Assets held for sale	-	103,531	103,531	-
Total current assets	3,778,862	103,531	3,882,393	4,445,737
Noncurrent:				
Capital assets, net of accumulated depreciation	587,501	-	587,501	-
Total assets	4,366,363	103,531	4,469,894	4,445,737
Deferred Outflows of Resources:				
Pension related deferred outflows	107,215	-	107,215	-
OPEB related deferred outflows	63,740	-	63,740	-
Total deferred outflows of resources	170,955	-	170,955	-
Liabilities				
Current:				
Accounts payable	3,197	19,311	22,508	30,135
Claims incurred but not reported	-	-	-	173,416
Unearned revenue, other	217,424	-	217,424	-
Total current liabilities	220,621	19,311	239,932	203,551
Noncurrent:				
Net OPEB liability	207,642	-	207,642	-
Net pension liability	374,320	-	374,320	-
Total noncurrent liabilities	581,962	-	581,962	-
Total liabilities	802,583	19,311	821,894	203,551
Deferred Inflows of Resources:				
Pension related deferred inflows	11,877	-	11,877	-
OPEB related deferred inflows	50,678	-	50,678	-
Total deferred inflows of resources	62,555	-	62,555	-
Net Position				
Net investment in capital assets	587,501	-	587,501	-
Restricted, for food service	4,299	-	4,299	-
Unrestricted	3,080,380	84,220	3,164,600	4,242,186
Total net position	$ 3,672,180	$ 84,220	$ 3,756,400	$ 4,242,186

See Notes to Basic Financial Statements.

Pleasant Valley Community School District

Statement of Revenues, Expenses and Changes in Net Position
Proprietary Funds
Year Ended June 30, 2023

	Business-Type Activiites, Enterprise Funds			
		Nonmajor		
		Student		Internal
	Nutrition	Construction	Total	Service Fund
Operating revenues:				
Local sources, charges for services	$ 2,230,141	$ -	$ 2,230,141	$ 6,740,753
Operating expenses:				
Support services:				
Employee benefits	-	-	-	3,892
Purchased services	-	-	-	6,480,516
Other	-	-	-	15,247
	-	-	-	6,499,655
Noninstructional programs:				
Salaries	780,529	-	780,529	-
Benefits	175,415	-	175,415	-
Purchased services	53,057	-	53,057	-
Supplies	1,937,044	-	1,937,044	-
Depreciation	98,318	-	98,318	-
Miscellaneous	-	8,914	8,914	-
	3,044,363	8,914	3,053,277	-
Total operating expenses	3,044,363	8,914	3,053,277	6,499,655
Operating income (loss)	(814,222)	(8,914)	(823,136)	241,098
Nonoperating revenues:				
Interest on investments	115,818	-	115,818	47,417
Loss on sale of capital assets	(2,423)	-	(2,423)	
Local sources	-	5,000	5,000	
State sources	18,380	-	18,380	-
Federal sources	1,334,523	-	1,334,523	-
Total nonoperating revenues	1,466,298	5,000	1,471,298	47,417
Income before transfers	652,076	(3,914)	648,162	288,515
Capital contributions	11,000	-	11,000	-
Transfers out	(57,739)	-	(57,739)	-
Change in net position	605,337	(3,914)	601,423	288,515
Net position, beginning of year	3,066,843	88,134	3,154,977	3,953,671
Net position, end of year	$ 3,672,180	$ 84,220	$ 3,756,400	$ 4,242,186

See Notes to Basic Financial Statements.

Pleasant Valley Community School District

Statement of Cash Flows
Proprietary Funds
Year Ended June 30, 2023

	Business-Type Activiites, Enterprise Funds			
		Nonmajor		
		Student		Internal
	Nutrition	Construction	Total	Service Fund
Cash flows from operating activities:				
Cash received from sale of lunches and breakfasts	$ 2,262,636	$ -	$ 2,262,636	$ -
Cash received from miscellaneous operating activities	-	-	-	6,783,929
Cash payments to employees for services	(1,002,261)	-	(1,002,261)	(3,892)
Cash payments to suppliers for goods or services	(1,639,138)	(5,000)	(1,644,138)	(6,932,902)
Net cash (used in) operating activities	(378,763)	(5,000)	(383,763)	(152,865)
Cash flows from noncapital financing activities:				
Transfers to other funds	(57,739)	-	(57,739)	-
Local grants received	-	5,000	5,000	-
State grants received	18,380	-	18,380	-
Federal grants received	988,525	-	988,525	-
Net cash provided by noncapital financing activities	949,166	5,000	954,166	-
Cash flows (used in) capital related financing activities,				
Acquisition of capital assets	(8,063)	-	(8,063)	-
Net cash (used in) capital related financing activities	(8,063)	-	(8,063)	-
Cash flows from investing activities,				
interest on investments	115,818	-	115,818	47,417
Net increase (decrease) in cash and cash equivalents	678,158	-	678,158	(105,448)
Cash and cash equivalents, beginning of year	3,073,031	-	3,073,031	3,766,012
Cash and cash equivalents, end of year	$ 3,751,189	$ -	$ 3,751,189	$ 3,660,564

(Continued)

Pleasant Valley Community School District

Statement of Cash Flows (Continued)
Proprietary Funds
Year Ended June 30, 2023

	Business-Type Activiites, Enterprise Funds			
		Nonmajor		
		Student		Internal
	Nutrition	Construction	Total	Service Fund
Reconciliation of operating income (loss) to net cash (used in) operating activities:				
Operating income (loss)	$ (814,222)	$ (8,914)	$ (823,136)	$ 241,098
Adjustments to reconcile operating income (loss) to net cash (used in) operating activities:				
Depreciation	98,318	-	98,318	-
Commodities used	345,998	-	345,998	-
(Increase) decrease in accounts receivable	(1,307)	-	(1,307)	43,176
Decrease in inventories	3,847	-	3,847	-
(Increase) in assets held for resale	-	(15,397)	(15,397)	
Increase (decrease) in accounts payable	1,118	19,311	20,429	(441,031)
Increase in net OPEB liability and related deferrals	22,851	-	22,851	-
(Decrease) in pension and related deferrals	(69,168)	-	(69,168)	-
Increase in claims incurred but not reported	-	-	-	3,892
Increase in unearned revenue	33,802	-	33,802	-
Net cash (used in) operating activities	$ (378,763)	$ (5,000)	$ (383,763)	$ (152,865)
Schedule of noncash items:				
Noncapital financing activities, federal commodities	$ 345,998	$ -	$ 345,998	$ -
Contributions of capital assets	$ 11,000	$ -	$ 11,000	$ -

See Notes to Basic Financial Statements.

Pleasant Valley Community School District

Statement of Fiduciary Net Position
Fiduciary Fund
June 30, 2023

	Custodial
Assets	
Cash and pooled investments	$ 26,429
Liabilities	
Accounts payable	$ 1,861
Net position	$ 24,568

See Notes to Basic Financial Statements.

Pleasant Valley Community School District

Statement of Changes in Fiduciary Net Position
Fiduciary Fund
Year Ended June 30, 2023

		Custodial
Additions		
Contributions	$	92,688
Total additions		92,688
Deductions		
Administrative expenses		90,614
Total deductions		90,614
Change in net position		2,074
Net position, beginning of the year		22,494
Net position, end of the year	$	24,568

See Notes to Basic Financial Statements.

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Note 1. Summary of Significant Accounting Policies

Pleasant Valley Community School District (the District) is a political subdivision of the state of Iowa and operates public schools for children in grades kindergarten through twelve. The District also operates a preschool program. The geographic area served includes the Township of Pleasant Valley, Iowa, the City of LeClaire, Iowa, portions of the City of Bettendorf, Iowa and portions of the agricultural territory of Scott County. The District is governed by a Board of Education whose members are elected on a nonpartisan basis.

The District's financial statements are prepared in conformity with U.S. generally accepted accounting principles as prescribed by the Governmental Accounting Standards Board.

Reporting entity:

For financial reporting purposes, Pleasant Valley Community School District has included all funds, organizations, agencies, boards, commissions and authorities. The District has also considered all potential component units for which it is financially accountable and other organizations for which the nature and significance of their relationship with the District are such that exclusion would cause the District's financial statements to be misleading or incomplete. The Governmental Accounting Standards Board has set forth criteria to be considered in determining financial accountability. These criteria include appointing a voting majority of an organization's governing body and (1) the ability of the District to impose its will on that organization or (2) the potential for the organization to provide specific benefits to, or impose specific financial burdens on, the District. Pleasant Valley Community School District has no component units which meet the Governmental Accounting Standards Board criteria.

Jointly governed organizations: The District participates in a jointly governed organization that provides services to the District but does not meet the criteria of a joint venture since there is no ongoing financial interest or responsibility by the participating governments. The District is a member of the Scott County Assessor's Conference Board.

Basis of presentation:

District-wide financial statements: The Statement of Net Position and the Statement of Activities report information on all of the nonfiduciary activities of the District. For the most part, the effect of interfund activity has been removed from these statements. Interfund services provided and used are not eliminated in the process of consolidation. Governmental activities, which normally are supported by tax and intergovernmental revenues, are reported separately from business-type activities, which rely to a significant extent on fees and charges for service.

The Statement of Net Position presents the District's nonfiduciary assets, deferred outflows of resources and liabilities and deferred inflows of resources, with the difference reported as net position. Net position is reported in three categories:

Net investment in capital assets consists of capital assets, including restricted capital assets, net of accumulated depreciation and reduced by outstanding balances for bonds, notes and other debt attributable to the acquisition, construction or improvements of those assets.

Restricted net position results when constraints placed on net position use are either externally imposed by creditors, grantors, contributors or laws and regulations of other governments or imposed by law through constitutional provisions or enabling legislation.

Unrestricted net position consists of net position that does not meet the definition of the two preceding categories. Unrestricted net position often has constraints on resources imposed by management which can be removed or modified.

Note 1. Summary of Significant Accounting Policies (Continued)

The Statement of Activities demonstrates the degree to which the direct expenses of a given function or segments are offset by program revenues. Direct expenses are those that are clearly identifiable with a specific function. Program revenues include 1) charges to customer or applicants who purchase, use or directly benefit from goods, services or privileges provided by a given function and 2) grants, contributions and interest restricted to meeting the operational or capital requirements of a particular function. Property tax and other items not properly included among program revenues are reported instead as general revenues.

Fund financial statements: Separate financial statements are provided for governmental, proprietary and fiduciary funds, even though the latter are excluded from the District-wide financial statements. Major individual governmental funds are reported as separate columns in the fund financial statements. All remaining governmental funds are aggregated and reported as nonmajor governmental funds.

The District reports the following major governmental funds:

The General Fund is the general operating fund of the District. All general tax revenues and other revenues not allocated by law or contractual agreement to some other fund are accounted for in this fund. From the fund are paid the general operating expenditures, including instructional, support and other costs.

The Capital Projects Fund is used to account for all resources used in the acquisition and construction of capital facilities.

The other governmental funds of the District are considered nonmajor and are as follows:

Special Revenue Funds: Are used to account for the revenue sources that are legally restricted to expenditures for specific purposes:

The Management Fund accounts for tort liability insurance premiums, unemployment compensation insurance claims and early retirement incentive payments.

The Student Activity Fund accounts for money held by the District on behalf of the students who have raised these funds and are responsible for their disposition for co-curricular to extracurricular activities of the District.

Debt Service Fund: Accounts for the accumulation of resources for, and the payment of, long- term debt principal, interest and related costs. Revenue of the fund primarily consists of local property taxes.

Proprietary fund types are used to account for the District's ongoing organizations and activities which are similar to those often found in the private sector. The measurement focus is upon income determination, financial position, and cash flows. The District has two types of proprietary funds, enterprise funds and an internal service fund.

Note 1. Summary of Significant Accounting Policies (Continued)

Enterprise funds are used to account for those operations that are financed and operating in a manner similar to private business or where the District has decided that the determination of revenues earned, costs incurred and/or net income is necessary for management accountability.

The Nutrition Fund is a major enterprise fund which accounts for the food service operations of the District.

The District's nonmajor enterprise fund is the Student Construction Fund accounts for grant funding to build an aircraft with neighboring districts. The aircraft will be built and held for a year under FAA guidelines and then sold with the proceeds from the sale of the aircraft used to build the next aircraft.

The Internal Service Fund is used to account for goods or services provided by one department to other departments of the District on a cost reimbursement basis. The District's Internal Service Fund is used to account for the premium and claim payments for the self-insured health insurance plans for District employees.

The District also reported fiduciary funds which focus on net position and changes in net position. The District's fiduciary funds include the following:

The Custodial Fund is used to account for assets held by the District as an agent for individuals, private organizations and other governments. These are funds for District employee purchases of pop, funeral flowers, and related expenditures and expenditures for various club accounts.

Measurement focus and basis of accounting:

The District-wide financial statements and the proprietary and fiduciary fund financial statements are reported using the economic resources measurement focus and the accrual basis of accounting. Revenues are recorded when earned and expenses are recorded when a liability is incurred, regardless of the timing of related cash flows. Property tax is recognized as revenue in the year for which it is levied. Grants and similar items are recognized as revenue as soon as all eligibility requirements imposed by the provider have been satisfied.

Governmental fund financial statements are reported using the current financial resources measurement focus and the modified accrual basis of accounting. Revenues are recognized as soon as they are both measurable and available. Revenues are considered to be available when they are collectible within the current period or soon enough thereafter to pay liabilities of the current period. For this purpose, the government considers revenues to be available if they are collected within 60 days after year-end.

Property tax, intergovernmental revenues (shared revenues, grants and reimbursements from other governments) and interest associated with the current fiscal period are all considered to be susceptible to accrual. All other revenue items are considered to be measurable and available only when cash is received by the District.

Expenditures generally are recorded when a liability is incurred, as under accrual accounting. However, principal and interest on long-term debt, claims and judgments and compensated absences are recognized as expenditures only when payment is due. Capital asset acquisitions are reported as expenditures in governmental funds. Proceeds of long-term debt and acquisitions under leases and subscription agreements are reported as other financing sources.

Note 1. Summary of Significant Accounting Policies (Continued)

Under terms of grant agreements, the District funds certain programs by a combination of specific cost-reimbursement grants and general revenues. Thus, when program expenses are incurred, there is both restricted and unrestricted net position available to finance the program. It is the District's policy to first apply cost-reimbursement grant resources to such programs and then general revenues.

Proprietary funds distinguished operating revenues and expenses from nonoperating items. Operating revenues and expense generally result from providing services and producing and delivering goods in connection with a proprietary fund's principal ongoing operations. The principal operating revenues of the District's enterprise fund is charges to customers for sales and services. Operating expenses for enterprise funds include the cost of sales and services, administrative expenses and depreciation on capital assets. All revenues and expenses not meeting this definition are reported as nonoperating revenues and expenses.

Assets, deferred outflows of resources, liabilities, deferred inflows of resources and fund equity:
The following accounting policies are followed in preparing the financial statements:

Cash, pooled investments and cash equivalents: The cash balances of most District funds are pooled and invested. Investments are stated at fair value except for short-term nonnegotiable certificates of deposit, which are stated at cost.

For purposes of the statement of cash flows, all short-term cash investments that are highly liquid are considered to be cash equivalents. Cash equivalents are readily convertible to known amounts of cash, and, at the day of purchase, have maturity date no longer than three months.

Property tax receivable: Property tax in governmental funds is accounted for using the modified accrual basis of accounting. Property tax receivable is recognized in these funds on the levy or lien date, which is the date that the tax asking is certified by the Board of Education. Current year property tax receivable represents unpaid taxes from the current year. The succeeding year property tax receivable represents taxes certified by the Board of Education to be collected in the next fiscal year for the purposes set out in the budget for the next fiscal year. However, by statute, the tax asking and budget certification for the following fiscal year becomes effective on the first day of that year. Although the succeeding year property tax receivable has been recorded, the related revenue is a deferred inflow of resources in both the District-wide and fund financial statements and will not be recognized as revenue until the year for which it is levied. The property tax revenue recognized in these funds was due and collectible in September and March of the fiscal year with 1½ percent per month penalty for delinquent payments; is based on January 1, 2021 assessed property valuations; is for the tax accrual period July 1, 2022 through June 30, 2023 and reflects the tax asking contained in the budget certified to the County Board of Supervisors in April 2022.

Due from other governments: Due from other governments represents amounts due from the state of Iowa, various shared revenues, grants and reimbursements from other governments.

Inventories: Inventories are valued at cost using the first-in, first-out method for purchased items and governmental commodities. Inventories of proprietary funds are recorded as expenses when consumed rather than when purchased or received.

Prepaid items: The District accounts for the prepaid items by using the purchases method.

Note 1. Summary of Significant Accounting Policies (Continued)

Capital assets: Capital assets, which include property, furniture and equipment, are reported in the applicable governmental or business-type activities columns in the District-wide Statement of Net Position. Capital assets are recorded at historical cost. Donated capital assets are recorded at acquisition value at the date of donation. The costs of normal maintenance and repairs that do not add to the value of the asset or materially extend asset lives are not capitalized. Capital assets are defined by the District as assets with an initial, individual cost in excess of the following thresholds and estimated useful lives in excess of two years.

Asset Class	Amount
Land	$ 1
Buildings	25,000
Improvements other than buildings	25,000
Intangibles	100,000
Furniture and equipment:	
School Nutrition Fund equipment	300
Other furniture and equipment	2,500

Capital assets are depreciated using the straight-line method of depreciation over the following estimated useful lives:

Asset Class	Estimated Useful Lives
Buildings	20 - 40 years
Improvements other than buildings	15 - 40 years
Furniture and equipment	5 - 15 years

Salaries and benefits payable: Payroll and related expenses for teachers with annual contracts corresponding to the current school year, which are payable in July and August, have been accrued as liabilities.

Unearned revenue: Unearned revenue consists primarily of school registration fees, activity fees and meal revenues collected for the programs and services in the next school year.

Compensated absences: District employees accumulate a limited amount of earned but unused vacation and sick leave for subsequent use or for payment upon termination, death or retirement. A liability is recorded when incurred in the District-wide financial statements. A liability for these amounts is reported in governmental fund financial statements only for employees who have resigned or retired. The compensated absences liability has been computed based on rates of pay in effect as of June 30, 2023. The compensated absences liability attributable to the governmental activities will be paid primarily by the General Fund and by the Special Revenue Fund, Management Levy.

Note 1. Summary of Significant Accounting Policies (Continued)

Leases: The District is a lessee for noncancellable leases of equipment. The District recognizes a lease liability and an intangible right-to-use lease asset in the governmental activities of the government-wide financial statements.

At the commencement of a lease, the District initially measures the lease liability at the present value of payments expected to be made during the lease term. Subsequently, the lease liability is reduced by the principal portion of the lease payments made. The lease asset is initially measured as the initial amount of the lease liability, adjusted for lease payments made at or before the lease commencement date, plus certain initial costs to place the asset in service. Subsequently ,the lease asset is amortized on a straight-line basis over the life of the lease.

Key estimates and judgments related to leases include how the District determines (1) the discount rate it uses to discount the expected lease payments to present value, (2) lease term, and (3) lease payments.

The District uses the interest rate charged by the lessor as the discount rate. When the interest rate charged by the lessor is not provided, the District generally uses its estimated incremental borrowing rate as the discount rate for leases.

The lease term includes the noncancellable period of the lease. Lease payments included in the measurement of the lease liability are composed of fixed payments and purchase option price that the District is reasonably certain to exercise.

The District monitors changes in circumstances that would require a remeasurement of its lease and will remeasure the lease asset and liability if certain changes occur that are expected to significantly affect the amount of the lease liability.

Lease assets are reported with other capital assets and lease liabilities are reported with long-term debt on the statement of net position.

Subscription-Based Information Technology Arrangements (SBITA) – The District has entered into a contract that conveys control of the right to use information technology software. The District has recognized an IT subscription liability and an intangible right-to-use IT subscription asset in the government-wide financial statements.

At the commencement of the IT subscription term, the District initially measures the subscription liability at the present value of payments expected to be made during the subscription term. Subsequently, the IT subscription liability is reduced by the principal portion of payments made. The right-to-use IT subscription asset is initially measured as the sum of the initial IT subscription liability, adjusted for payments made at or before the commencement date, plus capitalized implementation costs less any incentives received from the SBITA vendor at or before the commencement of the subscription term. Subsequently, the right-to-use IT subscription asset is amortized on a straight-line basis over its useful life.

Key estimates and judgments related to IT subscription arrangements include how the District determines the discount rate it uses to discount the expected payments to present value, term and payments.

The District uses the interest rate charged by the IT subscription vendor as the discount rate. When the interest rate charged by the vendor is not provided, the District generally uses its estimated incremental borrowing rate as the discount rate.

Note 1. Summary of Significant Accounting Policies (Continued)

The IT subscription term includes the noncancellable period of the subscription. Payments included in the measurement of the liability are composed of fixed payments.

The District monitors changes in circumstances that would require a remeasurement of its IT subscription and will remeasure the right-to-use IT subscription asset and liability if certain changes occur that are expected to significantly affect the amount of the subscription liability.

Right-to-use IT subscription assets are reported with other capital assets and IT subscription liabilities are reported with long-term debt on the statement of net position.

Total OPEB Liability: For purposes of measuring total OPEB liability, deferred outflows of resources related to OPEB and OPEB expense, information has been determined based on the District's actuary report. For this purpose, benefit payments are recognized when due and payable in accordance with the benefit terms. The total OPEB liability attributable to the governmental activities will be paid primarily by the General Fund and the Enterprise Fund.

Pensions — For purposes of measuring the net pension liability, deferred outflows of resources and deferred inflows of resources related to pensions, and pension expense, information about the fiduciary net position of the Iowa Public Employees' Retirement System (IPERS) and additions to/deductions from IPERS' fiduciary net position have been determined on the same basis as they are reported by IPERS. For this purpose, benefit payments (including refunds of employee contributions) are recognized when due and payable in accordance with the benefit terms. Investments are reported at fair value.

Cash flows: For the purpose of cash flows, the District considers all highly liquid investments with a maturity of three months or less when purchased to be cash equivalents.

Deferred outflows/inflows of resources: In addition to assets, the balance sheet and/or statement of financial position will sometimes report a separate section for deferred outflows of resources. This separate financial statement element, deferred outflows of resources, represents a consumption of net assets that applies to a future period(s) and so will not be recognized as an outflow of resources (expenses/expenditures) until then. The District's deferred outflows of resources consist of unrecognized items not yet charged to pension expense and contributions from the employer after the measurement date but before the end of the employer's reporting period and OPEB related deferred outflows.

In addition to liabilities, the balance sheet and/or statement of financial position will sometimes report a separate section for deferred inflows of resources. This separate financial statement element, deferred inflows of resources, represents an acquisition of net assets that applies to a future period(s) and so will not be recognized as an inflow of resources (revenue) until that time. The District's deferred inflows of resources consist of deferred revenue, unrecognized items not yet charged to pension expense and other postemployment benefits.

The District reports unavailable revenue in the governmental funds balance sheet from grants and property tax. This amount is deferred and recognized as an inflow of resources in the period that the amounts become available. In the District's government-wide statements, only the succeeding year property tax revenue remains as a deferred inflow of resources under the full accrual basis of accounting and will become an inflow in the year for which levied. The District also reports pension and OPEB related deferred outflows in the government-wide statements and the proprietary fund statements.

Note 1. Summary of Significant Accounting Policies (Continued)

Fund equity: In the governmental fund financial statements fund balances are classified as follows:

Nonspendable: Balances that cannot be spent because they are not expected to be converted to cash or they are legally or contractually required to remain intact.

Restricted: Amounts restricted to specific purposes when constraints placed on the use of the resources are either externally imposed by creditors, grantors or state or federal laws or imposed by law through constitutional provisions or enabling legislation.

Committed: Amounts which can be used only for specific purposes determined pursuant to constraints formally imposed by the Board of Education through resolution approved prior to year-end. Those committed amounts cannot be used for any other purpose unless the Board of Education removes or changes the specified use by taking the same action it employed to commit those amounts.

Assigned: Amounts in the assigned fund balance classification are intended to be used by the District for specific purposes but do not meet the criteria to be classified as committed. The authority to assign fund balances has been delegated to the Chief Financial Officer by the Board of Education. The District has assigned $3,277,498 primarily for transportation. Unlike commitments, assignments only exist temporarily. An additional action does not normally have to be taken for the removal of an assignment.

Unassigned: All amounts not included in other spendable classifications. The General Fund is the only fund that would report a positive amount in unassigned fund balance. Residual deficit amounts of other governmental funds would also be reported as unassigned.

The District’s flow of funds assumption prescribes that the funds with the highest level of constraint are expended first. When an expenditure is incurred in governmental funds which can be paid using either restricted or unrestricted resources, the District’s policy is to first apply the expenditure toward restricted fund balance and then to less restrictive classifications –assigned and then unassigned fund balances.

Net position: In proprietary funds, fiduciary funds, and government-wide financial statements, net position represents the difference between assets, deferred outflows of resources, liabilities, and deferred inflows of resources. Net investment in capital assets, consists of capital assets, net of accumulated depreciation, reduced by the outstanding balances of any borrowings used for the acquisition, construction or improvement of those assets. As of June 30, 2023, the District had $5,020,566 of unspent bond proceeds. Net position is reported as restricted when there are limitations imposed on their use through the enabling legislation adopted by the District or through external restrictions imposed by creditors, grantors or laws or regulations of other governments.

Net position restricted by enabling legislation as of June 30, 2023 consists of $1,224,131 for categorical funding, $3,509,025 for management levy purposes, $182 for physical plant and equipment levy, $9,243,836 for school infrastructure, $783,680 for student activity purposes, $388,038 for debt service and $4,299 for food service.

Note 1. Summary of Significant Accounting Policies (Continued)

Net position flow assumption: Sometimes the District will fund outlays for a particular purpose from both restricted (e.g. restricted bond or grant proceeds) and unrestricted resources. In order to calculate the amounts to report as restricted-net position and unrestricted-net position in the government-wide and proprietary fund financial statements, a flow assumption must be made about the order in which the resources are considered to be applied. It is the District's policy to consider restricted-net position to have been depleted before unrestricted-net position is applied.

Interfund activity: Exchange transactions between funds are reported as revenues in the seller funds and as expenditures/expenses in the purchaser funds. Flows of cash or goods from one fund to another without a requirement for repayment are reported as interfund transfers. Interfund transfers are reported as other financing sources/uses in governmental funds and after nonoperating revenues/expenses in proprietary funds. Repayments from funds responsible for particular expenditures/expenses to the funds that initially paid for them are not presented on the financial statements.

Estimates: The preparation of the financial statements in conformity with accounting principles generally accepted in the United States of America requires management to make estimates and assumptions that affect the amounts reported in the financial statements and accompanying notes. Actual results may differ from those estimates.

Budgets and budgetary control:

In accordance with the Code of Iowa, the District's Board of Education annually adopts a single district-wide budget and approves the related appropriations following required public notice and hearing for all funds. The budgets and related appropriations as well as the financial statements are prepared on the modified accrual basis or accrual basis of accounting. The budget may be amended during the year utilizing similar statutorily prescribed procedures. Formal and legal budgetary control for the certified budget is based upon four major classes of disbursement known as functional areas, not by fund. These four functional areas are instruction, support services, noninstructional programs and other expenditures. The Code of Iowa also provides that District disbursements in the General Fund may not exceed the amount authorized by the school finance formula. The budgetary comparison and related disclosures are reported as Required Supplementary Information. During the year ended June 30, 2023, expenditures did not exceed the amounts budgeted.

Note 2. Cash and Pooled Investments

The District is authorized by statute to invest public funds in obligations of the United States government, its agencies and instrumentalities; certificates of deposit or other evidences of deposit at federally insured depository institutions approved by the Board of Education; prime eligible bankers acceptances; certain high rated commercial paper; perfected repurchase agreements; certain registered open-end management investment companies; certain joint investment trusts; and warrants or improvement certificates of a drainage district.

The District's cash and pooled investment consisted of depository accounts at financial institutions including short-term nonnegotiable certificate of deposits.

Custodial credit risk: The District's deposits in banks as of June 30, 2023 were entirely covered by federal depository insurance or by the State Sinking Fund in accordance with Chapter 12C of the Code of Iowa. This Chapter provides for additional assessments against the depositories to insure there will be no loss of public funds. The District does not have a separate custodial credit risk policy from state statutes.

Credit risk: The District does not have a separate credit risk or interest rate risk policy from state statutes. The District does not have any investments as of June 30, 2023.

Note 3. Interfund Transfers

The detail of interfund transfers for the year ended June 30, 2023 is as follows:

Transfer To	Transfer From	Amount
General	Nonmajor enterprise fund, Nutrition	$ 57,739
Nonmajor governmental fund,		
Debt Service	Capital Projects	6,510,029
Debt Service	General	27,202
Student Activity	General	23,861
		$ 6,618,831

Transfers generally move revenues from the fund statutorily required to collect the resources to the fund statutorily required to expend the resources. Transfers from the Capital Projects Fund to the Debt Service Fund are to make principal and interest payments on the District's revenue bonds. Transfers from the General Fund to the Debt Service Fund are to make principal and interest payments on the District's subscription based information technology arrangements.

Note 4. Capital Assets

Capital assets activity for the year ended June 30, 2023 is as follows:

	Restated Balance End of Year	Increases	Decreases	Balance End of Year
Governmental activities:				
Capital assets not being depreciated:				
Land	$ 1,360,555	$ -	$ -	$ 1,360,555
Construction in progress	391,655	5,286,273	1,016,027	4,661,901
Total capital assets not being depreciated	1,752,210	5,286,273	1,016,027	6,022,456
Capital assets being depreciated and amortized:				
Buildings	129,509,359	743,576	-	130,252,935
Improvements other than buildings	10,237,605	559,495	-	10,797,100
Furniture and equipment	9,563,069	331,895	66,306	9,828,658
Intangible right to use lease equipment	471,840	-	112,143	359,697
Intangible right to use subscription asset	68,236	471,660	-	539,896
Total capital assets being depreciated and amortized	149,850,109	2,106,626	178,449	151,778,286
Less accumulated depreciation and amortization for:				
Buildings	41,970,766	3,277,821	-	45,248,587
Improvements other than buildings	5,576,993	548,420	-	6,125,413
Furniture and equipment	7,968,659	283,523	66,306	8,185,876
Intangible right to use lease equipment	308,562	48,067	112,143	244,486
Intangible right to use subscription asset	38,305	122,372	-	160,677
Total accumulated depreciation and amortization	55,863,285	4,280,203	178,449	59,965,039
Total capital assets being depreciated and amortized, net	93,986,824	(2,173,577)	-	91,813,247
Governmental activities capital assets, net	$ 95,739,034	$ 3,112,696	$ 1,016,027	$ 97,835,703
Business-type activities:				
Furniture and equipment	$ 1,874,837	$ 19,063	$ 10,880	$ 1,883,020
Less accumulated depreciation	1,205,658	98,318	8,457	1,295,519
Business-type activities capital assets, net	$ 669,179	$ (79,255)	$ 2,423	$ 587,501

Note 4. Capital Assets (Continued)

Depreciation and amortization expense was charged by the District to the following functions:

Governmental activities:	
Instruction	$ 3,998,255
Support services:	
Administration	146,280
Operation and maintenance of plant services	135,668
Total governmental activities depreciation and amortization expense	$ 4,280,203
Business-type activities, food service operations	$ 98,318

Note 5. Long-Term Liabilities

A summary of changes in long-term liabilities for the year ended June 30, 2023 is as follows:

	Restated Balance Beginning of Year	Additions	Reductions	Balance End of Year	Due Within One Year
Governmental activities:					
Revenue bonds, Series 2016	$ 5,465,000	$ -	$ 735,000	$ 4,730,000	$ 750,000
Revenue bonds, Series 2017	8,250,000	-	1,100,000	7,150,000	1,125,000
Revenue bonds, Series 2018	12,800,000	-	1,690,000	11,110,000	1,735,000
Private Placement, GO bonds, Series 2018	12,275,000	-	1,895,000	10,380,000	1,955,000
Premium on GO bonds	265,081	-	44,180	220,901	44,180
Lease obligations	213,703	-	74,296	139,407	52,095
IT subscription obligation	24,770	27,513	26,335	25,948	16,780
Early retirement	521,358	483,676	363,163	641,871	438,376
Compensated absences	976,715	888,912	976,715	888,912	658,662
Net OPEB liability	4,532,126	451,268	-	4,983,394	-
Net pension liability	523,341	15,887,843	-	16,411,184	-
Total	$ 45,847,094	$ 17,739,212	$ 6,904,689	$ 56,681,617	$ 6,775,093
Business-type activities:					
Net OPEB liability	$ 188,839	$ 18,803	$ -	$ 207,642	$ -
Net pension liability	48,424	325,896	-	374,320	-
Total	$ 237,263	$ 344,699	$ -	$ 581,962	$ -

Compensated absences are generally liquidated by the General Fund. Net OPEB and net pension liabilities are generally liquidated by the General Fund and respective enterprise funds.

Note 5. Long-Term Liabilities (Continued)

General obligation bonds: In October 2018, the District issued $17,640,000 General Obligation School Capital Loan Notes, Series 2018 for capital facility construction/building improvement purposes. The bonds provide for the serial retirement of principal payable annually on June 1 and interest due semiannually at 3% with maturity on June 1, 2028. The general obligation bonds will be paid through voter-approved physical plant and equipment property tax. Annual Debt Service requirements of the general obligation bonded indebtedness are as follows:

	Direct Borrowing and Direct Placement General Obligation School Capital Loan Notes, Series 2018		
Year ending June 30:	Principal	Interest	Total
2024	$ 1,955,000	$ 311,400	$ 2,266,400
2025	2,015,000	252,750	2,267,750
2026	2,075,000	192,300	2,267,300
2027	2,135,000	130,050	2,265,050
2028	2,200,000	66,000	2,266,000
Totals	$ 10,380,000	$ 952,500	$ 11,332,500

Revenue bonds:

In October 2016, the District issued $10,000,000 in School Infrastructure Sales, Services and Use Tax Revenue Bonds, Series 2016 for capital improvements to school buildings. Bond principal is payable annually on July 1 beginning July 1, 2018 through July 1, 2029. The bonds have an interest rate of 1.96 percent. Interest is payable semiannually on January 1 and July 1 until maturity. The bonds are payable solely from the revenues of the statewide sales, services and use tax. The bonds are not general obligations of the District. The total principal and interest remaining to be paid on the bonds as of June 30, 2023 is $5,059,868. During the year ended June 30, 2023, $735,000 principal was paid and $107,114 of interest was paid on the bonds.

In October 2017, the District issued $10,000,000 in School Infrastructure Sales, Services and Use Tax Revenue Bonds, Series 2017 for capital improvements to school buildings. Bond principal is payable annually on July 1, beginning July 1, 2018 through July 1, 2029. The bonds have an interest rate of 1.94 percent. Interest is payable semiannually on January 1 and July 1 until maturity. The bonds are payable solely from the revenues of the statewide sales, services and use tax. The bonds are not general obligations of the District. The total remaining principal and interest remaining to be paid on the bonds as of June 30, 2023 is $7,644,797. During the year ended June 30, 2023, $1,100,000 principal was paid and $160,050 of interest was paid on the bonds.

In October 2018, the District issued $14,000,000 in School Infrastructure Sales, Services and Use Tax Revenue Bonds, Series 2018 for capital improvements to school buildings. Bond principal is payable annually on July 1, beginning July 1, 2020 through July 1, 2029. The bonds have an interest rate of 2.93 percent. Interest is payable semiannually on January 1 and July 1 until maturity. The bonds are payable solely from the revenues of the statewide sales, services and use tax. The bonds are not general obligations of the District. The total remaining principal and interest remaining to be paid on the bonds as of June 30, 2023 is $12,273,212. During the year ended June 30, 2023, $1,690,000 principal was paid and $374,770 of interest was paid on the bonds.

Note 5. Long-Term Liabilities (Continued)

During the year ended June 30, 2023 the statewide sales, services, and use tax revenues were $7,394,675 for the year ended June 30, 2023. The pledge of statewide sales, service and use tax revenues for this bond and parity bonds constitutes approximately 97% of annual statewide sales, service and use tax revenues of the District.

The resolutions providing for the issuance of the revenue bonds included the following provisions:

- All proceeds from the statewide sales, service and use tax shall be deposited into the revenue account.
- Monies in the revenue account shall first be disbursed to make deposits into the sinking account to pay the principal and interest requirements of the revenue bonds for the fiscal year. At June 30, 2023, there was $388,038 deposited in the sinking account in the Debt Service Fund.
- If monies in the sinking fund exceed the required amount, the excess shall be transferred to the revenue account. At June 30, 2023, there was no amount deposited into a surplus account.

Annual debt service requirements on outstanding revenue bond indebtedness as of June 30, 2023, are as follows:

	Revenue Bonds, Series 2016		
Year ending June 30:	Principal	Interest	Total
2024	$ 750,000	$ 92,708	$ 842,708
2025	765,000	78,008	843,008
2026	780,000	63,014	843,014
2027	795,000	47,726	842,726
2028	810,000	32,144	842,144
2029	830,000	16,268	846,268
Totals	$ 4,730,000	$ 329,868	$ 5,059,868

	Revenue Bonds, Series 2017		
Year ending June 30:	Principal	Interest	Total
2024	$ 1,125,000	$ 138,710	$ 1,263,710
2025	1,150,000	116,885	1,266,885
2026	1,175,000	94,575	1,269,575
2027	1,205,000	71,780	1,276,780
2028	1,235,000	48,403	1,283,403
2029	1,260,000	24,444	1,284,444
Totals	$ 7,150,000	$ 494,797	$ 7,644,797

Note 5. Long-Term Liabilities (Continued)

	Revenue Bonds, Series 2018		
Year ending June 30:	Principal	Interest	Total
2024	$ 1,735,000	$ 325,524	$ 2,060,524
2025	1,780,000	274,688	2,054,688
2026	1,830,000	222,534	2,052,534
2027	1,875,000	168,914	2,043,914
2028	1,925,000	113,978	2,038,978
2029	1,965,000	57,574	2,022,574
Totals	$ 11,110,000	$ 1,163,212	$ 12,273,212

Leases: The District has entered into various lease agreements for printer and copier equipment. As of June 30, 2023, the value of the lease liability was $139,407. The lease agreements have an interest rate of 3.5 percent with final maturity of all the agreements on June 30, 2028. Right-to-use assets as of the end of the current fiscal year was $359,697 and had accumulated amortization of $244,486. The future principal and interest lease payments as of June 30, 2023, were as follows:

Year ending June 30:	Principal	Interest	Total
2024	$ 52,095	$ 3,885	$ 55,980
2025	32,039	2,545	34,584
2026	18,886	1,634	20,520
2027	19,558	962	20,520
2028	16,829	271	17,100
Total	$ 139,407	$ 9,297	$ 148,704

Subscription Based Information Technology Arrangements: The District has entered into various arrangements for subscription-based information technology. As of June 30, 2023, the liability was $25,948. The arrangements have an interest rate of 3.5 percent with final maturity of all the arrangements on June 30, 2025. The right-to-use IT subscription assets were $539,896 and had accumulated depreciation of $160,677 as of June 30, 2023. The future principal and interest payments as of June 30, 2023, were as follows:

Year ending June 30:	Principal	Interest	Total
2024	$ 16,780	$ 908	$ 17,688
2025	9,168	321	9,489
Total	$ 25,948	$ 1,229	$ 27,177

Note 5. Long-Term Liabilities (Continued)

As of June 30, 2023, the District did not exceed its legal debt margin computed as follows:

Total assessed valuation	$ 3,747,399,810
Debt limit, 5% of total assessed valuation	$ 187,369,991
Amount of debt applicable to debt limit:	
Bonded indebtedness	33,590,901
Total indebtedness	33,590,901
Legal debt margin	$ 153,779,090

Early retirement: The District offered a voluntary early retirement plan to its certified, administrative and classified employees. Eligible employees must be at least age 55 and employees must have completed 15 years of service to the District. Employees must complete an application which is required to be approved by the Board of Education.

For administrative and certified personnel, the early retirement incentive for each eligible employee is equal to 50 percent of the employee's base salary calculated by using the current year regular salary schedule. For classified personnel, the early retirement incentive for each eligible employee is the product of 50 percent of the number of unused sick leave days (limited to a maximum number of days in the employee's letter of assignment) times the employee's hourly wage rate on the last day of employment times the daily hours worked.

As of June 30, 2023, the District had obligations to 32 participants with a total liability of $641,871. Actual early retirement expenditures for the year ended June 30, 2023 totaled $363,163. Early retirement is recorded as a long-term liability of the Governmental Activities in the District-wide financial statements. Early retirement obligations are generally liquidated by the Management Fund.

Note 6. Other Postemployment Benefits (OPEB)

Plan description: The District's defined benefit OPEB plan, Pleasant Valley Community School District Postemployment Plan Other Than Pensions (the Plan), provides postemployment benefits for eligible participants enrolled in its plans. The Plan is a single employer defined benefit OPEB plan administered by the District. Under Chapter 509A.13 of the Code of Iowa, "Group Insurance for Public Employees," If a governing body has procured insurance for its employees, the governing body shall allow its employees who retired before the age of sixty-five years of age to continue participation in the group plan at the employee's own expense until the employee attains sixty-five years of age. No assets are accumulated in a trust that meets the criteria in paragraph 4 of Statement No. 75.

Benefits provided: The Plan provides healthcare benefits including medical and prescription drug benefits for retirees and their dependents. Retiree health care coverage is available to pre-age 65 eligible retirees. All employees are required to contribute the full premium in order to continue coverage at retirement.

Note 6. Other Postemployment Benefits (OPEB) (Continued)

The full monthly premium rates as of July 1, 2022 for each plan are as shown below:

Rate Tier	Traditional
Single	$ 645
Spouse	838

Employees covered by benefit terms: At June 30, 2023, the following employees were covered by the benefit terms:

Inactive employees or beneficiaries currently receiving benefit payments	11
Inactive employees entitled to but not yet receiving benefit payments	-
Active employees	439
	450

Total OPEB Liability: The District's total OPEB liability of $5,191,036 was measured as of June 30, 2023 and was determined by an actuarial valuation as of June 30, 2022 rolled forward to June 30, 2023.

Actuarial assumptions and other inputs: The total OPEB liability in the June 30, 2023 actuarial valuation was determined using the following actuarial assumptions and other inputs, applied to all periods included in the measurement unless otherwise specified.

Inflation	2.50% per annum
Salary increases	4.00% per annum
Discount rate	4.13% per annum
Retirees' share of benefit-related costs	100%
Health care cost trend rate	5.50% reduced 0.50% per annum until reaching ultimate health care cost trend rate - 4.50%

The discount rate was based on the Bond Buyer 20-Bond GO index. Mortality rates were based on the PubT.H-2010 Teacher Mortality with Mortality Improvement using Scale MP-2020. The actuarial assumptions used in the June 30, 2023 valuation were based on the results of an actuarial experience study for the period 2010– 2021.

Note 6. Other Postemployment Benefits (OPEB) (Continued)

Changes in the Total OPEB Liability

	Increase (Decrease)		
	Total OPEB Liability (a)	Plan Fiduciary Net Position (b)	Net OPEB Liability (a) - (b)
Balance at July 1, 2022	$ 4,720,965	$ -	$ 4,720,965
Changes for the year:			
Service cost	403,655	-	403,655
Interest	190,901	-	190,901
Changes of benefit terms	-	-	-
Differences between expected and actual experience	-	-	-
Changes in assumptions or other inputs	(17,570)	-	(17,570)
Benefit payments	(106,915)	-	(106,915)
Net changes	470,071	-	470,071
Balance at June 30, 2023	$ 5,191,036	$ -	$ 5,191,036

Changes of assumptions or other inputs reflect a change in the discount rate from 4.09% per annum in 2022 to 4.13% per annum in 2023.

Sensitivity of the total OPEB liability to changes in the discount rate: The following presents the total OPEB liability of the District, as well as what the District's total OPEB liability would be if it were calculated using a discount rate that is 1 percentage point lower or 1 percentage point higher than the current discount rate:

	1% Decrease	Discount Rate	1% Increase
	3.13%	4.13%	5.13%
Total OPEB liability	$ 5,647,934	$ 5,191,036	$ 4,771,331

Sensitivity of the total OPEB liability to changes in the healthcare cost trend rates: The following presents that total OPEB liability of the District, as well as what the District's total OPEB liability would be if it were calculated using healthcare cost trend rates that are 1 percentage point lower or 1-percentage point higher than the current healthcare cost trend rates.

	1% Decrease	Healthcare Cost Trend Rates	1% Increase
	4.50%	5.50%	6.50%
Total OPEB liability	$ 4,586,664	$ 5,191,036	$ 5,907,136

Note 6. Other Postemployment Benefits (OPEB) (Continued)

For the year ended June 30, 2023, the District recognized OPEB expense of $728,705. At June 30, 2023, the District reported deferred outflows of resources and deferred inflows of resources related to OPEB from the following sources:

	Deferred Outflows of Resources	Deferred Inflows of Resources
Differences between expected and actual experience	$ 741,978	$ 294,693
Changes of assumptions or other inputs	851,537	972,270
Net difference between projected and actual investments	-	-
Total	$ 1,593,515	$ 1,266,963

Amounts reported as deferred outflows of resources and deferred inflows of resources related to OPEB will be recognized in OPEB expense as follows:

Year ended June 30:	
2024	$ 83,629
2025	83,629
2026	83,629
2027	83,629
2028	83,629
Thereafter	(91,593)
	$ 326,552

Note 7. Pension and Retirement Benefits

Plan Description – IPERS membership is mandatory for employees of the District, except for those covered by another retirement system. Employees of the District are provided with pensions through a cost-sharing multiple employer defined benefit pension plan administered by Iowa Public Employees' Retirement System (IPERS). IPERS issues a stand-alone financial report which is available to the public by mail at 7401 Register Drive P.O. Box 9117, Des Moines, Iowa 50306-9117 or at www.ipers.org.

IPERS benefits are established under Iowa Code chapter 97B and the administrative rules thereunder. Chapter 97B and the administrative rules are the official plan documents. The following brief description is provided for general informational purposes only. Refer to the plan documents for more information.

Pension Benefits – A regular member may retire at normal retirement age and receive monthly benefits without an early-retirement reduction. Normal retirement age is age 65, any time after reaching age 62 with 20 or more years of covered employment, or when the member's years of service plus the member's age at the last birthday equals or exceeds 88, whichever comes first. These qualifications must be met on the member's first month of entitlement to benefits. Members cannot begin receiving retirement benefits before age 55.

Note 7. Pension and Retirement Benefits (Continued)

The formula used to calculate a Regular member's monthly IPERS benefit includes:

- A multiplier based on years of service.
- The member's highest five-year average salary, except members with service before June 30, 2012 will use the highest three-year average salary as of that date if it is greater than the highest five-year average salary.

If a member retires before normal retirement age, the member's monthly retirement benefit will be permanently reduced by an early-retirement reduction. The early-retirement reduction is calculated differently for service earned before and after July 1, 2012. For service earned before July 1, 2012, the reduction is 0.25 percent for each month that the member receives benefits before the member's earliest normal retirement age. For service earned on or after July 1, 2012, the reduction is 0.50 percent for each month the member receives benefits before age 65.

Generally, once a member selects a benefit option, a monthly benefit is calculated and remains the same for the rest of the member's lifetime. However, to combat the effects of inflation, retirees who began receiving benefits prior to July 1990 receive a guaranteed dividend with their regular November benefit payments.

<u>Disability and Death Benefits</u> – A vested member who is awarded federal Social Security disability or Railroad Retirement disability benefits is eligible to claim IPERS benefits regardless of age. Disability benefits are not reduced for early retirement. If a member dies before retirement, the member's beneficiary will receive a lifetime annuity or a lump-sum payment equal to the present actuarial value of the member's accrued benefit or calculated with a set formula, whichever is greater. When a member dies after retirement, death benefits depend on the benefit option the member selected at retirement.

<u>Contributions</u> – Contribution rates are established by IPERS following the annual actuarial valuation, which applies IPERS' Contribution Rate Funding Policy and Actuarial Amortization Method. Statute limits the amount rates can increase or decrease each year to 1 percentage point. IPERS Contribution Rate Funding Policy requires that the actuarial contribution rate be determined using the "entry age normal" actuarial cost method and the actuarial assumptions and methods approved by the IPERS Investment Board. The actuarial contribution rate covers normal cost plus the unfunded actuarial liability payment based on a 30-year amortization period. The payment to amortize the unfunded actuarial liability is determined as a level percentage of payroll, based on the Actuarial Amortization Method adopted by the Investment Board.

In fiscal year 2023, pursuant to the required rate, Regular members contributed 6.29 percent of covered payroll and the District contributed 9.44 percent of covered payroll for a total rate of 15.73 percent.

The District's contributions to IPERS for the year ended June 30, 2023 were $3,622,464.

<u>Net Pension Liabilities, Pension Expense, and Deferred Outflows of Resources and Deferred Inflows of Resources Related to Pensions</u> – At June 30, 2023, the District reported a liability of $16,785,504 for its proportionate share of the net pension liability. The net pension liability was measured as of June 30, 2022, and the total pension liability used to calculate the net pension liability was determined by an actuarial valuation as of that date. The District's proportion of the net pension liability was based on the District's share of contributions to the pension plan relative to the contributions of all IPERS participating employers. At June 30, 2022, the District's proportion was 0.444279 percent, which was an increase of 0.609899 percent from its proportion measured as of June 30, 2021.

Note 7. Pension and Retirement Benefits (Continued)

For the year ended June 30, 2023, the District recognized pension expense of $181,934. At June 30, 2023, the District reported deferred outflows of resources and deferred inflows of resources related to pensions from the following sources:

	Deferred Outflows of Resources	Deferred Inflows of Resources
Differences between expected and actual experience	$ 744,099	$ 229,924
Changes of assumptions	14,242	400
Net difference between projected and actual earnings on pension plan investments	-	1,796,834
Changes in proportion and differences between District contributions and proportionate share of contributions	940,776	-
District contributions subsequent to the measurement date	3,622,464	-
Total	$ 5,321,581	$ 2,027,158

Deferred outflows of resources of $3,622,464 related to pensions resulting from the District contributions subsequent to the measurement date will be recognized as a reduction of the net pension liability in the year ending June 30, 2024. Other amounts reported as deferred outflows of resources and deferred inflows of resources related to pensions will be recognized in pension expense as follows:

Year Ended June 30,	
2024	$ (1,297,592)
2025	(981,207)
2026	(1,981,378)
2027	3,839,523
2028	92,613
Thereafter	-
Total	$ (328,041)

There were no non-employer contributing entities to IPERS.

<u>Actuarial Assumptions</u> – The total pension liability in the June 30, 2022 actuarial valuation was determined using the following actuarial assumptions, applied to all periods included in the measurement:

Rate of Inflation (effective June 30, 2017)	2.60 percent per annum
Salary Increases (effective June 30, 2017)	3.25 percent to 16.25 percent average, including inflation. Rates vary by membership group.
Investment rate of return (effective June 30, 2017)	7.00 percent, compounded annually, net of investment expense, including inflation.
Wage growth (effective June 30, 2017)	3.25 percent per annum, based on 2.60 percent inflation and 0.65 percent real wage inflation

Note 7. Pension and Retirement Benefits (Continued)

The actuarial assumptions used in the June 30, 2022 valuation were based on the results of a quadrennial experience study covering the period of July 1, 2017 through June 30, 2021. Mortality rates used in the 2022 valuation were based on the PubG-2010 mortality tables with future mortality improvements modeled using Scale MP-2021.

The long-term expected rate of return on pension plan investments was determined using a building-block method in which best-estimate ranges of expected future real rates (expected returns, net of pension plan investment expense and inflation) are developed for each major asset class. These ranges are combined to produce the long-term expected rate of return by weighting the expected future real rates of return by the target asset allocation percentage and by adding expected inflation. The target allocation and bet estimates of arithmetic real rates of return for each major asset class are summarized in the following table:

Asset Class	Asset Allocation	Long-Term Expected Real Rate of Return
Domestic equity	22.0%	3.57%
International equity	17.5%	4.79%
Global smart beta equity	6.0%	4.16%
Core-plus fixed income	20.0%	1.66%
Public credit	4.0%	3.77%
Cash	1.0%	0.77%
Private equity	13.0%	7.57%
Private real assets	8.5%	3.55%
Private credit	8.0%	3.63%
Total	100%	

Discount Rate – The discount rate used to measure the total pension liability was 7.00 percent. The projection of cash flows used to determine the discount rate assumed that employee contributions will be made at the contractually required rate and that contributions from the District will be made at contractually required rates, actuarially determined. Based on those assumptions, the pension plan's fiduciary net position was projected to be available to make all projected future benefit payments of current active and inactive employees. Therefore, the long-term expected rate of return on pension plan investments was applied to all periods of projected benefit payments to determine the total pension liability.

Note 7. Pension and Retirement Benefits (Continued)

Sensitivity of the District's Proportionate Share of the Net Pension Liability to Changes in the Discount Rate – The following presents the District's proportionate share of the net pension liability calculated using the discount rate of 7.00 percent, as well as what the District's proportionate share of the net pension liability would be if it were calculated using a discount rate that is 1-percentage-point lower (6.00 percent) or 1-percentage-point higher (8.00 percent) than the current rate.

	1% Decrease (6.00%)	Discount Rate (7.00%)	1% Increase (8.00%)
District's proportionate share of the net pension liability (asset)	$ 31,273,413	$ 16,785,504	$ 4,017,675

Pension Plan Fiduciary Net Position – Detailed information about the pension plan's fiduciary net position is available in the separately issued IPERS financial report which is available on IPERS' website at www.ipers.org.

Payables to the Pension Plan – At June 30, 2023, the District reported payables to the defined benefit pension plan of $0 for legally required employer contributions and $0 for legally required employee contributions which had been withheld from employee wages but not yet remitted to IPERS.

Note 8. Risk Management

In April 2017, the District transitioned from the fully self-funded health insurance to a partially self-insured plan. The new plan provides for a high deductible plan. The District funds claims between the former deductible ($1,500 family and $750 single) and former maximum out of pocket ($4,500 family and $2,250 single) to the new deductible ($10,000 family and $5,000 single) and new maximum out of pocket ($14,000 family and $7,000 single).

Payments are made to the plan based on actuarial estimates of amounts needed to pay prior and current year claims and to establish a reserve for incurred but unpaid claims. Changes in the claims liability amounts for the years ended June 30, 2023 and 2022 were as follows:

Self-Insurance Liability	Beginning	Claims and Changes in Estimates	Claim Payments	Ending
2022	$ 137,581	$ 1,162,105	$ 1,130,162	$ 169,524
2023	169,524	1,160,001	1,156,109	173,416

Claims liability is classified as current as claims are typically paid within 2 ½ months of incurred date.

Pleasant Valley Community School District is exposed to various risks of loss related to torts; theft; damage to and destruction of assets; errors and omissions; injuries to employees; and natural disasters. These risks are covered by the purchase of commercial insurance. The District assumes liability for any deductibles and claims in excess of coverage limitations. Settled claims from these risks have not exceeded commercial insurance coverage in any of the past three fiscal years.

Note 9. Area Education Agency

The District is required by the Code of Iowa to budget for its share of special education support, media and educational services provided through the area education agency. The District's actual amount for this purpose totaled $2,644,450 for the year ended June 30, 2023 and is recorded in the General Fund.

Note 10. Categorical Funding

The District's fund balance restricted for categorical funding as of June 30, 2023 is comprised of the following programs:

Program	Amount
Home school assistance	$ 115,624
ELP/TAG	240,163
Teacher leadership	501,040
Successful progression for early readers	71,912
Professional development	203,906
Other	91,486
Total	$ 1,224,131

Note 11. Tax Abatements

Governmental Accounting Standards Board Statement No. 77 defines tax abatements as a reduction in tax revenues that results from an agreement between one or more governments and an individual or entity in which (a) one or more governments promise to forgo tax revenues to which they are entitled and (b) the individual or entity promises to take a specific action after the agreement has been entered into that contributes to economic development or otherwise benefits the governments or the citizens of those governments. Property tax revenues of the District were reduced by the following amounts for the year ended June 30, 2023 under tax abatement agreements of other entities:

Entity	Tax Abatement Program	Amount of Tax Diverted
City of LeClaire, Iowa	Urban renewal and economic development projects	$ 515,729
City of Bettendorf, Iowa	Urban renewal and economic development projects	515,815
City of Riverdale, Iowa	Urban renewal and economic development projects	4,069

The State of Iowa reimburses the District an amount equivalent to the increment of valuation on which property tax is divided times $5.40 per $1,000 of taxable valuation. For the year ended June 30, 2023, this reimbursement amounted to $534,537.

Note 12. Commitments

The District entered into a transportation contract for busing equipment and services for the busing of all District students. The terms call for the leasing of buses for various routes. All services are provided by the lessor. The contract is for one year and can be cancelled by either party at the end of the one year term. For the year ended June 30, 2023, the contract payments for busing services and equipment totaled $1,880,077.

The District has entered into contracts totaling $20,462,385 for junior high addition and renovations, roof improvements, and the high school additions, renovations, track and turf. As of June 30, 2023, costs of $4,637,457 had been incurred against the contracts. The balance of $15,824,928 remaining as of June 30, 2023 will be paid as work on the projects progress.

Note 13. Governmental Accounting Standards Board (GASB)

The District adopted the following statements during the year ended June 30, 2023:

GASB Statement No. 91, *Conduit Debt Obligations*, issued May 2019. This Statement clarifies the existing definition of a conduit debt obligation; establishing that a conduit debt obligation is not a liability of the issuer; establishing standards for accounting and financial reporting of additional commitments and voluntary commitments extended by issuers and arrangements association with conduit debt obligations; and improving required note disclosures. This Statement requires issuers to disclose general information about their conduit debt obligations organized by type of commitment, including the aggregate outstanding principal amount of the issuers' conduit debt obligations and a description of each type of commitment. Issuers that recognize liabilities related to supporting the debt service of conduit debt obligations also should disclose information about the amount recognized and how the liabilities changed during the reporting period.

GASB Statement No. 94, *Public-Private and Public-Public Partnerships and Availability Payment Arrangements,* issued March 2020. The primary objective of this Statement is to improve financial reporting by addressing issues related to public-private and public-public partnership arrangements (PPPs). As used in this Statement, a PPP is an arrangement in which a government (the transferor) contracts with an operator (a governmental or nongovernmental entity) to provide public services by conveying control of the right to operate or use a nonfinancial asset, such as infrastructure or other capital asset (the underlying PPP asset), for a period of time in an exchange or exchange-like transaction. This Statement also provides guidance for accounting and financial reporting for availability payment arrangements (APAs). As defined in this Statement, an APA is an arrangement in which a government compensates an operator for services that may include designing, constructing, financing, maintaining, or operating an underlying nonfinancial asset for a period of time in an exchange or exchange-like transaction.

GASB Statement No. 96, *Subscription-Based Information Technology Arrangements,* issued May 2020. This Statement provides guidance on the accounting and financial reporting for subscription-based information technology arrangements (SBITAs) for government end users (governments). This Statement 1) defines a SBITA; 2) establishes that a SBITA results in a right-to-use subscription assets- an intangible asset- and a corresponding subscription liability; 3) provides the capitalization criteria for outlays other than subscription payments, including implementation costs of a SBITA; and 4) requires note disclosures regarding a SBITA.

GASB Statement No. 99, *Omnibus 2022*, issued April 2022. The objectives of this Statement are to enhance comparability in accounting and financial reporting and to improve the consistency of authoritative literature by addressing (1) practice issues that have been identified during implementation and application of certain GASB Statements and (2) accounting and financial reporting for financial guarantees.

Note 13. Governmental Accounting Standards Board (GASB) (Continued)

Other than the restatement for the implementation of GASB Statement No. 96 as discussed in Note 14, the implementation of the above statements did not have a material impact on the District's Financial Statements.

As of June 30, 2023, GASB had issued several statements not yet required to be implemented by the District. The Statements which might impact the District are as follows:

GASB Statement No. 100, *Accounting Changes and Error Corrections- An Amendment of GASB Statement No. 62,* issued June 2022, will be effective for the District beginning with its fiscal year ending June 30, 2024. The primary objective of this Statement is to enhance accounting and financial reporting requirements for accounting changes and error corrections to provide more understandable, reliable, relevant, consistent, and comparable information for making decisions or assessing accountability.

GASB Statement No. 101, *Compensated Absences*, issued June 2022, will be effective for the District beginning with its fiscal year ending June 30, 2025. The objective of this Statement is to better meet the information needs of financial statement users by updating the recognition and measurement guidance for compensated absences. That objective is achieved by aligning the recognition and measurement guidance under a unified model and by amending certain previously required disclosures. This Statement requires that liabilities for compensated absences be recognized for (1) leave that has not been used and (2) leave that has been used but not yet paid in cash or settled through noncash means. A liability should be recognized for leave that has not been used if (a) the leave is attributable to services already rendered, (b) the leave accumulates, and (c) the leave is more likely than not to be used for time off or otherwise paid in cash or settled through noncash means. With respect to financial statements prepared using the current financial resources measurement focus, this Statement requires that expenditures be recognized for the amount that normally would be liquidated with expendable available financial resources. This Statement amends the existing requirements to disclose the gross increases and decreases in a liability for compensated absences to allow governments to disclose only the net change in the liability (As long as they identify it as a net change). In addition, governments are no longer required to disclose which governmental funds typically have been used to liquidate the liability for compensated absences.

The District's management has not yet determined the effect these Statements will have on the District's financial statements.

Note 14. Restatement

Governmental Accounting Standards Board Statement No. 96, *Subscription-Based Information Technology Arrangements (SBITA)*, was implemented during fiscal year 2023. The new requirements require the reporting of certain right-to-use subscription-based IT arrangements and liabilities which were previously not reported. The beginning net position was restated as follows:

	Governmental Activities
Net position June 30, 2022, as previously reported	$ 68,473,073
Right to use subscription IT asset	68,236
Right to use subscription IT accumulated amortization	(38,305)
Subscription IT obligation	(24,770)
Net position June 30, 2022, as restated	$ 68,478,234

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Required Supplementary Information

Pleasant Valley Community School District

Required Supplementary Information
Budgetary Comparison Schedule of Revenues, Expenditures/Expenses and Changes in Balances - Budget and Actual - All Governmental Funds and Enterprise Fund
Year Ended June 30, 2023

	Governmental Funds - Actual	Enterprise Fund - Actual
Revenues:		
Local sources	$ 33,624,067	$ 2,350,959
State sources	44,853,651	18,380
Federal sources	1,869,016	1,334,523
Total revenues	80,346,734	3,703,862
Expenditures/expenses:		
Instruction	44,517,008	-
Support services	19,789,598	-
Noninstructional programs	32,771	3,053,277
Other expenditures	15,024,518	-
Total expenditures/expenses	79,363,895	3,053,277
Excess (deficiency) of revenues over (under) expenditures/expenses	982,839	650,585
Other financing sources (uses):		
Interfund transfers in	6,618,831	-
Interfund transfers out	(6,561,092)	(57,739)
Other	28,855	8,577
Total other financing sources (uses)	86,594	(49,162)
Net change in fund balance	1,069,433	601,423
Balance, beginning of year	30,020,754	3,154,977
Balance, end of year	$ 31,090,187	$ 3,756,400

See Notes to Required Supplementary Information.

	Budgeted Amounts		Final to Actual
Total Actual	Original	Final	Variance
$ 35,975,026	$ 31,674,225	$ 31,674,225	$ 4,300,801
44,872,031	43,424,926	43,424,926	1,447,105
3,203,539	3,498,591	3,498,591	(295,052)
84,050,596	78,597,742	78,597,742	5,452,854
44,517,008	44,603,357	55,085,851	10,568,843
19,789,598	20,170,873	25,915,583	6,125,985
3,086,048	2,228,995	6,383,723	3,297,675
15,024,518	13,069,597	29,775,092	14,750,574
82,417,172	80,072,822	117,160,249	34,743,077
1,633,424	(1,475,080)	(38,562,507)	40,195,931
6,618,831	9,377,281	9,377,281	(2,758,450)
(6,618,831)	(9,285,342)	(9,285,342)	2,666,511
37,432	(40,386)	(40,386)	77,818
37,432	51,553	51,553	(14,121)
1,670,856	$ (1,423,527)	$ (38,510,954)	$ 40,181,810
33,175,731			
$ 34,846,587			

Pleasant Valley Community School District

Required Supplementary Information
Schedule of Changes in the District's Total OPEB
Liability and Related Ratios
Last Six Fiscal Years

	2023	2022
Total OPEB liability		
Changes for the year:		
Service cost	$ 403,655	$ 528,196
Interest	190,901	115,152
Changes of benefit terms		
Differences between expected and actual experience	-	(365,839)
Changes in assumptions or other inputs	(17,570)	(818,342)
Benefit payments	(106,915)	(40,790)
Net changes in total OPEB liability	470,071	(581,623)
Total OPEB liability - beginning	4,720,965	5,302,588
Total OPEB liability - ending	$ 5,191,036	$ 4,720,965
Covered employee payroll	$ 32,384,338	$ 32,384,338
Total OPEB liability as a percentage of covered employee payroll	16.0%	14.6%

Notes to Schedule:

Changes of benefit terms:
There were no changes as a result of changes in benefit terms.

Changes of assumption:

	2023	2022
Changes of assumptions or other inputs reflect a change in the discount rate. The following are the discount rates used in each period:	4.13%	4.09%

No assets are accumulated in a trust that meets the criteria in paragraph 4 of Statement No. 75

Note: The schedule is intended to present information for ten years.
Information prior to 2018 is not available.

See Notes to Required Supplementary Information.

2021	2020	2019	2018
$ 419,695	$ 358,497	$ 200,905	$ 193,420
122,329	85,188	90,870	84,561
	-	-	-
-	1,211,052	-	-
220,448	618,617	83,558	(59,537)
(117,404)	(99,536)	(77,578)	(48,099)
645,068	2,173,818	297,755	170,345
4,657,520	2,483,702	2,185,947	2,015,602
$ 5,302,588	$ 4,657,520	$ 2,483,702	$ 2,185,947
$ 25,448,998	$ 25,448,998	$ 25,413,000	$ 24,435,885
20.8%	18.3%	10.0%	9.0%
2.18%	2.66%	3.50%	3.87%

Pleasant Valley Community School District

Required Supplementary Information
Schedule of the District's Proportionate Share of the Net Pension Liability
Iowa Public Employees' Retirement System
Last Nine Fiscal Years

	2023*	2022*	2021*
District's proportion of the net pension liability	0.444279%	-0.165620%	0.401184%
District's proportionate share of the net pension liability	$ 16,785,504	$ 571,765	$ 28,182,108
District's covered payroll	$ 35,820,023	$ 33,113,826	$ 31,851,031
District's proportionate share of the net pension liability as a percentage of its covered payroll	46.86%	1.73%	88.48%
Plan fiduciary net pension as a percentage of the total pension liability	91.40%	100.81%	82.90%

*The amounts presented for each fiscal year
were determined as of the prior fiscal year-end.

Note: The schedule is intended to present
information for ten years. Information
prior to 2015 is not available.

See Notes to Required Supplementary Information.

2020*	2019*	2018*	2017*	2016*	2015*
0.405431%	0.396414%	0.380032%	0.374103%	0.366061%	0.365605%
$ 23,477,096	$ 25,086,036	$ 25,314,966	$ 23,543,466	$ 18,085,204	$ 14,499,546
$ 30,870,918	$ 29,800,064	$ 28,377,079	$ 26,851,672	$ 25,093,051	$ 23,941,880
76.05%	84.18%	89.21%	87.68%	72.07%	60.56%
85.45%	83.62%	82.21%	81.82%	85.19%	87.61%

Pleasant Valley Community School District

Required Supplementary Information
Schedule of District Contributions (in Thousands)
Iowa Public Employees' Retirement System
Last Ten Fiscal Years

	2023	2022	2021	2020
Statutorily required contribution	$ 3,622	$ 3,381	$ 3,125	$ 3,007
Contributions in relation to the statutorily required contribution	$ (3,622)	$ (3,381)	$ (3,125)	$ (3,007)
Contribution deficiency (excess)	$ -	$ -	$ -	$ -
District's covered payroll	$ 38,489	$ 35,820	$ 33,114	$ 31,851
Contributions as a percentage of employee payroll	9.41%	9.44%	9.44%	9.44%

See Notes to Required Supplementary Information.

	2019		2018		2017		2016		2015		2014
$	2,913	$	2,661	$	2,534	$	2,398	$	2,241	$	2,138
$	(2,913)	$	(2,661)	$	(2,534)	$	(2,398)	$	(2,241)	$	(2,138)
$	-	$	-	$	-	$	-	$	-	$	-
$	30,871	$	29,800	$	28,377	$	26,852	$	25,093	$	23,942
	9.44%		8.93%		8.93%		8.93%		8.93%		8.93%

Note 1. Budgets and Budgetary Information

This budgetary comparison is presented as Required Supplementary Information in accordance with Governmental Accounting Standards Board Statement No. 41 for governments with significant budgetary perspective differences resulting from not being able to present budgetary comparisons for the General Fund and each major Special Revenue Fund.

In accordance with the Code of Iowa, the Board of Education annually adopts a budget following required public notice and hearing for all funds except internal service, private-purpose trust and custodial funds. The budget may be amended during the year utilizing similar statutorily prescribed procedures. The District's budget is prepared on the GAAP basis.

Formal and legal budgetary control for the certified budget is based upon four major classes or expenditures known as functions, not by fund or fund type. These four functions are instruction, support services, noninstructional programs and other expenditures. Although the budget document presents function expenditures or expenses by fund, the legal level of control is at the aggregated function level, not by fund. The Code of Iowa also provides that District expenditures in the General Fund may not exceed the amount authorized by the school finance formula. During the year, the District adopted one budget amendment increasing budgeted expenditures by $37,087,427

During the year ended June 30, 2023, expenditures did not exceed the amounts budgeted.

Note 2. Iowa Public Employees' Retirement System Pension Liability

Changes of benefit terms:

There are no significant changes in benefit terms.

Changes of assumptions:

The 2022 valuation incorporated the following refinements after a quadrennial experience study:

- Changed mortality assumptions to the PubG-2010 mortality tables with mortality improvements modeled using Scale MP-2021.
- Adjusted retirement rates for Regular members.
- Lowered disability rates for Regular members.
- Adjusted termination rates for all membership groups.

The 2018 valuation implemented the following refinements as a result of a demographic assumption study dated June 28, 2018:

- Changed mortality assumptions to the RP-2014 mortality tables with mortality improvements modeled using Scale MP-2017.
- Adjusted retirement rates.
- Lowered disability rates.
- Adjusted the probability of a vested Regular member electing to receive a deferred benefit.
- Adjusted the merit component of the salary increase assumption.

Note 2. Iowa Public Employees' Retirement System Pension Liability (Continued)

The 2017 valuation implemented the following refinements as a result of an experience study dated March 24, 2017:

- Decreased the inflation assumption from 3.00% to 2.60%.
- Decreased the assumed rate of interest on member accounts from 3.75% to 3.50% per year.
- Decreased the discount rate from 7.50% to 7.00%.
- Decreased the wage growth assumption from 4.00% to 3.25%.
- Decreased the payroll growth assumption from 4.00% to 3.25%.

The 2014 valuation implemented the following refinements as a result of quadrennial experience study:

- Decreased the inflation assumption from 3.25 percent to 3.00 percent.
- Decreased the assumed rate of interest on member accounts from 4.00 percent to 3.75 percent per year.
- Adjusted male mortality rates for retirees in the Regular membership group.
- Reduced retirement rates for sheriffs and deputies between the ages of 55 and 64.
- Moved from an open 30-year amortization period to a closed 30 year amortization period for the UAL beginning June 30, 2014. Each year thereafter, changes in the UAL from plan experience will be amortized on a separate closed 20-year period.

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Other Supplementary Information

Pleasant Valley Community School District

Combining Balance Sheet
Nonmajor Governmental Funds
June 30, 2023

	Special Revenue			
	Management Levy	Student Activity	Debt Service	Total
Assets				
Cash and pooled investments	$ 3,532,380	$ 836,932	$ 388,038	$ 4,757,350
Receivables:				
Property tax:				
Current year	6,285	-	-	6,285
Succeeding year	1,290,000	-	-	1,290,000
Accounts	-	1,141	-	1,141
Prepaid items	-	15,914	-	15,914
Total assets	$ 4,828,665	$ 853,987	$ 388,038	$ 6,070,690
Liabilities, Deferred Inflows of Resources, and Fund Balances				
Liabilities:				
Accounts payable	$ 23,942	$ 70,165	$ -	$ 94,107
Unearned revenue	5,698	142	-	5,840
Total liabilities	29,640	70,307	-	99,947
Deferred inflows of resources, Unavailable revenue-succeeding year property tax	1,290,000	-	-	1,290,000
Fund balances:				
Nonspendable	-	15,914	-	15,914
Restricted	3,509,025	767,766	388,038	4,664,829
Total fund balances	3,509,025	783,680	388,038	4,680,743
Total liabilities, deferred inflows of resources and fund balances	$ 4,828,665	$ 853,987	$ 388,038	$ 6,070,690

Pleasant Valley Community School District

Combining Statement of Revenues, Expenditures and Changes in Fund Balances
Nonmajor Governmental Funds
Year Ended June 30, 2023

	Special Revenue			
	Management Levy	Student Activity	Debt Service	Total
Revenues:				
Local sources:				
Property tax	$ 2,064,390	$ -	$ -	$ 2,064,390
Utility excise tax	70,545	-	-	70,545
Other tax	167	-	-	167
Other	89,510	1,117,917	84,777	1,292,204
State sources	505	-	-	505
Total revenues	2,225,117	1,117,917	84,777	3,427,811
Expenditures:				
Current:				
Instruction	298,831	1,144,400	-	1,443,231
Support services:				
Student services	50,619	-	-	50,619
Instructional staff services	48,821	-	-	48,821
Administration services	44,328	1,704	-	46,032
Operation and maintenance of plant services	488,907	10,794	-	499,701
Transportation services	6,807	-	-	6,807
Noninstructional programs	32,292	-	-	32,292
Debt Service:				
Principal	-	-	5,520,631	5,520,631
Interest and fiscal charges	-	-	1,015,552	1,015,552
Total expenditures	970,605	1,156,898	6,536,183	8,663,686
Excess (deficiency) of revenues over (under) expenditures	1,254,512	(38,981)	(6,451,406)	(5,235,875)
Other financing sources:				
Transfers in	-	23,861	6,537,231	6,561,092
Total other financing sources	-	23,861	6,537,231	6,561,092
Net change in fund balances	1,254,512	(15,120)	85,825	1,325,217
Fund balances, beginning of year	2,254,513	798,800	302,213	3,355,526
Fund balances, end of year	$ 3,509,025	$ 783,680	$ 388,038	$ 4,680,743

Pleasant Valley Community School District

Schedule of Combining Balance Sheet
Capital Project Fund - By Account
June 30, 2023

	Capital Projects Accounts		
	Statewide Sales, Services and Use Tax	Physical Plant and Equipment Levy	Total
Assets			
Cash and pooled investments	$ 14,828,311	$ 1,124,215	$ 15,952,526
Receivables:			
Property tax:			
Current year	-	10,700	10,700
Succeeding year	-	3,370,000	3,370,000
Due from other governments	522,745	-	522,745
Total assets	$ 15,351,056	$ 4,504,915	$ 19,855,971
Liabilities, Deferred Inflows of Resources, and Fund Balances			
Liabilities:			
Accounts payable	$ 1,086,654	$ 1,134,733	$ 2,221,387
Total liabilities	1,086,654	1,134,733	2,221,387
Deferred Inflows of Resources:			
Unavailable revenue-succeeding year property tax	-	3,370,000	3,370,000
Total deferred inflows of resources	-	3,370,000	3,370,000
Fund Balances:			
Restricted for:			
Physical plant and equipment	-	182	182
School infrastructure	14,264,402	-	14,264,402
Total fund balances	14,264,402	182	14,264,584
Total liabilities and fund balances	$ 15,351,056	$ 4,504,915	$ 19,855,971

Pleasant Valley Community School District

Schedule of Combining Statement of Revenues, Expenditures and Changes in Fund Balances
Capital Project Fund - By Account
Year Ended June 30, 2023

	Capital Projects Accounts		
	Statewide Sales, Services and Use Tax	Physical Plant and Equipment Levy	Total
Revenues:			
Local sources:			
Property tax	$ -	$ 3,472,790	$ 3,472,790
Utility excise tax	-	109,465	109,465
Other tax	-	259	259
Other	974,914	27,746	1,002,660
State sources	7,394,675	783	7,395,458
Federal sources	-	12,032	12,032
Total revenues	8,369,589	3,623,075	11,992,664
Expenditures:			
Current:			
Instruction	-	31,350	31,350
Support services:			
Administration services	-	13,800	13,800
Operation and maintenance of plant services	-	51,385	51,385
Other expenditures, facilities acquisition	3,405,250	2,436,535	5,841,785
Debt service, fees	2,100	-	2,100
Total expenditures	3,407,350	2,533,070	5,940,420
Excess of revenues over expenditures	4,962,239	1,090,005	6,052,244
Other financing sources (uses):			
Transfer in	-	141,000	141,000
Transfers out	(4,308,204)	(2,342,825)	(6,651,029)
Total other financing (uses)	(4,308,204)	(2,201,825)	(6,510,029)
Net change in fund balance	654,035	(1,111,820)	(457,785)
Fund balance, beginning of year	13,610,367	1,112,002	14,722,369
Fund balance, end of year	$ 14,264,402	$ 182	$ 14,264,584

Pleasant Valley Community School District

Schedule of Changes in Special Revenue Fund, Student Activity Accounts
Year Ended June 30, 2023

Account	Balance Beginning of Year	Revenues	Expenditures	Intrafund Transfers	Balance End of Year
Elementary and Junior High Activities:					
P.V.J.H. Athletics	$ 263	$ -	$ 263	$ -	$ -
P.V.J.H. Band	2,565	-	-	-	2,565
P.V.J.H. Vocal Music	387	639	987	-	39
P.V.J.H. Bookstore	211	1,817	1,817	-	211
P.V.J.H. Drama	10,135	-	-	(10,135)	-
P.V.J.H. Chorus	73	-	-	-	73
P.V.J.H. General Activities	4,457	1,466	2,150	-	3,773
P.V.J.H. Home Economics	1,712	-	-	-	1,712
P.V.J.H. Quest Program	327	-	-	-	327
P.V.J.H. Science	14	-	-	-	14
P.V.J.H. Special Olympics	197	-	-	-	197
P.V.J.H. Student Council	1,803	-	-	-	1,803
P.V.J.H. Weightlifting Club	-	2,000	2,000	-	-
P.V.J.H. Orchestra	71	5,460	5,531	-	-
P.V.J.H. PTA	-	-	-	-	-
P.V.J.H. Robotics	270	-	-	-	270
P.V.J.H. Yearbook	28,774	15,076	9,372	-	34,478
Bridgeview General Activities	14,832	1,049	2,628	-	13,253
Bridgeview PTA Donations	11	8,100	8,100	-	11
Bridgeview Yearbook	746	1,422	1,347	-	821
Bridgeview Student Activity	22	-	-	-	22
Bridgeview Vocal Music	375	200	-	-	575
Bridgeview Robotics	50	-	-	-	50
Bridgeview Plant Club	344	-	256	-	88
Cody Band	34	-	-	-	34
Cody Book Club	1,629	561	408	-	1,782
Cody Bookstore	295	-	-	-	295
Cody Candy Sales	782	-	-	-	782
Cody General Activities	9,293	3,179	3,335	-	9,137
Cody Jump for Heart	2	-	-	-	2
Cody Robotics	60	-	-	-	60
Cody Student Fund	429	-	-	-	429
Cody Vocal Music	493	200	170	-	523
Cody Yearbook	4,947	2,189	1,618	-	5,518
Cody Student Council	65	-	-	-	65
Cody PTA Donations	1,708	4,160	4,250	-	1,618
Hopewell General Activities	12,297	3,238	2,584	-	12,951
Hopewell PTA	-	2,421	-	(2,194)	227
Hopewell Book Club	8,273	2,522	2,329	-	8,466
Hopewell Vocal Music	161	1,969	2,054	-	76
Hopewell Yearbook	4,341	7,480	3,395	-	8,426
Pleasant View General Activities	10,427	5,107	6,484	-	9,050
Pleasant View PTA	794	21,780	20,808	-	1,766
Pleasant View Vocal Music	-	-	-	-	-
Pleasant View Book Club	3,784	5,711	2,849	-	6,646
Pleasant View Yearbook	-	9,301	9,301	-	-
Pleasant View Robotics	1,757	-	-	-	1,757

(Continued)

Pleasant Valley Community School District

Schedule of Changes in Special Revenue Fund, Student Activity Accounts (Continued)
Year Ended June 30, 2023

Account	Balance Beginning of Year	Revenues	Expenditures	Intrafund Transfers	Balance End of Year
Elementary and Junior High Activities:					
Riverdale Book Club	$ 387	$ 1,040	$ 577	$ -	$ 850
Riverdale Bookstore	218	-	-	-	218
Riverdale Jump for Heart	42	-	-	-	42
Riverdale General Activities	19,188	4,151	3,674	-	19,665
Riverdale PTA	1,143	4,422	4,422	-	1,143
Riverdale Student Council	264	-	-	-	264
Riverdale Science	843	-	-	-	843
Riverdale Band	500	-	-	-	500
Riverdale Robotics	730	-	-	-	730
Riverdale Vocal Music	35	200	213	-	22
Riverdale Yearbook	8,606	5,321	13,026	-	901
District-Wide Garage Sale	1,234	-	-	-	1,234
District-Wide Wellness	219	-	-	-	219
District-Wide STEM Night	556	-	-	-	556
Interest	54,965	7,871	-	2,272	65,108
6th Grade Choir	2,922	410	-	-	3,332
Forest Grove General Activities	492	987	1,006	-	473
Elementary and JH First Lego League	5,288	11,943	13,827	-	3,404
Forest Grove PTA Donations	-	91	91	-	-
Forest Grove Vocal Music	200	200	-	-	400
Forest Grove Student Activity	-	-	-	-	-
Forest Grove Yearbook	-	1,947	1,870	(77)	-
Forest Grove Book Club	1,048	1,530	-	-	2,578
High School Activities:		-	-	-	
General Administrative	7,236	2,825	1,050	483	9,494
Clubs and Organizations	95,358	280,637	330,390	-	45,605
Drama	9,379	60,727	70,966	920	60
Therapy Dog	526	-	-	47	573
High School Athletics	140,316	-	-	(10,915)	129,401
Sparkles	772	1,970	208	-	2,534
Music Clubs	24,392	40,934	44,912	3,122	23,536
FCCLA	1,139	-	-	-	1,139
Croquet/Gentlemen's Club	236	-	-	-	236
PV Pals	893	-	-	-	893
PV Shining Stars	44	-	-	-	44
PVMCSA	145	-	-	-	145
Multi-occupations	72	-	-	-	72
First Robotics Club	8,698	42,852	40,816	(47)	10,687
Valenian	42,365	81,080	75,569	-	47,876
Athletic Support Groups	175,791	419,016	452,853	45,796	187,750
Interest	36,456	16,592	-	(13,670)	39,378
Nonspendable Prepaid Items	7,392	24,124	7,392	3,898	28,022
Interfund Transfers	19,500	23,861	-	(19,500)	23,861
Total	$ 798,800	$ 1,141,778	$ 1,156,898	$ -	$ 783,680

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Statistical Section

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Pleasant Valley Community School District

Statistical Section
Contents

The statistical section of the District's annual comprehensive financial report presents detailed information as a context for understanding what the information presented in the financial statements, note disclosures and required supplementary information say about the District's overall financial health.

Pleasant Valley Community School District

Net Position by Component
Last Ten Fiscal Years
(accrual basis of accounting)
(Unaudited)

	Fiscal Year			
	2014*	2015	2016	2017
Governmental activities:				
Net investment in capital assets	$ 44,512,322	$ 47,577,526	$ 46,357,427	$ 48,923,365
Restricted	2,972,549	3,299,023	7,618,033	8,779,479
Unrestricted	(13,208,319)	(11,059,471)	(9,745,457)	(9,497,092)
Business-type activities				
Net investment in capital assets	664,469	583,135	523,807	446,365
Restricted	11,156	10,843	7,646	5,189
Unrestricted	(51,931)	106,827	430,982	842,399
Total primary government net position	$ 34,900,246	$ 40,517,883	$ 45,192,438	$ 49,499,705

* Implemented GASB Statement No. 68
Source: District financial records

Fiscal Year					
2018	2019	2020	2021	2022	2023
$ 53,863,845	$ 54,688,945	$ 57,616,352	$ 61,834,605	$ 64,294,575	$ 69,100,013
6,824,623	9,377,347	9,546,788	9,520,185	11,617,264	15,148,892
(11,162,552)	(12,357,024)	(13,090,297)	(12,120,596)	(7,438,766)	(4,275,821)
541,660	517,626	519,029	740,141	669,179	587,501
17,737	26,299	41,295	32,205	7,716	4,299
1,012,013	1,240,620	1,018,293	1,169,130	2,478,082	3,164,600
$ 51,097,326	$ 53,493,813	$ 55,651,460	$ 61,175,670	$ 71,628,050	$ 83,729,484

Pleasant Valley Community School District

Expenses, Program Revenues and Net (Expense) Revenue
Last Ten Fiscal Years
(accrual basis of accounting)
(Unaudited)

	Fiscal Year			
	2014	2015	2016	2017
Expenses:				
Governmental activities:				
Regular instruction	$ 23,050,148	$ 23,184,329	$ 25,438,186	$ 26,703,792
Special instruction	3,468,985	3,526,775	3,685,199	3,806,549
Other instruction	4,306,623	4,584,831	4,426,675	4,755,087
Student services	1,612,251	1,653,333	1,805,292	1,921,235
Instructional staff services	1,747,264	1,837,349	3,217,189	3,487,286
Administration services	4,278,116	3,492,635	3,730,755	4,764,242
Operation and maintenance of plant services	3,986,499	3,811,382	3,683,918	3,675,409
Transportation services	1,346,380	1,368,313	1,687,983	1,809,887
Noninstructional	18,959	20,941	42,924	33,911
Interest on long-term debt	-	-	206,613	471,868
AEA flowthrough	1,638,338	1,744,881	1,826,774	1,901,900
Depreciation (unallocated)	-	-	-	-
Total governmental activities	45,453,563	45,224,769	49,751,508	53,331,166
Business-type activities:				
Administration Service	34,856	56,128	44,303	-
Operation and maintenance of plant services	60,236	60,236	32,362	-
Food service operations	1,731,856	1,756,835	1,809,658	1,937,243
Total business-type activities	1,826,948	1,873,199	1,886,323	1,937,243
Total primary government expenses	47,280,511	47,097,968	51,637,831	55,268,409
Program revenues:				
Governmental activities:				
Charges for services:				
Instruction:				
Regular instruction	2,169,067	2,306,499	2,383,423	2,470,094
Special instruction	46,159	880	-	-
Other instruction	902,136	928,278	874,540	924,568
Support services	32,940	28,130	36,603	35,489
Operating grants and contributions	5,529,965	6,028,330	7,726,677	6,619,414
Capital grants and contributions	-	-	-	200,000
Total governmental activities	8,680,267	9,292,117	11,021,243	10,249,565
Business-type activities:				
Charges for services:				
Food service operations	1,410,966	1,517,506	1,590,833	1,664,304
Operating grants and contributions	489,200	579,884	582,902	628,697
Capital grants and contributions	-	-	-	-
Total business-type activities	1,900,166	2,097,390	2,173,735	2,293,001
Total primary government revenues	10,580,433	11,389,507	13,194,978	12,542,566
Net (expense) revenues:				
Total governmental activities	(36,773,296)	(35,932,652)	(38,730,265)	(43,081,601)
Total business-type activities	73,218	224,191	287,412	355,758
Total primary government revenues	$ (36,700,078)	$ (35,708,461)	$ (38,442,853)	$ (42,725,843)

Source: District financial records

	Fiscal Year					
	2018	2019	2020	2021	2022	2023
	$ 29,527,917	$ 29,900,727	$ 30,147,393	$ 32,063,358	$ 31,061,506	$ 29,820,957
	4,177,790	4,177,790	5,349,038	6,055,626	6,209,079	9,056,695
	5,033,700	5,044,702	5,764,629	5,663,271	5,657,450	7,345,938
	2,121,430	2,186,916	2,161,707	1,974,779	2,348,172	2,318,339
	3,749,838	3,932,783	4,186,258	4,168,647	4,035,298	4,532,562
	5,112,130	5,306,450	5,410,975	5,763,843	5,750,866	5,784,137
	4,032,811	4,590,464	3,681,052	3,615,929	3,651,439	3,846,967
	1,934,517	1,988,860	1,951,249	1,959,282	2,037,751	2,314,110
	23,618	21,855	24,256	23,195	24,945	32,771
	623,732	1,455,077	1,423,256	1,214,348	1,089,304	968,734
	2,056,304	2,156,919	2,259,331	2,375,720	2,486,311	2,644,450
	-	-	-	-	-	-
	58,393,787	60,762,543	62,359,144	64,877,998	64,352,121	68,665,660
	-	-	-	-	-	-
	-	-	-	-	-	-
	2,079,277	2,118,968	1,957,472	1,964,268	2,877,616	3,055,700
	2,079,277	2,118,968	1,957,472	1,964,268	2,877,616	3,055,700
	60,473,064	62,881,511	64,316,616	66,842,266	67,229,737	71,721,360
	2,553,359	2,165,736	2,202,140	2,689,110	2,722,717	2,191,551
	-	174,032	134,936	-	7,560	516,836
	982,706	960,964	725,108	714,982	1,059,330	132,644
	41,725	32,350	29,437	22,376	35,163	1,854,495
	6,999,341	7,256,134	7,336,281	10,320,304	9,411,513	11,391,815
	-	15,054	-	-	-	482,245
	10,577,131	10,604,270	10,427,902	13,746,772	13,236,283	16,569,586
	1,750,799	1,771,203	1,347,137	428,604	743,024	2,230,141
	629,562	667,986	508,088	1,808,630	3,556,322	1,357,903
	-	-	-	-	-	11,000
	2,567,897	2,439,189	1,855,225	2,237,234	4,299,346	3,599,044
	13,145,028	13,043,459	12,283,127	15,984,006	17,535,629	20,168,630
	(47,816,656)	(50,158,273)	(51,931,242)	(51,131,226)	(51,115,838)	(52,096,074)
	488,620	320,221	(102,247)	272,966	1,421,730	543,344
	$ (47,328,036)	$ (49,838,052)	$ (52,033,489)	$ (50,858,260)	$ (49,694,108)	$ (51,552,730)

Pleasant Valley Community School District

General Revenues and Total Change in Net Position
Last Ten Fiscal Years
(accrual basis of accounting)
(Unaudited)

	Fiscal Year			
	2014	2015	2016	2017
General revenues and other changes in net position:				
Governmental activities:				
Taxes:				
Property taxes levied for:				
General purposes	$ 15,563,490	$ 16,114,877	$ 16,698,868	$ 17,606,221
Capital projects	2,157,906	2,268,217	2,379,912	2,566,497
Other specific purposes	629,038	661,553	690,670	743,239
Statewide sales and services tax	3,680,667	4,080,583	4,194,086	4,343,875
Unrestricted grants	17,312,624	17,785,894	18,552,175	21,128,076
Miscellaneous	325,442	344,825	509,597	513,969
Investment earnings	53,815	67,229	87,857	124,520
Transfers	100,000	150,000	30,025	30,953
Total governmental activities	39,822,982	41,473,178	43,143,190	47,057,350
Business-type activities:				
Investment earnings	2,190	2,920	4,243	6,713
Transfers	(100,000)	(150,000)	(30,025)	(30,953)
Total business-type activities	(97,810)	(147,080)	(25,782)	(24,240)
Total primary government	39,725,172	41,326,098	43,117,408	47,033,110
Change in net position:				
Total governmental activities	3,890,330	2,742,913	4,412,925	(759,306)
Total business-type activities	126,381	140,332	261,630	464,380
Total primary government	$ 4,016,711	$ 2,883,245	$ 4,674,555	$ (294,926)

Source: District financial records

Fiscal Year					
2018	2019	2020	2021	2022	2023
$ 18,359,453	$ 19,216,658	$ 19,510,686	$ 21,072,520	$ 22,390,453	$ 20,863,056
2,705,964	2,854,682	3,065,500	3,236,818	3,422,653	3,472,790
589,075	634,423	728,431	759,226	809,119	2,064,390
4,423,311	5,059,769	5,191,254	5,587,148	5,854,401	7,101,953
22,602,674	23,406,467	24,503,479	24,430,506	27,262,472	27,930,505
460,997	548,663	535,476	476,946	285,201	801,420
202,180	489,188	634,970	813,563	163,251	1,299,071
216,856	131,775	125,021	(84,150)	219,176	57,739
49,560,510	52,341,625	54,294,817	56,292,577	60,406,726	63,590,924
13,441	24,689	21,340	5,743	10,947	115,818
(216,856)	(131,775)	(125,021)	84,150	(219,176)	(57,739)
(203,415)	(107,086)	(103,681)	89,893	(208,229)	58,079
49,357,095	52,234,539	54,191,136	56,382,470	60,198,497	63,649,003
1,743,854	2,183,352	2,363,575	56,292,577	60,406,726	11,494,850
285,205	213,135	(205,928)	89,893	(208,229)	601,423
$ 2,029,059	$ 2,396,487	$ 2,157,647	$ 56,382,470	$ 60,198,497	$ 12,096,273

Pleasant Valley Community School District

Fund Balances, Governmental Funds
Last Ten Fiscal Years
(modified accrual basis of accounting)
(Unaudited)

	Fiscal Year			
	2014	2015	2016	2017
General Fund:				
Nonspendable	$ 135,876	$ 67,078	$ 130,038	$ 107,892
Restricted	351,165	379,954	600,523	634,569
Assigned	1,841,702	1,854,244	2,040,642	2,146,505
Unassigned	2,252,617	3,101,609	2,957,325	3,550,195
Total General Fund	4,581,360	5,402,885	5,728,528	6,439,161
All other governmental funds:				
Nonspendable	7,470	6,131	1,112	4,918
Restricted for:				
Capital projects funds	497,894	564,012	5,651,773	6,752,614
Debt service	-	-	594,338	381,144
Special revenue funds	1,937,684	2,157,946	2,175,331	2,431,290
Unassigned	-	-	-	-
Total all other governmental funds	2,443,048	2,728,089	8,422,554	9,569,966
Total governmental funds	$ 7,024,408	$ 8,130,974	$ 14,151,082	$ 16,009,127

Source: District financial records

Fiscal Year					
2018	2019	2020	2021	2022	2023
$ 142,536	$ 143,272	$ 158,217	$ 358,172	$ 518,688	$ 272,311
662,376	523,933	623,430	895,985	1,105,162	1,224,131
2,313,277	3,148,671	3,133,352	3,162,842	3,161,450	3,277,498
3,470,053	3,238,128	4,309,175	6,920,517	7,157,559	7,370,920
6,588,242	7,054,004	8,224,174	11,337,516	11,942,859	12,144,860
5,295	9,884	96,367	1,126	4,259	15,914
3,268,728	28,524,186	20,244,645	12,549,453	14,722,369	14,264,584
22,455	1,059,583	280,874	289,304	302,213	388,038
2,643,444	2,919,016	3,012,089	2,976,038	3,049,054	4,276,791
-	-	-	-	-	-
5,939,922	32,512,669	23,633,975	15,815,921	18,077,895	18,945,327
$ 12,528,164	$ 39,566,673	$ 31,858,149	$ 27,153,437	$ 30,020,754	$ 31,090,187

Pleasant Valley Community School District

Governmental Funds Revenues
Last Ten Fiscal Years
(modified accrual basis of accounting)
(Unaudited)

	Fiscal Year			
	2014	2015	2016	2017
Local sources:				
Property taxes	$ 18,350,434	$ 19,044,647	$ 19,769,450	$ 21,662,607
Interest income	53,815	67,229	87,857	124,520
Other revenues	3,547,653	3,598,092	3,606,539	3,287,108
Total local sources	21,951,902	22,709,968	23,463,846	25,074,235
State sources:				
Statewide sales, services and use tax	3,668,835	4,067,504	4,182,214	4,333,461
State foundation aid and state grants	21,968,271	22,963,212	25,572,441	26,985,461
Total state sources	25,637,106	27,030,716	29,754,655	31,318,922
Federal sources, federal grants	798,107	851,012	904,035	872,011
Total revenues	$ 48,387,115	$ 50,591,696	$ 54,122,536	$ 57,265,168

Source: District financial records

					Fiscal Year						
	2018		2019		2020		2021		2022		2023
$	21,654,493	$	22,705,763	$	23,304,617	$	25,068,564	$	26,622,225	$	26,400,236
	229,390		151,685		599,831		796,576		163,251		533,274
	3,910,439		3,952,799		3,303,074		3,443,555		3,958,874		6,690,557
	25,794,322		26,810,247		27,207,522		29,308,695		30,744,350		33,624,067
	4,415,088		5,059,769		5,215,928		5,117,291		6,298,315		7,394,675
	28,762,094		29,773,918		31,147,243		33,221,454		34,530,111		37,458,976
	33,177,182		34,833,687		36,363,171		38,338,745		40,828,426		44,853,651
	941,058		1,012,883		923,013		1,991,226		2,284,600		1,869,016
$	59,912,562	$	62,656,817	$	64,493,706	$	69,638,666	$	73,857,376	$	80,346,734

Pleasant Valley Community School District

Governmental Funds Expenditures and Debt Service Ratio
Last Ten Fiscal Years
(modified accrual basis of accounting)
(Unaudited)

	Fiscal Year			
	2014	2015	2016	2017
Instruction	$ 28,708,400	$ 30,012,492	$ 32,013,799	$ 32,861,581
Student services	1,612,251	1,653,333	1,805,292	1,921,235
Instructional staff services	1,747,264	1,837,349	3,217,189	3,487,286
Administration services	3,955,941	4,043,845	4,209,472	4,466,699
Operation and maintenance of plant	3,198,034	3,207,753	3,040,088	3,307,042
Transportation services	1,346,380	1,368,313	1,687,983	1,809,887
Noninstructional programs	18,959	20,941	42,924	33,911
Capital outlay, facilities acquisition	4,664,562	3,747,432	10,084,680	13,587,047
AEA flowthrough	1,638,338	1,744,881	1,826,774	1,901,900
Debt service:				
Principal	3,700,000	2,000,000	-	1,590,000
Interest and fiscal charges	10,268	1,798	206,613	471,868
Total expenditures	$ 50,600,397	$ 49,638,137	$ 58,134,814	$ 65,438,456
Debt service as a percentage of noncapital expenditures	7.98%	4.31%	0.42%	3.95%

Source: District financial records

Fiscal Year					
2018	2019	2020	2021	2022	2023
$ 35,464,968	$ 35,574,571	$ 36,542,961	39,113,467	$ 42,286,174	$ 44,517,008
2,066,131	2,140,443	2,081,854	1,907,354	2,546,322	2,454,356
3,648,615	3,847,717	4,036,280	4,029,453	4,447,502	4,806,787
4,750,539	4,860,451	4,818,158	5,140,249	5,715,789	5,815,625
3,491,192	3,731,218	3,501,291	3,729,238	4,036,232	4,395,081
1,932,688	1,987,324	1,948,687	1,957,462	2,043,837	2,317,749
23,618	21,855	24,256	23,195	24,945	32,771
17,072,274	9,136,619	10,592,542	9,757,645	1,045,132	5,841,785
2,056,304	2,156,919	2,259,331	2,375,720	2,486,311	2,644,450
2,840,000	2,979,691	5,138,397	5,266,348	5,478,365	5,520,631
623,732	1,455,077	1,383,494	1,263,003	1,138,084	1,017,652
$ 73,970,061	$ 67,891,885	$ 72,327,251	$ 74,563,134	$ 71,248,693	$ 79,363,895
6.05%	7.46%	10.52%	10.03%	9.46%	8.96%

Pleasant Valley Community School District

Other Financing Sources and Uses and Net Change in Fund Balances
Governmental Funds
Last Ten Fiscal Years
(modified accrual basis of accounting)
(Unaudited)

	Fiscal Year			
	2014	2015	2016	2017
Excess (deficiency) of revenues over (under) expenditures	$ (2,213,282)	$ 953,559	$ (4,012,278)	$ (8,173,288)
Other financing sources (uses):				
Sale of capital assets	11,367	3,007	2,361	380
Issuance of debt	3,600,000	-	10,000,000	10,000,000
Issuance of lease	-	-	-	-
Issuance of IT subscription obligation	-	-	-	-
Transfers in	3,809,488	2,151,798	716,187	1,736,826
Transfers out	(3,709,488)	(2,001,798)	(686,162)	(1,705,873)
Total other financing sources (uses)	3,711,367	153,007	10,032,386	10,031,333
Net change in fund balances	$ 1,498,085	$ 1,106,566	$ 6,020,108	$ 1,858,045

Source: District financial records

	Fiscal Year					
	2018	2019	2020	2021	2022	2023
	$ (14,057,499)	$ (5,235,067)	$ (7,833,545)	$ (4,924,468)	$ -	$ 982,839
	10,842	60,000	-	5,975	12,354	1,342
	10,348,838	32,081,801	-	-	-	-
	-	-	-	-	27,104	-
	-	-	-	-	-	27,513
	3,182,554	5,306,374	5,942,616	6,670,799	6,760,411	6,618,831
	(2,965,698)	(5,174,599)	(5,817,595)	(6,457,018)	(6,541,235)	(6,561,092)
	10,576,536	32,273,576	125,021	219,756	258,634	86,594
	$ (3,480,963)	$ 27,038,509	$ (7,708,524)	$ (4,704,712)	$ 258,634	$ 1,069,433

Pleasant Valley Community School District

Assessed Value and Taxable Value of Assessed Property
Last Ten Fiscal Years
(Unaudited)

Valuation Date	Fiscal Year	Taxable Residential Property	Taxable Multiresidential Property	Taxable Agicultural Property	Taxable Commercial Property	Taxable Industrial Property	Taxable Railroads
1/1/2012	2013-2014	$ 918,634,549	$ -	$15,102,347	$ 153,829,427	$ 63,911,573	$1,955,202
1/1/2013	2014-2015	976,952,195	-	14,969,358	166,665,644	62,992,936	1,526,075
1/1/2014	2015-2016	1,043,403,312	-	15,247,537	156,483,850	60,456,091	1,224,349
1/1/2015	2016-2017	1,133,691,222	44,926,073	15,015,402	119,039,872	61,893,532	1,732,590
1/1/2016	2017-2018	1,208,406,161	41,798,373	15,550,165	120,102,257	61,586,636	2,071,435
1/1/2017	2018-2019	1,311,230,225	40,880,110	17,944,261	128,368,271	63,522,426	2,340,134
1/1/2018	2019-2020	1,401,196,722	39,937,432	18,164,734	130,992,138	63,504,346	2,393,200
1/1/2019	2020-2021	1,428,289,294	53,886,496	19,313,150	133,890,065	63,423,518	3,114,867
1/1/2020	2021-2022	1,528,268,831	53,109,023	19,825,922	147,026,323	63,751,441	3,242,272
1/1/2021	**2022-2023**	**1,594,006,479**	**56,939,631**	**19,502,276**	**166,788,396**	**65,823,539**	**3,204,798**

Source: Iowa Department of Management and Scott County Auditor.

Notes:

Property is assessed on a calendar year basis. The assessments finalized as of January 1 of each year are applied to the second fiscal year following the tax assessment year.

Prior to FY2017 multiresidential property was included with commerical property and taxed at the same rate. Beginning in FY2017 its rollback percentage is 3.75% less than commercial property. The rollback percentage for multiresidential property will decrease 3.75% per year until it is taxed at the same rate as residential property.

(a) Per $1,000 of taxable value.

Taxable Utilities Without Gas & Electric	Taxable Utilities Gas & Electric Only	Military Exemption	Total Taxable Valuation Without Tax Increment Financing (TIF)	Tax Increment Financing (TIF)	Total Taxable Value With TIF	100% Assessed Value	Total Direct Rate (a)
$ 25,233,043	$ 46,159,038	$ (2,202,204)	$ 1,222,622,975	$ 115,685,645	$ 1,338,308,620	$2,266,008,915	$14.74093
18,383,813	53,017,223	2,198,321	1,296,705,565	120,798,737	1,417,504,302	2,355,418,130	14.49409
17,035,377	58,484,070	(2,316,852)	1,350,017,734	133,372,143	1,483,389,877	2,469,017,594	14.34409
15,636,926	58,731,748	(2,285,368)	1,448,381,997	146,892,381	1,595,274,378	2,676,942,475	14.14425
15,160,104	55,030,720	(2,252,032)	1,517,453,819	158,345,603	1,675,799,422	2,777,879,736	13.95589
17,829,924	54,463,164	(2,248,328)	1,634,330,187	134,836,020	1,769,166,207	2,999,567,470	13.65587
18,165,474	52,827,278	(2,211,288)	1,724,970,036	133,107,413	1,858,077,449	3,102,841,240	13.41138
14,607,453	50,758,578	(2,185,360)	1,765,098,061	149,366,560	1,914,464,621	3,275,467,091	13.78152
13,893,146	55,195,991	(2,166,840)	1,882,146,109	150,506,886	2,032,652,995	3,426,217,440	13.76024
14,262,069	**65,519,019**	**(2,113,132)**	**1,983,933,075**	**161,514,966**	**2,145,448,041**	**3,747,399,810**	**13.46043**

Pleasant Valley Community School District

Direct and Overlapping Property Tax Rates
Last Ten Fiscal Years
(rate per $1,000 of taxable value)
(Unaudited)

Fiscal Year	District Direct Rates General Purposes	Capital Purposes	Debt Service	Total
2013-2014	13.07093	1.67000	-	14.74093
2014-2015	12.82409	1.67000	-	14.49409
2015-2016	12.67409	1.67000	-	14.34409
2016-2017	12.47425	1.67000	-	14.14425
2017-2018	12.28589	1.67000	-	13.95589
2018-2019	11.98587	1.67000	-	13.65587
2019-2020	11.74138	1.67000	-	13.41138
2020-2021	12.11152	1.67000	-	13.78152
2021-2022	12.09024	1.67000	-	13.76024
2022-2023	11.79043	1.67000	-	13.46043

Source: Iowa Department of Management and Scott County Auditor.

Overlapping Rates							
Scott County	College Area IX	City of Bettendorf	City of Leclaire	City of Panarama Park	City of Riverdale	Assessor	Other
6.23534	0.92043	12.55000	14.47264	5.26743	10.55525	0.27996	0.06890
6.13204	0.92782	12.55000	14.47264	5.26550	12.21629	0.27068	0.07009
6.00377	0.96863	12.55000	14.29804	5.79870	11.90048	0.27052	0.07135
5.82228	1.00909	12.55000	14.29798	5.80468	11.99199	0.23792	0.07089
5.82167	1.03000	12.50000	13.92602	5.80424	11.99735	0.22975	0.07057
5.82167	1.03000	12.50000	13.64999	5.80408	11.84593	0.19523	0.06842
5.99401	0.99000	12.50000	13.35596	5.80405	9.39248	0.18832	0.06740
6.21304	0.82406	12.80000	13.09828	5.97332	9.39665	0.17432	0.06667
6.04197	0.92357	12.80000	12.83631	6.11078	6.03216	0.17298	0.06637
5.95000	0.94542	12.65000	12.64166	5.68321	5.63532	0.19858	0.06621

Pleasant Valley Community School District

Principal Property Tax Payers
Current Year and Nine Years Ago
(Unaudited)

	2023			2014		
Name of Taxpayer	Taxable Value	Rank	Percentage of Total Taxable Value	Taxable Value	Rank	Percentage of Total Taxable Value
Mid American Energy Co.	$ 52,891,137	1	2.5%			
Arconic Dacenport LLC	39,556,136	2	1.8%	$ 39,529,860	1	3.0%
The Bettplex LLC	22,650,579	3	1.1%			
Continental 203 Fund LLC	19,316,671	4	0.9%			
Iowa American Water Company	12,570,668	5	0.6%	6,471,964	8	0.5%
Pebble Creek Borrower 2021 LLC	11,024,313	6	0.5%			
First Equity Management L C	10,850,688	7	0.5%	11,434,230	2	0.9%
Northern Border Pipeline Company	10,598,552	8	0.5%	10,541,832	3	0.8%
Olympic Steel Iowa Inc.	9,277,425	9	0.4%	9,171,760	4	0.7%
Chateau Knoll LLC	9,147,953	10	0.4%	8,136,050	6	0.6%
Bettendorf Regency Apartments				8,701,290	5	0.7%
Alter Trading Corp.				7,927,580	7	0.6%
Lindquist Real Estate Partners				6,085,820	9	0.5%
Sodarock Properties LLC				5,601,517	10	0.4%
Total	$ 197,884,122		9.2%	$ 113,601,903		8.5%
Total Taxable Value	$ 2,145,448,041			$ 1,338,308,620		

Source: Scott County Auditor

Pleasant Valley Community School District

Property Tax Levies and Collections
Last Ten Fiscal Years
(Unaudited)

Fiscal Year	Taxes Levied for the Fiscal Year	Collected Within the Fiscal Year of the Levy		Collections In Subsequent Years	Total Collections to Date	
		Amount	Percentage of Levy		Amount	Percentage of Levy
2013-2014	$ 18,351,942	$ 18,347,585	99.98%	$ 4,357	$ 18,351,942	100.00%
2014-2015	19,075,701	19,036,014	99.79%	5,369	19,041,383	99.82%
2015-2016	19,743,499	19,726,000	99.91%	2,892	19,728,891	99.93%
2016-2017	20,900,338	20,875,864	99.88%	2,381	20,878,245	99.89%
2017-2018	21,622,918	21,622,918	100.00%	-	21,622,918	100.00%
2018-2019	22,695,843	22,675,780	99.91%	5,892	22,681,566	99.94%
2019-2020	23,505,437	23,268,087	98.99%	237,350	23,505,437	100.00%
2020-2021	24,783,708	24,783,708	100.00%	-	24,783,708	100.00%
2021-2022	26,356,996	26,356,996	100.00%	-	26,356,996	100.00%
2022-2023	27,195,528	27,190,995	99.98%	-	27,190,995	99.98%

Source: Iowa Department of Management, Scott County Auditor and School District financial records.

Note: N/A = not available.

Pleasant Valley Community School District

Outstanding Debt by Type
Last Ten Fiscal Years
(Unaudited)

Fiscal Year	General Obligation Note	Leases	IT Subscription Obligation	Revenue Bonds	Total Primary Government	Percentage of Personal Income	Per Capita
2014	$ 2,000,000	$ -	$ -	$ -	$ 2,000,000	0.3%	95
2015	-	-	-	-	-	0.0%	-
2016	-	-	-	10,000,000	10,000,000	1.3%	466
2017	-	-	-	18,410,000	18,410,000	2.1%	833
2018	-	-	-	25,570,000	25,570,000	2.9%	N/A
2019	18,037,621	-	-	36,680,000	54,717,621	5.9%	2,392
2020	16,258,441	-	-	33,360,000	49,618,441	5.1%	1,905
2021	14,424,261	89,402	-	29,970,000	44,483,663	4.0%	1,728
2022	12,540,081	213,703	24,770	26,515,000	39,293,554	N/A	N/A
2023	10,600,901	139,407	25,948	22,990,000	33,756,256	N/A	N/A

Source: District financial records

N/A = not available.

Pleasant Valley Community School District

Ratio of Net Bonded Debt to Assessed Values
Last Ten Fiscal Years
(Unaudited)

Year of Collection	Actual Value of Taxable Property	Total Primary Government Outstanding Debt	Net Bonded Debt	Amount Restricted for Repayment of Outstanding Debt	Ratio of Net Bonded Debt to Taxable Value	Net Bonded Debt Per Capita
2013-14	$ 1,338,308,620	$ 2,000,000	$ 2,000,000	$ -	-	$ -
2014-15	1,413,107,660	-	-	-	-	-
2015-16	1,483,389,877	10,000,000	-	594,338	-	-
2016-17	1,595,277,188	18,410,000	-	381,144	-	-
2017-18	1,675,799,422	25,918,838	-	22,455	-	-
2018-19	1,769,166,207	54,976,768	18,037,621	1,059,583	1.0%	785
2019-20	1,858,077,449	49,794,191	16,258,441	373,438	0.9%	624
2020-21	1,914,464,621	44,483,663	14,424,261	289,304	0.8%	562
2021-22	2,032,652,995	39,268,784	12,540,081	302,213	0.6%	N/A
2022-23	2,145,448,041	33,756,256	10,600,901	388,038	0.5%	N/A

Source: Iowa Department of Management, Scott County Auditor and School District financial records.

Notes: Details of the District's outstanding debt can be found in Note 5 in the notes to the financial statements.

N/A = not available.

Pleasant Valley Community School District

Legal Debt Margin Information
Last Ten Fiscal Years
(Unaudited)

	2013-2014	2014-2015	2015-2016	2016-2017
Legal Debt Margin Calculation				
Assessed value	$ 2,266,008,915	$ 2,355,418,130	$ 2,469,017,594	$ 2,676,942,475
Debt limit (5% of assessed value)	113,300,446	117,770,907	123,450,880	133,847,124
Debt applicable to limit	2,000,000	-	10,000,000	18,410,000
Legal debt margin	$ 111,300,446	$ 117,770,907	$ 113,450,880	$ 115,437,124
Total net debt applicable to the limit as a percentage of debt limit	1.77%	0.00%	8.10%	13.75%

Source: Iowa Department of Management, Scott County Auditor's Office and School District financial records.

Legal Debt Margin Calculation for Fiscal Year 2022-2023	
Assessed value	**$ 3,747,399,810**
Debt limit (5% of assessed value)	**$ 187,369,991**
Debt applicable to limit	**33,590,901**
Legal debt margin	**$ 153,779,090**

2017-2018	2018-2019	2019-2020	2020-2021	2021-2022	**2022-2023**
$ 2,777,879,736	$2,999,567,470	$3,102,841,240	$3,275,467,091	$2,032,652,995	**$3,747,399,810**
138,893,987	149,978,374	155,142,062	163,773,355	101,632,650	**187,369,991**
25,570,000	54,717,621	49,618,441	44,394,261	39,055,081	**33,590,901**
$ 112,975,149	$ 95,001,606	$ 105,347,871	$ 119,289,692	$ 89,357,650	**$ 153,779,090**
18.66%	36.66%	32.10%	27.16%	12.08%	**17.93%**

Pleasant Valley Community School District

Direct and Overlapping Governmental Activities Debt
As of June 30, 2023
(Unaudited)

Governmental Unit	Debt Outstanding	Estimated Percentage Applicable*	Estimated Share of Direct and Overlapping Debt
Scott County	20,451,339	21.10%	4,315,233
Eastern Iowa Community College	42,400,000	12.64%	5,359,360
City of Bettendorf	133,648,996	53.30%	71,234,915
City of LeClaire	19,263,618	99.86%	19,236,649
Subtotal, overlapping debt			100,146,156
District direct debt			33,756,256
Total direct and overlapping debt			$ 133,902,412

Source: Scott County Auditor.

Notes:
Overlapping governments are those that coincide, at least in part, with the geographic boundaries of the District. This statistical page estimates the portion of the outstanding debt of those overlapping governments that is borne by the residents and businesses of the District. This process recognizes that when considering the District's ability to issue and repay long-term debt, the entire debt burden borne by the residents and business should be taken into account. However, this does not imply that every taxpayer is a resident, and therefore responsible for repaying the debt, of each overlapping government.

* The percentage of overlapping debt applicable is estimated using taxable property values. Applicable percentages were estimated by determining the portion of another governmental unit's taxable value that is within the District's boundaries and dividing it by each unit's total taxable value. (Calculated by dividing the amount of the value applicable to the District by the total value for that taxing authority; 2022 assessed values are used.)

Pleasant Valley Community School District

Pledged Revenue Coverage
Last Ten Fiscal Years
(Unaudited)

Fiscal Year	Revenue Bonds			
		Debt Service		
	Revenue	Principal	Interest	Coverage
2014	NA	NA	NA	NA
2015	NA	NA	NA	NA
2016	4,182,214	-	92,956	44.99
2017	4,333,461	1,590,000	329,694	2.26
2018	4,415,088	2,840,000	485,652	1.33
2019	5,037,297	2,540,000	299,810	1.77
2020	5,215,928	3,320,000	843,026	1.25
2021	5,117,291	3,390,000	777,884	1.23
2022	6,298,315	3,455,000	709,371	1.51
2023	7,394,675	3,525,000	641,934	1.77

Source: District financial records

Notes: Details regarding the District's outstanding debt can be found in Note 5 of the notes to the financial statements.

These bonds are backed by a one-cent statewide sales, service and use tax

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Pleasant Valley Community School District

Demographic and Economic Statistics
Last Ten Calendar Years
(Unaudited)

Calendar Year	Population (a)	Personal Income (b) (Thousands of Dollars)	Per Capita Personal Income	Scott County Area Unemployment Rate (c) *
2014	20,977	$ 727,705,092	36,656	5.3%
2015	21,288	768,940,606	36,236	4.7%
2016	21,438	771,396,005	39,996	4.6%
2017	22,101	857,428,967	40,228	3.7%
2018	N/A	889,086,936	N/A	3.1%
2019	22,980	931,566,012	40,538	3.3%
2020	26,042	972,667,111	37,350	7.1%
2021	25,687	1,121,829,278	43,673	5.3%
2022	N/A	N/A	N/A	3.5%
2023	N/A	N/A	N/A	3.5%

Source:
(a) U.S. Census Bureau
(b) Iowa Department of Revenue
(c) Iowa Workforce Development

Notes: N/A = not available.
* Based on a ten-month period, January through October.

Pleasant Valley Community School District

Full-Time Equivalent District Employees By Type
Last Ten Fiscal Years
(Unaudited)

	Full-Time Equivalent Employees as of June 30			
	2014	2015	2016	2017
Supervisory:				
Superintendent	1.0	1.0	1.0	1.0
Principals	7.0	7.0	7.0	7.0
Assistant principals	5.0	5.0	5.0	5.0
District secretary	0.4	0.4	-	-
Business Manager	1.0	1.0	1.0	1.0
Other officials/administrators	2.0	2.0	3.0	3.0
Total supervisory	16.4	16.4	17.0	17.0
Instruction:				
Classroom teachers	215.1	217.8	233.4	239.5
Special education teachers	28.1	27.3	28.6	29.0
Special programs	22.3	29.2	19.5	20.5
Vocational teachers	8.0	6.8	7.6	8.5
Teacher aides	58.8	62.8	60.7	66.5
Instructional technology technicians	3.3	3.2	3.3	3.0
Total instruction	335.6	347.2	352.9	367.0
Student services:				
Social workers	1.0	1.0	1.0	1.0
Counselors	12.6	12.6	14.0	13.0
Library/media specialists	5.5	5.5	6.0	7.0
Nurses	5.6	5.6	6.6	6.6
Total student services	24.7	24.7	27.6	27.6
Support and administration:				
Other support services	-	-	10.0	10.0
Office/clerical personnel	28.3	28.5	28.4	31.3
Other professional employees	1.5	1.5	2.5	3.5
Technology specialist	2.0	2.0	2.0	3.0
Crafts and trades personnel	4.0	3.5	4.0	3.0
Laborers	1.0	1.5	2.0	2.0
Service workers	44.1	43.8	46.0	44.1
Operative personnel	1.7	1.7	1.7	1.7
Total support and administration	82.6	82.5	96.5	98.6
Total	459.2	470.7	494.1	510.2

Source: District financial records

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Full-Time Equivalent Employees as of June 30						Percentage Change
2018	2019	2020	2021	2022	2023	2014-2023
1.0	1.0	1.0	1.0	1.0	1.0	0%
7.0	7.0	7.0	7.0	8.0	8.0	14%
5.0	5.4	5.5	7.0	8.8	9.0	80%
-						-100%
1.0	1.0	1.0	1.0	1.0	1.0	0%
3.0	3.6	3.7	1.6	1.0	1.0	-50%
17.0	18.0	18.2	17.6	19.8	20.0	22%
244.1	247.3	252.2	256.3	273.8	269.8	25%
29.3	30.4	34.8	36.8	38.1	38.5	37%
21.6	22.9	21.3	25.3	29.4	36.6	64%
9.0	8.8	8.5	8.8	9.8	9.8	23%
68.7	71.5	84.3	75.7	95.1	108.0	84%
3.0	3.0	3.0				-100%
375.7	383.9	404.0	402.8	446.2	462.8	38%
1.0	1.0	1.0	-	-	-	-100%
14.0	14.2	14.2	13.6	13.3	13.7	8%
7.0	7.0	7.0	7.0	8.0	8.0	45%
6.9	6.9	6.9	7.0	8.0	8.0	43%
28.9	29.0	29.1	27.6	29.3	29.7	20%
12.0	14.0	13.5	21.4	16.1	18.9	100%
32.8	30.0	27.4	30.6	37.8	36.5	29%
3.5	2.0	2.0	4.0	5.0	5.0	233%
3.0	3.0	3.0	5.0	5.0	5.5	175%
4.0	3.0	5.5	4.9	4.0	5.0	25%
2.0	2.0	2.0	2.0	3.0	4.0	300%
45.9	50.4	48.8	49.9	52.9	55.2	25%
1.2	3.0	3.0	1.7	1.7	3.7	120%
104.3	107.4	105.2	119.5	125.5	133.8	62%
525.9	538.4	556.5	567.5	620.8	646.2	41%

Pleasant Valley Community School District

Operating Statistics
Last Ten Fiscal Years
(Unaudited)

Fiscal Year	Certified Enrollment	Operating Expenditures	Cost Per Pupil	Percentage Change
2013-2014	4,289	$ 39,900,129	$ 9,304	8.01%
2014-2015	4,386	41,559,208	9,475	1.84%
2015-2016	4,532	45,391,590	10,016	5.71%
2016-2017	4,746	47,415,560	9,991	-0.26%
2017-2018	4,922	50,735,977	10,308	3.18%
2018-2019	5,037	52,142,032	10,352	0.43%
2019-2020	5,128	53,008,239	10,337	-0.14%
2020-2021	5,244	55,962,993	10,672	3.24%
2021-2022	5,424	61,741,879	11,383	6.66%
2022-2023	5,557	64,759,789	11,654	2.38%

Source: Nonfinancial information from District records. District financial records.

Governmental Expenditures	Cost Per Pupil	Percentage Change	Teaching Staff	Pupil-Teacher Ratio	Percentage of Students Receiving Free or Reduced Price Meals
$ 45,453,563	$ 10,599	9.04%	303	7.07%	11.00%
45,224,769	10,311	-2.72%	303	6.91%	11.00%
58,134,814	12,828	24.41%	321	7.08%	12.00%
65,438,456	13,788	7.48%	320	6.74%	12.00%
73,970,061	15,028	8.99%	326	6.62%	11.00%
67,891,884	13,479	-10.31%	336	6.67%	11.91%
72,327,251	14,104	4.64%	342	6.67%	11.97%
62,058,872	11,834	-16.10%	351	6.69%	12.00%
71,248,693	13,136	11.00%	371	6.84%	14.10%
79,363,895	14,282	8.72%	403	7.25%	12.70%

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Pleasant Valley Community School District

Principal Employers
Current Year and Nine Years Ago
(Unaudited)

	2023			2014		
Employer	Employees	Rank	Percentage of Total Employment	Employees	Rank	Percentage of Total Employment
Scott County						
Davenport School District	2,500	1	2.8%	2,200	3	2.6%
Aronic	2,400	2	2.7%			
Deere & Co.	2,000	3	2.3%			
Genesis Medical Centers	1,500	4	1.7%	5,100	1	6.0%
Tri City Electric Co.	1,200	5	1.4%			
Kraft Heinz	1,200	6	1.4%			
City of Davenport	1,135	7	1.3%	1,295	6	1.5%
Nestle Purina	1,000	8	1.1%			
Eaton: Cobham Mission Systems	950	9	1.1%			
Mid American Energy	720	10	0.8%			
Hy-Vee				2,645	2	3.1%
Alcoa				2,000	4	2.4%
Oscar Mayer Foods Corp.				1,600	5	1.9%
APAC Customer Service Inc.				1,200	7	1.4%
Isle Casino Hotel Bettendorf				1,000	8	1.2%
Walmart				985	9	1.2%
John Deere Davenport Works				840	10	1.0%

Scott County Total Employment (2023)	88,383
Scott County Total Employment (2014)	85,000

Source: Bi-State Regional Commission

Pleasant Valley Community School District

School Building Information
Last Ten Fiscal Years
(Unaudited)

	Fiscal Year			
School	2013-2014	2014-2015	2015-2016	2016-2017
Pleasant View				
Square feet	78,343	80,913	80,913	80,913
Capacity*	850	850	850	850
Enrollment	628	638	632	632
Playgrounds	2	2	2	2
Hopewell				
Square feet	64,180	64,180	64,180	64,180
Capacity*	900	900	900	900
Enrollment	396	468	545	545
Playgrounds	1	1	1	1
Cody				
Square feet	45,090	45,090	54,709	54,709
Capacity*	550	550	625	625
Enrollment	317	315	320	320
Playgrounds	1	1	1	1
Bridgeview				
Square feet	47,980	47,980	54,654	54,654
Capacity*	450	450	575	575
Enrollment	347	342	383	383
Playgrounds	2	2	2	2
Riverdale Heights				
Square feet	84,195	84,195	84,195	84,195
Capacity*	800	800	800	800
Enrollment	620	642	634	634
Playgrounds	2	2	2	2
Forest Grove				
Square feet	n/a	n/a	n/a	n/a
Capacity*	n/a	n/a	n/a	n/a
Enrollment	n/a	n/a	n/a	n/a
Playgrounds	n/a	n/a	n/a	n/a
Jr. High				
Square feet	112,405	112,405	137,937	137,937
Capacity*	1,050	1,050	1,300	1,300
Enrollment	701	672	668	668
Playgrounds	-	-	-	-
High School				
Square feet	258,304	258,304	258,304	258,304
Capacity*	1,975	1,975	1,975	1,975
Enrollment	1,264	1,307	1,338	1,338
Playgrounds	-	-	-	-

Source: District records.

Notes: * Capacity calculation is number of possible classrooms times maximum of 25 students each

Fiscal Year					
2017-2018	2018-2019	2019-2020	2020-2021	2021-2022	2022-2023
81,513	81,513	81,513	81,513	81,513	81,513
925	925	925	925	925	925
651	713	713	673	651	659
2	2	2	2	2	2
64,180	80,486	80,486	80,486	80,486	80,486
900	875	875	875	875	875
650	709	709	696	649	698
1	2	2	2	2	2
60,897	70,060	70,060	70,060	70,060	70,060
675	700	700	700	700	700
361	394	394	445	424	457
1	1	1	1	1	1
54,654	55,254	55,254	55,254	55,254	55,254
575	600	600	600	600	600
391	407	407	366	374	366
2	2	2	2	2	2
84,195	84,195	84,195	84,195	84,195	84,195
950	950	950	950	950	950
636	680	680	659	636	629
2	2	2	2	2	2
n/a	n/a	n/a	84,195	84,195	84,195
n/a	n/a	n/a	950	950	950
n/a	n/a	n/a	-	248	328
n/a	n/a	n/a	2	2	2
141,777	144,719	144,719	144,719	144,719	144,719
1,325	1,325	1,325	1,325	1,325	1,325
745	844	844	824	800	856
-	-	-	-	-	-
353,711	374,704	374,704	374,704	374,704	374,704
2,300	2,300	2,300	2,300	2,300	2,300
1,442	1,540	1,540	1,541	1,643	1,658
-	-	-	-	-	-

Pleasant Valley Community School District

Average Salary by Education Level
Last Ten Fiscal Years
(Unaudited)

Education Level	Fiscal Year 2013-2014	2014-2015	2015-2016	2016-2017
BA				
Total FTE	58.90	61.90	65.83	66.50
Average salary	39,158	39,121	39,720	40,822
BA + 10				
Total FTE	24.00	27.00	27.00	21.33
Average salary	45,412	45,400	45,918	48,135
BA +20				
Total FTE	37.20	34.83	40.00	41.00
Average salary	51,761	53,297	52,435	53,220
MA				
Total FTE	57.70	57.70	62.79	72.88
Average salary	51,241	51,279	52,252	53,461
MA + 10				
Total FTE	40.00	39.00	42.00	38.00
Average salary	59,974	59,736	60,762	62,138
MA + 20				
Total FTE	27.00	26.00	25.00	30.00
Average salary	63,459	64,688	65,390	66,154
MA +30				
Total FTE	52.43	59.35	62.00	66.00
Average salary	65,592	65,028	66,649	67,734
Grand total FTE	297.23	305.78	324.62	335.71
Total average salary	53,258	53,416	54,069	52,284

Source: District personnel records.

Notes:
Full-time instructional employees of the District are employed for all 192 work days, at eight hours per day or 1,536 hours per year. This schedule includes the local instructional salary schedule only. Not included are state appropriations to increase salaries, i.e., Teacher Quality or Phase II Funds.

Fiscal Year					
2017-2018	2018-2019	2019-2020	2020-2021	2021-2022	2022-2023
62.00	57.00	63.00	72.00	80.00	82.00
41,297	41,135	41,996	42,411	42,540	44,302
21.33	18.34	20.33	18.33	18.33	14.33
48,655	50,866	50,521	51,141	48,699	50,405
44.00	47.00	38.00	41.00	36.17	38.00
53,865	52,631	56,463	56,025	57,270	59,379
76.69	80.80	96.26	87.96	100.16	106.66
54,254	53,814	54,563	56,597	57,445	58,745
35.00	36.59	28.09	37.00	39.00	39.00
62,238	60,746	62,150	63,148	64,156	66,293
30.00	30.00	26.00	25.40	31.17	32.00
67,941	67,808	67,983	67,195	67,066	69,826
74.42	81.50	86.59	87.00	85.00	88.00
69,617	69,201	70,945	72,955	73,864	75,689
343.44	351.23	358.26	368.69	389.83	399.99
56,855	55,594	58,044	58,740	58,980	60,855

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Compliance

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Pleasant Valley Community School District

Schedule of Expenditures of Federal Awards
Year Ended June 30, 2023

Federal Grantor/Pass-Through Grantor/ Program Title or Cluster Title	Federal Assistance Listing Number	Pass-Through Entity Identifying Number	Provided to Subrecipients	Total Federal Expenditures	
U.S. Department of Agriculture:					
Direct:					
Local Food for Schools	10.185	FY23 4911	$ -	$ 7,893	
Indirect:					
Pass-Through Iowa Department of Education:					
Child Nutrition Cluster Programs:					
School Breakfast Program	10.553	FY23 4552	-	72,101	
National School Lunch Program	10.555	FY23 4553	-	773,342	
National School Lunch Program- Supply Chain Assistance	10.555	FY23 4014	-	135,189	
Commodities -DOD (Noncash)	10.555	FY23	-	149,349	
Commodities (Noncash)	10.555	FY23	-	196,649	
			-	1,254,529	
Total Child Nutrition Cluster			-	1,326,630	
Total U.S. Department of Agriculture			-	1,334,523	
U.S. Department of Education:					
Pass-Through Iowa Department of Education:					
Title I Grants to Local Educational Agencies	84.010	FY23 4501	-	103,970	
Supporting Effective Instruction State Grants	84.367	FY23 4643	-	55,415	
Special Education Cluster (IDEA):					
Special Education - Grants to States Part B	84.027	FY23 4525	-	74,401	(1)
Student Support Academic Enrichment Program	84.424	FY23 4669	-	12,250	
Education Stabilization Fund:					
COVID-19 ARP Elementary and Secondary School Emergency Relief (ARP ESSER) Fund	84.425U	FY23 4045	-	247,527	
Pass-Through Davenport Community School District:					
Education Stabilization Fund:					
COVID-19 ARP Elementary and Secondary School Emergency Relief (ARP ESSER) Fund	84.425U	FY23 4047	-	52,453	
Total Education Stabilization Fund			-	299,980	
Pass-Through Mississippi Bend Area Education Agency:					
Career and Technical Education- Basic Grants to States	84.048	FY23 4531	-	37,008	
Special Education Cluster (IDEA):					
Special Education - Grants to States Part B	84.027	FY23 4521	-	228,034	(1)
Pass-Through State of Iowa Vocational Rehabilitation:					
Vocational Rehabilitation Grants to States	84.126	FY23 4598	-	47,302	
Total U.S. Department of Education			-	858,360	
Total Expenditures of Federal Awards			$ -	$ 2,192,883	

(1) Total Special Education Cluster, (IDEA) Special Education - Grants to States Part B Federal Assistance Listing Number 84.027 $302,435.

See notes to schedule of expenditures of federal awards.

Note 1. Basis of Presentation

The accompanying schedule of expenditures of federal awards (the "schedule") includes the federal grant activity of Pleasant Valley Community School District under programs of the federal government for the year ended June 30, 2023. The information in this schedule is presented in accordance with the requirements of Title 2 U.S. Code of Federal Regulations Part 200, *Uniform Administrative Requirements, Cost Principles, and Audit Requirements for Federal Awards* (Uniform Guidance). Because the schedule presents only a selected portion of the operations of Pleasant Valley Community School District, it is not intended to and does not present the financial position, changes in net position or cash flows of Pleasant Valley Community School District.

Note 2. Summary of Significant Accounting Policies

Expenditures reported on the schedule are reported on the modified accrual or accrual basis of accounting. Such expenditures are recognized following the cost principles in the Uniform Guidance, wherein certain types of expenditures are not allowable or are limited as to reimbursement. Therefore, some amounts presented in this schedule may differ from amounts presented in or used in the preparation of the basic financial statements. Revenue from federal awards is recognized when the District has done everything necessary to establish its right to revenue. For governmental funds, revenue from federal awards is recognized when it is both measurable and available. Expenditures of federal awards are recognized in the accounting period when the liability is incurred.

Note 3. Indirect Cost Rate

The District has elected not to use the 10-percent de minimus indirect cost rate allowed under the Uniform Guidance.

Pleasant Valley Community School District

Belmont Administration Center

BRIAN STRUSZ, Ed.S.
Superintendent

MICHAEL L. CLINGINGSMITH, C.P.A.
Chief Financial Officer

BERNIE BRUSTKERN
Director of Secondary Education

TONY HIATT
Director of Elementary Education

JILL KENYON
Director of Student Services

Pleasant Valley Community School District

Summary Schedule of Prior Audit Findings
Year Ended June 30, 2023

	Findings	Status	Corrective Action Plan or Other Explanation
Findings Pertaining to Statutory Reporting:			
IV-H-22	There were variances in certified enrollment submitted to the state in October 2021.	Not corrected.	Student data changes were note timely communicated to District. See response and corrective action plan at IV-H-23.

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Bohnsack & Frommelt LLP
Certified Public Accountants

Independent Auditor's Report on Internal Control Over Financial Reporting and on Compliance and Other Matters Based on an Audit of Financial Statements Performed in Accordance With *Government Auditing Standards*

To the Board of Education
Pleasant Valley Community School District
Bettendorf, Iowa

We have audited, in accordance with the auditing standards generally accepted in the United States of America and the standards applicable to financial audits contained in *Government Auditing Standards* issued by the Comptroller General of the United States, the financial statements of the governmental activities, the business-type activities, each major fund and the aggregate remaining fund information of Pleasant Valley Community School District (the District) as of and for the year ended June 30, 2023, and the related notes to the financial statements, which collectively comprise the District's basic financial statements and have issued our report thereon dated December 13, 2023.

Our report included an emphasis of matter paragraph for the implementation of Governmental Accounting Standards Board Statement No. 96.

Internal Control Over Financial Reporting

In planning and performing our audit of the financial statements, we considered the District's internal control over financial reporting (internal control) as a basis for designing audit procedures that are appropriate in the circumstances for the purpose of expressing our opinions on the financial statements, but not for the purpose of expressing an opinion on the effectiveness of the District's internal control. Accordingly, we do not express an opinion on the effectiveness of Pleasant Valley Community School District's internal control.

A deficiency in internal control exists when the design or operation of a control does not allow management or employees, in the normal course of performing their assigned functions, to prevent, or detect and correct misstatements on a timely basis. A material weakness is a deficiency, or a combination of deficiencies, in internal control such that there is a reasonable possibility that a material misstatement of the District's financial statements will not be prevented, or detected and corrected on a timely basis. A significant deficiency is a deficiency, or a combination of deficiencies, in internal control that is less severe than a material weakness, yet important enough to merit attention by those charged with governance.

Our consideration of internal control was for the limited purpose described in the first paragraph of this section and was not designed to identify all deficiencies in internal control that might be material weaknesses or significant deficiencies. Given these limitations, during our audit we did not identify any deficiencies in internal control that we consider to be material weaknesses. However, material weaknesses or significant deficiencies may exist that have not been identified.

Compliance and Other Matters

As part of obtaining reasonable assurance about whether the District's financial statements are free of material misstatement, we performed tests of its compliance with certain provisions of laws, regulations, contracts and grant agreements, noncompliance with which could have a direct and material effect on the financial statements. However, providing an opinion on compliance with those provisions was not an objective of our audit and, accordingly, we do not express such an opinion. The results of our tests disclosed no instances of noncompliance or other matters that are required to be reported under *Government Auditing Standards*. However, we noted certain immaterial instances of noncompliance or other matters which are described in Part IV of the accompanying Schedule of Findings and Questioned Costs.

Comments involving statutory and other legal matters about the District's operations for the year ended June 30, 2023 are based exclusively on knowledge obtained from procedures performed during our audit of the financial statements of the District. Since our audit was based on tests and samples, not all transactions that might have had an impact on the comments were necessarily audited. The comments involving statutory and other legal matters are not intended to constitute legal interpretations of those statutes.

Purpose of this Report

The purpose of this report is solely to describe the scope of our testing of internal control and compliance and the results of that testing, and not to provide an opinion on the effectiveness of the District's internal control or on compliance. This report is an integral part of an audit performed in accordance with *Government Auditing Standards* in considering the District's internal control and compliance. Accordingly, this communication is not suitable for any other purpose.

Bohnsack & Frommelt LLP

Moline, Illinois
December 13, 2023

Bohnsack & Frommelt LLP
Certified Public Accountants

Independent Auditor's Report on Compliance For Each Major Federal Program and Report on Internal Control Over Compliance Required by the Uniform Guidance

To the Board of Education
Pleasant Valley Community School District
Bettendorf, Iowa

Report on Compliance for Each Major Federal Program

Opinion on Each Major Federal Program

We have audited Pleasant Valley Community School District's (the District) compliance with the types of compliance requirements identified as subject to audit in the *OMB Compliance Supplement* that could have a direct and material effect on each of the District's major federal programs for the year ended June 30, 2023. The District's major federal programs are identified in the summary of auditor's results section of the accompanying Schedule of Findings and Questioned Costs.

In our opinion, Pleasant Valley Community School District complied, in all material respects, with the compliance requirements referred to above that could have a direct and material effect on each of its major federal programs for the year ended June 30, 2023.

Basis for Opinion on Each Major Federal Program

We conducted our audit of compliance in accordance with auditing standards generally accepted in the United States of America (GAAS); the standards applicable to financial audits contained in *Government Auditing Standards* issued by the Comptroller General of the United States (*Government Auditing Standards*); and the audit requirements of Title 2 U.S. *Code of Federal Regulations* Part 200, *Uniform Administrative Requirements, Cost Principles, and Audit Requirements for Federal Awards* (Uniform Guidance). Our responsibilities under those standards and the Uniform Guidance are further described in the Auditor's Responsibilities for the Audit of Compliance section of our report.

We are required to be independent of the District and to meet our other ethical responsibilities in accordance with relevant ethical requirements relating to our audit. We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our opinion on compliance for each major federal program. Our audit does not provide a legal determination of the District's compliance with the compliance requirements referred to above.

Responsibilities of Management for Compliance

Management is responsible for compliance with the requirements referred to above and for the design, implementation, and maintenance of effective internal control over compliance with the requirements of laws, statutes, regulations, rules and provisions of contracts or grant agreements applicable to the District's federal programs.

Auditor's Responsibilities for the Audit of Compliance

Our objectives are to obtain reasonable assurance about whether material noncompliance with the compliance requirements referred to above occurred, whether due to fraud or error, and express an opinion on the District's compliance based on our audit. Reasonable assurance is a high level of assurance but is not absolute assurance and therefore is not a guarantee that an audit conducted in accordance with GAAS, *Government Auditing Standards*, and the Uniform Guidance will always detect material noncompliance when it exists. The risk of not detecting material noncompliance resulting from fraud is higher than for that resulting from error; as fraud may involve collusion, forgery, intentional omissions, misrepresentations, or the override of internal control. Noncompliance with the compliance requirements referred to above is considered material, if there is a substantial likelihood that, individually or in the aggregate, it would influence the judgment made by a reasonable user of the report on compliance about the District's compliance with the requirements of each major federal program as a whole.

In performing an audit in accordance with GAAS, *Government Auditing Standards*, and the Uniform Guidance, we

- exercise professional judgment and maintain professional skepticism throughout the audit,
- identify and assess the risks of material noncompliance, whether due to fraud or error, and design and perform audit procedures responsive to those risks. Such procedures include examining, on a test basis, evidence regarding the District's compliance with the compliance requirements referred to above and performing such other procedures as we considered necessary in the circumstances.
- obtain an understanding of the District's internal control over compliance relevant to the audit in order to design audit procedures that are appropriate in the circumstances and to test and report on internal control over compliance in accordance with the Uniform Guidance, but not for the purpose of expressing an opinion on the effectiveness of the District's internal control over compliance. Accordingly, no such opinion is expressed.

We are required to communicate with those charged with governance regarding, among other matters, the planned scope and timing of the audit and any significant deficiencies and material weaknesses in internal control over compliance that we identified during the audit.

Report on Internal Control Over Compliance

A *deficiency in internal control over compliance* exists when the design or operation of a control over compliance does not allow management or employees, in the normal course of performing their assigned functions, to prevent, or detect and correct, noncompliance with a type of compliance requirement of a federal program on a timely basis. A *material weakness in internal control over compliance* is a deficiency, or a combination of deficiencies, in internal control over compliance, such that there is a reasonable possibility that material noncompliance with a type of compliance requirement of a federal program will not be prevented, or detected and corrected, on a timely basis. A *significant deficiency in internal control over compliance* is a deficiency, or a combination of deficiencies, in internal control over compliance with a type of compliance requirement of a federal program that is less severe than a material weakness in internal control over compliance, yet important enough to merit attention by those charged with governance.

Our consideration of internal control over compliance was for the limited purpose described in the Auditor's Responsibilities for the Audit of Compliance section above and was not designed to identify all deficiencies in internal control over compliance that might be material weaknesses or significant deficiencies in internal control over compliance. Given these limitations, during our audit we did not identify any deficiencies in internal control over compliance that we consider to be material weaknesses, as defined above. However, material weaknesses or significant deficiencies in internal control over compliance may exist that were not identified.

Our audit was not designed for the purpose of expressing an opinion on the effectiveness of internal control over compliance. Accordingly, no such opinion is expressed.

The purpose of this report on internal control over compliance is solely to describe the scope of our testing of internal control over compliance and the results of that testing based on the requirements of the Uniform Guidance. Accordingly, this report is not suitable for any other purpose.

Bohnsack & Frommelt LLP

Moline, Illinois
December 13, 2023

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Pleasant Valley Community School District

Schedule of Findings and Questioned Costs
Year Ended June 30, 2023

I. Summary of the Independent Auditor's Results

Financial Statements

Type of auditor's report issued: Unmodified

Internal control over financial reporting:

- Material weakness(es) identified? ☐ Yes ☑ No
- Significant deficiency identified? ☐ Yes ☑ None Reported
- Noncompliance material to financial statements noted? ☐ Yes ☑ No

Federal Awards

Internal control over major programs:

- Material weakness(es) identified? ☐ Yes ☑ No
- Significant deficiency identified? ☐ Yes ☑ None Reported

Type of auditor's report issued on compliance for major programs: Unmodified

- Any audit findings disclosed that are required to be reported in accordance with 2 CFR 200.516(a)? ☐ Yes ☑ No

Identification of major programs:

CFDA Number	Name of Federal Program or Cluster
Child Nutrition Cluster:	
10.553	School Breakfast Program
10.555	National School Lunch Program
10.555	National School Lunch Program- Supply Chain Assistance Funds
10.555	Commodities- DOD (Noncash)
10.555	Commodities (Noncash)

Dollar threshold used to distinguish between type A and type B programs: $750,000

Auditee qualified as low-risk auditee? ☑ Yes ☐ No

Pleasant Valley Community School District

Schedule of Findings and Questioned Costs
Year Ended June 30, 2023

Part II: Findings Related to the Basic Financial Statements

Instances of noncompliance:

No matters were reported.

Internal control deficiencies:

No matters were reported.

Part III: Findings and Questioned Costs for Federal Awards

Instances of noncompliance:

No matters were reported.

Internal control deficiencies:

No matters were reported.

Part IV: Other Findings Related to Statutory Reporting

IV-A-23
Certified Budget – Expenditures for the year ended June 30, 2023 did not exceed the amounts budgeted at year-end.

IV-B-23
Questionable Expenditures – No expenditures were noted that we believe may not meet the requirements of public purpose as defined in an Attorney General's opinion dated April 25, 1979.

IV-C-23
Travel Expense – No expenditures of District money for travel expenses of spouses of District officials or employees were noted. No travel advances to District officials or employees were noted.

IV-D-23
Business Transactions – No business transactions between the District and District officials or employees were noted.

IV-E-23
Restricted Donor Activity – No transaction were noted between the District, District officials or District employees and restricted donors in compliance with Chapter 68B of the Code of Iowa.

IV-F-23
Bond Coverage – Surety bond coverage of District officials and employees is in accordance with statutory provisions. The amount of coverage should be reviewed annually to insure that the coverage is adequate for current operations.

IV-G-23
Board Minutes – No transactions requiring Board approval which had not been approved by the Board were noted.

(Continued)

IV-H-23
Certified Enrollment –

Finding: The District identified variances in certified enrollment submitted to the state in October 2022.

Recommendation: We recommend the District review certified enrollment data for accuracy prior to submission to the state.

Response and Corrective Action Plan: The District will continue to review data prior to submission.

Conclusion: Response accepted.

IV-I-23
Supplementary Weighting – No variances regarding the supplementary weighting certified to the Iowa Department of Education were noted.

IV-J-23
Deposits and Investments – No instances of noncompliance with the deposit and investment provisions of Chapter 12B and Chapter 12C of the Code of Iowa and the District's investment policy were noted except for the following:

Finding: The District exceeded the District's depository resolution for the year ended June 30, 2023.

Recommendation: We recommend the District approve a new depository resolution with maximum depository amounts exceeding the projected cash and investment balances expected during the year.

Response and Corrective Action Plan: The District will prepare and approve a new depository resolution.

Conclusion: Response accepted.

IV-K-23
Certified Annual Report – The Certified Annual Report was certified to the Iowa Department of Education timely and we noted no significant deficiencies in the amounts reported.

IV-L-23
Categorical Funding – No instances were noted of categorical funding being used to supplant rather than supplement other funds.

(Continued)

IV-M-23
Statewide Sales and Services Tax – No instances of noncompliance with the use of the statewide sales and services tax revenue provisions of Chapter 423F.3 of the Code of Iowa were noted.

Pursuant to Chapter 423F.5 of the Code of Iowa, the annual audit is required to include certain reporting elements related to the statewide sales and services tax revenue. Districts are required to include these reporting elements in the Certified Annual Report (CAR) submitted to the Iowa Department of Education. For the year ended June 30, 2023, the District reported the following information regarding the statewide sales and services tax revenue in the District's CAR:

Beginning balance	$ 13,610,367
Revenue / transfers in:	
Statewide sales and services tax revenue	7,394,675
Interest and other	974,914
Expenditures/transfers out:	
Transfers out	4,308,204
School infrastructure	3,405,250
Debt service, fees	2,100
Ending balance	$ 14,264,402

For the year ended June 30, 2023, the District reduced the debt service tax levy by $3.10 per $1,000 of taxable valuation as a result of the moneys received under Chapter 423E or 423F of the Code of Iowa.

	Per $1,000 of Taxable Valuation	Property Tax Dollars
Debt service levy	$ 3.10000	$ 6,298,315

Pleasant Valley Community School District

Corrective Action Plan
Year Ended June 30, 2023

Number	Comment	Corrective Action Plan	Completion	Contact Person
Findings Pertaining to Statutory Reporting:				
IV-H-23	There were variances in certified enrollment submitted to the state in October 2022.	See Response and Corrective Action Plan at IV-H-23	June 30, 2024	Mike Clingingsmith
IV-J-23	The District exceeded the District's depository resolution.	See Response and Corrective Action Plan at IV-J-23	June 30, 2024	Mike Clingingsmith